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The Boeing Company NYSE:BA

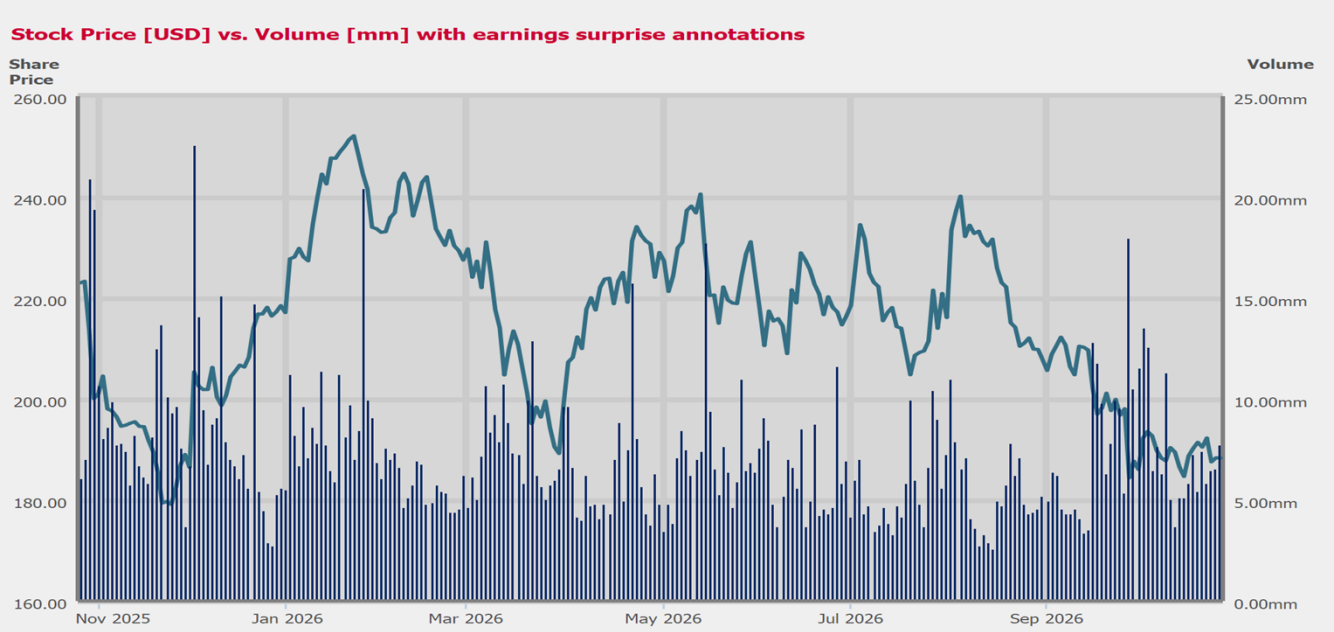
FQ3 2026 Earnings Call Transcripts

Tuesday, October 27, 2026 2:30 PM GMT

S&P Global Market Intelligence Estimates

	-FQ3 2026-			-FQ4 2026-	-FY 2026-	-FY 2027-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	(0.20)	(0.34)	NM	(0.13)	(1.43)	3.76
Revenue (mm)	24373.72	24188.00	▼ (0.76 %)	26964.00	96560.38	111919.74

Currency: USD
Consensus as of Oct-27-2026 12:44 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ4 2025	(0.41)	9.92	NM
FQ1 2026	(0.67)	(0.20)	NM
FQ2 2026	(0.31)	(0.76)	NM
FQ3 2026	(0.20)	(0.34)	NM

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Presentation

Operator

Thank you for standing by. Good day, everyone, and welcome to the Boeing Company's Third Quarter 2026 Earnings Conference Call. [Operator Instructions] Please be advised that today's call is being recorded. The management discussion and slide presentation, plus the analyst question-and-answer session are being broadcast live over the Internet. [Operator Instructions]

At this time, I'll turn the call over to Mr. Eric Hill, Vice President of Investor Relations for opening remarks and introductions. Mr. Hill, please go ahead.

Eric Hill
Vice President of Investor Relations

Thank you, and good morning. Welcome to Boeing's quarterly earnings call. With me today are Kelly Ortberg, Boeing's President and Chief Executive Officer; and Jay Malave, Boeing's Executive Vice President and Chief Financial Officer. This quarter's webcast, earnings release and presentation, which include relevant disclosures and non-GAAP reconciliations are available on our website.

Today's discussion includes forward-looking statements that are subject to risks and uncertainties, including the ones described in our SEC filings. As always, we will leave time at the end of the call for analyst questions.

With that, I will turn the call over to Kelly Ortberg.

Robert K. Ortberg
President, CEO & Director

Well, thanks, Eric, and good morning, everyone. Thanks for joining in today's call. As we enter the final months of the year, we're continuing to make progress across our businesses, having completed many of the key milestones in our 2026 plan and building on the trust we've restored with our stakeholders.

Through the third quarter, we've delivered 161 commercial aircraft, the most since 2018. We received FAA certification for the 737-7 in July, and the 737-10 just last week. We reached a new 4-year agreement with Union representing our engineering and technical workforce in the Pacific Northwest avoiding any work interruption. And we secured major program awards across our defense and space portfolio, including multibillion-dollar contracts on key programs like the PAC-3 and the F-15EX. And we scored a generational win with the U.S. Navy when they selected Boeing to design, build and deliver its sixth-generation fighter jet, making Boeing the exclusive sixth-generation fighter company for both the U.S. Air Force and the U.S. Navy.

These accomplishments reflect the significant progress we're making and they're made possible by the sustained focus of our team on safety, quality and performance. We know there's more work to do, and I've said before, our progress is not always going to be perfectly linear, but we continue to improve, and I'm confident we are on the right track. I'll touch on the highlights I just shared as well as areas that require more attention in the quarters ahead, and let's start with our development programs.

All year, we've said that certifying our new aircraft models is one of our most important goals. The FAA certification of the 737-7 and the -10 represents the culmination of nearly 1,500 test flights and more than 4,000 hours of ground and flight testing. And I want to thank our employees who worked on or supported these programs and never lost sight of our mission. And to our customers and partners, I extend my gratitude for the steadfast support and confidence in these airplanes. And we look forward to the newest members of the 737 MAX family, delivering on their promise of greater efficiency and more capability.

With the 737-7 and -10 FAA certification work complete, our focus now centers squarely on the 777-9. We continue to make progress on flight testing and still need approval to begin the balance of the flight

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test program, including ETOPS testing. We continue to expect first delivery in 2027 and all of our latest assumptions continue to be within the EAC we reset last year.

Turning now to our commercial factories. On 737, we continue to work towards stabilizing production at 47 airplanes per month. Our factory key performance indicators are performing well, particularly in the final assembly, where we've seen a 40% improvement in rework since the start of last year. However, as I mentioned at a conference last month, it is taking us longer than we had expected to demonstrate performance at rate 47. We're making progress, but we still have more work to do, and I'm expecting it will take us into next year to get fully stable at this rate.

Our output of wings is improving, but we need to demonstrate sustained performance at this level and ensure we have a high confidence plan to step up to rate 52 when the system is ready. To reach 52 aircraft per month, we have to get the North Line certified and producing, our back shops, including wings stable and ready and fuselages in Wichita to stable at the higher rates.

Taken together and integrating our learning from this year, our financial plan will target rate 52 in the back half of 2027. And as I've said many times before, it's more important that we do this ramp right than what particular month we achieve a rate break, and we'll stay disciplined here.

Switching now to 787. We are stable at 8 aircraft per month, while the factory is performing well. While we have stability in our factory, delivery cadence has been uneven month-to-month due to the seat certification challenges we've discussed previously. We are seeing increased stability in our supply chain and closely watching engine delivery performance as it remains the pacing item for rate 10. We still expect to start the transition to 10 per month yet this year, and we're making good progress on our Charleston expansion to support even higher production rates.

Beyond the progress we're making in our factories, we're also continuing to position Boeing for the long term. That is showing up in the quality of our backlog, the demand we're seeing across the portfolio and in the investments in program wins that position us well into the future.

Last month, we achieved a transformational win that will shape the company for decades to come when the U.S. Navy selected Boeing as the winner of the F/A-XX competition. To be selected for another sixth-generation fighter program is a testament to our innovation, our team and trust we've built with our customers. It is a true honor to support the national security priorities and a responsibility we take very seriously.

In addition to F/A-XX, we continue to see strong demand for proven franchises across our defense and space portfolio. Boeing received a 7-year contract to accelerate and eventually triple the PAC-3 Seeker production, supported by our early investments in facilities, workforce and supply chain. In the quarter, we also received a contract to manufacture 22 more F-15EX aircraft for the U.S. Air Force. And this award brings the total number of aircraft under contract to 120 with the potential for additional upside as the F-15EX continues to demonstrate the value of its unmatched payload and range capability.

Beyond new franchise wins, we also continue to see tangible benefits from the active management approach we've talked about. As I said last quarter, Starliner was a program where we still had work to do with the customer. We've since worked with NASA on a path forward to support future flights while reducing our program risks, including $359 million of additional NASA funding. Taken together, these are the kinds of actions and outcomes that will support our customers, strengthen Boeing and position us well for the future.

That long-term position is also beginning to give us greater visibility into the financial path forward. As I mentioned, over the last 2 years, we've made exceptional progress restoring trust, retiring risk and transforming our culture and rebuilding the foundation of safety and quality that will help ensure durable success. We have also been deliberate about not getting ahead of ourselves given the range of outcomes tied to the production ramp, certification timing and other critical program execution. But we appreciate that it's been difficult for shareowners to assess how our progress will translate into financial performance.

We're now at a point where the range of outcomes is narrowing. As we look ahead, our outlook is supported by a record backlog of $745 billion with improved pricing dynamics, a more stable production

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system and better underwriting on development programs and our plans for continued progress on aircraft certification. Taken together, those factors give us confidence to share a multiyear free cash flow target for the business.

We've narrowed our range and expect to generate approximately $2 billion of free cash flow in 2026. I'm expecting that, that will improve to about $3 billion in 2027, inclusive of the additional CapEx to support the F/A-XX development. We believe this should improve to about $6 billion in 2028, as we start to burn off some of the headwinds and accelerate from there. And I expect to achieve the $10 billion target in 2029. Jay will provide further color on the elements driving this trajectory in his remarks, but it's important to highlight, we continue to see significant growth potential beyond the $10 billion, in line with our prior comments.

So to sum it up, we remain well positioned for the long term. I'm pleased with our progress we've made so far. We've come a long way, but we're entering a new phase and the bar is higher now. As it should be, our job is to keep raising our performance to meet higher expectations while always prioritizing safety, quality and stability. I'm confident we'll get there because we're doing the right work and taking the right actions to build more durable, dependable performance over time.

So before I close, I want to thank all of our employees for the work they're doing every day to move Boeing forward. And with that, I'll turn it over to Jay to discuss our financial results in more detail before we move to question and answer.

Jesus Malave
Executive VP & CFO

Thanks, Kelly, and good morning, everyone. Starting with consolidated financial results for the quarter. Revenue of $24.2 billion was up 4%, primarily driven by higher defense and services volume, partially offset by less favorable commercial delivery mix in the quarter. Operating margin improved to 1.5% and core earnings per share improved to a loss of $0.34, reflecting higher segment earnings and lower corporate expenses.

Free cash flow was positive $464 million in the quarter, an improvement versus the prior year, driven by improved working capital, partially offset by the Department of Justice settlement payments of approximately $700 million and planned CapEx for our investments to expand capacity in Charleston and St. Louis.

Turning to BCA on the next page. BCA delivered 161 airplanes in the quarter. Revenue was $10.7 billion, down 3% year-over-year, driven primarily by less favorable delivery mix. Operating margin of negative 6.5% improved materially versus the prior year's results which were impacted by the 777X charge. That improvement was partially offset by a reduction in booking rates associated with production rate adjustments and higher estimated supply chain costs.

Backlog at BCA increased again to a new record level of $612 billion. It includes over 6,300 airplanes. This includes orders during the quarter from Turkish Airlines, Ethiopian Airlines and Lufthansa.

Clicking down on commercial program performance. Starting with the 737, we delivered 124 airplanes in the quarter. As we close out the year, the delay in stability at 47 per month is expected to translate to the lower delivery output and come in shy of the 500 delivery target. Let me remind you that we've built -7 and -10 aircraft prior to certification that will start delivering early next year.

Going forward, we expect longer intervals between rate steps, the higher we go, which is more in line with our historical demonstrated performance. That said, our team has detailed plans for what is required to get to higher rates, and we continue to make investments to create more capacity and resiliency in our production system that will enable stronger performance at higher levels with a consistent focus on safety and quality.

On the 787, we delivered 22 airplanes in the quarter. We continue to expect to deliver 90 to 100 airplanes in the year, but expect it to be closer to the lower end, given the delays in getting to rate 10.

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In Charleston, our factory expansion is underway, and we expect the majority of the capability to come online late next year.

In addition to the two lines in our current footprint, our second final assembly building will add a third line that increases capacity, flexibility and resiliency in our production system. On the current 777 metal-wing freighter, we received FAA approval for incremental production of up to 35 units, further extending the most popular dedicated freighter of all time.

During the quarter, our 777 freighter and 767 tanker production lines were disrupted by a supplier of wing components. Shipments from that supplier have resumed. However, there will be a gap in our production system that gradually flows through these production lines over the next few quarters. The cost of that disruption was not material in the third quarter, but will be treated as abnormal costs and period expensed over the next few quarters.

Finally, on 777X, as Kelly mentioned, we remain on track for first delivery in 2027. As we get closer to certification, we have firmed up our production and delivery plan. We are currently producing airplanes at a rate of approximately one per month, and expect to stay at that level for most of 2027. These latest assumptions are within our EAC.

With respect to program cash flow, we continue to expect 2027 to be a significant use of cash with 2028 improving before turning positive in 2029. Like the rest of our programs, we are prioritizing safety, quality and stability as we ramp this new production system and work towards a delivery schedule that our customers can reliably plan for.

Okay, let's shift over to BDS on the next page. BDS delivered 30 aircraft and 3 satellites in the quarter. Revenue increased 15% to $7.9 billion, driven primarily by higher volume, including growth on classified programs and missiles and weapons. Spirit contributed approximately $160 million of sales in the quarter or 2 points of growth.

BDS operating margin was 6.2% in the quarter and includes a $252 million gain on the sale of HRL laboratories. Across the BDS portfolio, we continue to see operating performance gains in line with our expectations of steady margin improvement, and we remain confident in our path to high single-digit operating margins by the end of the decade.

BDS booked $23 billion in orders during the quarter with record backlog of $101 billion, and we remain committed to our strategy of entering into appropriate contract structures on new business. Importantly, in the quarter, BDS was selected by the U.S. Navy to design, build and deliver the F/A-XX next-generation fighter aircraft. This order was not included in our third quarter backlog, pending completion of the source selection and evaluation process.

Now moving to Global Services on the next page. BGS sustained its momentum and delivered another quarter of strong financial performance. Revenue was up 4% to $5.6 billion. Excluding the impact of the Digital Aviation Solutions divestiture, revenue was up 11% from prior year, primarily driven by government and commercial modifications volume. Operating margin of 18.3% was up from prior year on favorable volume and mix, partially offset by the divestiture last year.

Both commercial and government businesses delivered double-digit margins in the quarter. Operationally, the BGS team continues to demonstrate process improvements across the business. For example, on the C-17 heavy maintenance program, we continue to perform work at record low rework levels while taking on greater scope of work for our customer, supporting revenue growth and margin performance. BGS received $5 billion of orders and ended the quarter with a backlog of $33 billion.

Shifting over to cash and debt. Cash and marketable securities ended at $20.7 billion, primarily reflecting cash flow generated in the quarter. The debt balance was unchanged from the prior quarter at $45.9 billion. We continue to maintain access to $10 billion of revolving credit facilities, all of which remain undrawn, and we remain committed to strengthening the balance sheet and supporting our investment-grade rating.

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Now let me provide some additional context on our free cash flow outlook and targets. First, as Kelly noted, we have narrowed our prior range and expect to deliver approximately $2 billion of free cash flow in 2026. This includes the assumption of the KC-46A Tanker Lot 13 order in advance as well as other seasonal working capital benefits in the quarter.

As Kelly said, we have increased clarity into our medium-term financial plan. In 2027, we expect to generate approximately $3 billion of free cash flow, followed by approximately $6 billion in 2028 and $10 billion in 2029 with significant growth potential beyond that in future years. For financial planning purposes, these targets assume that 777X will be certified by midyear 2027.

For 2027, in addition to the absence of the DOJ payment made in 2026, we expect free cash flow growth to be driven by higher commercial deliveries, modestly improved cash margins on the 737 and 787 programs, continued improvement at BDS and continued steady growth at BGS. We expect these fundamental growth drivers to be partially offset by the impact of less favorable working capital, including lower year-over-year BCA order deposits and around $1 billion of increased CapEx, which includes the growth associated with recent awards in BDS.

Keep in mind, as we discussed earlier this year, 2027 free cash flow will be significantly impacted by the legacy cash drags. Beyond 2027, we expect these legacy cash drags to continue to abate and the path to $10 billion to be underpinned by higher 737 and 787 deliveries with improving cash margins. Positive cash contribution from 777X, profitable growth at BDS and BGS and still elevated but lower CapEx. As we have said before, there remains significant growth beyond the $10 billion in the future. All of this is underwritten by the robustness in pricing included in our record backlog of $745 billion. As we advance, we would expect to provide additional assumptions in support of this free cash flow plan and other elements of the P&L.

Okay. Summing it up. Our focus remains on deliberate and disciplined execution, consisting of steady deliveries, validated rate step-ups and operational performance that builds upon itself. We will not sacrifice long-term durability. Every decision is made to enable us to deliver on the full potential of the business. With that, let's open up the line for questions.

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Question and Answer

Operator

[Operator Instructions] Our first question comes from the line of Myles Walton from Wolfe Research.

Myles Alexander Walton
Wolfe Research, LLC

Jay, you went through a lot there on the walk from '26 to '27 free cash flow, a lot of positives. But yet, it's only ex the DOJ payment, a few hundred million dollars of growth. Could you size the advances as being abnormal in '27? And then maybe walk us a little bit more on the $3 billion expansion in '28. Is that 3/4 from 777X, maybe just the combination of -- and '29?

Jesus Malave
Executive VP & CFO

Okay. Sure. Thanks, Myles. Let me maybe slow it down a little bit. I could -- was moving pretty quick there through the materials. And just go back and just -- another quick summary here. As you mentioned, Myles, the DOJ payment doesn't repeat in 2027. That's a $700 million benefit. As I also said during my prepared remarks, we'll get the benefit from higher BCA delivery volume as well as modestly improving cash margins. You may recall, in the second quarter, I discussed BCA margins, and they were about -- for 2026 around breakeven. So our contribution from BCA will be largely from the improving cash margins in 2027.

Of course, we'll have continued growth from improvement from BDS and BGS. So those all taken together provide positive benefit to cash flow in 2027. As you mentioned and as I mentioned in my prepared remarks, we will expect to have lower customer deposits at BCA 2026 was just a very strong year. It's trending to be a record year. The market is strong. Our campaign activity and pipelines remains robust. So we still expect 2027 order cash to be pretty strong as well, but just not at the same record level of 2027. And yes, I would kind of size that in the range of a few billion dollars of impact.

And then as I mentioned, just to close it out, the CapEx will be higher at $5 billion. That's about $1 billion higher than 2024. So those are all the building blocks of 2027 free cash flow. As we get into '28 and really '29, it's kind of a similar story. These legacy drags continue to abate and they come down. And so we'll see improving cash margins and we'll also get the benefit -- a higher benefit from higher delivery volumes because now we'll be working from positive cash margins. And so we'll get a double benefit from both of those, and that's all supported by the backlog that we have.

As we get to 2029 more specifically, we'll be at higher production levels. And so I've said in the past that we expect that the building blocks of a $10 billion free cash flow on a normalized basis is around 52 on 737 for deliveries -- on a delivery rate around 10 for the 787 -- on a delivery rate and positive cash generation on a 777 program.

In '29 specifically, we'll be operating at higher production levels, which will translate into higher delivery levels. And so we'll be closer to the mid- to high 50s on deliveries in '29. We'll be closer to around 12 per month on the 787, and we'll be generating positive free cash flow or expect to generate positive free cash flow on the 777X in '29. The reason we need to be at higher levels is because we'll still have some residual drags in '29. And I expect those to be fully behind us for the most part by '29. So there's runway, as I mentioned in my prepared remarks, in 2030 and beyond above $10 billion. So hopefully, that encapsulates '27 and also the future year outlook for you.

Operator

Your next question comes from the line of Seth Seifman from JPMorgan.

Seth Michael Seifman
JPMorgan Chase & Co, Research Division

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I wanted to ask a little bit about the unit returns on aircraft. You talked in the release about some cost growth that we're seeing. If you could -- both from the supply chain and from the process of increasing rates. If you could give a little more color on what that is? And then also how it affects your thinking about unit cash profitability in the out years?

And then on the pricing side, the fact that we're looking at kind of more gradual ramp-up in rates. Is that affecting the ability to kind of -- the timing on moving beyond some of these legacy drags on unit revenue?

Jesus Malave
Executive VP & CFO

Seth, let me kind of walk you through -- let me start with the BCA margins here in the third quarter. We did -- I did talk about the -- them being impacted by the rate adjustments as well as higher supply chain costs. We had to roll those, as you know, through our EACs, which resulted in an impact to our booking rates. Specifically on -- I also had to talk related to the 777 program, the existing freighter program and the 767 program, we expect some abnormal costs to carry forward now in the fourth quarter into the first half of the year. I expect those to put some pressure on, call it, third quarter run rate margins over that period of time, but they will abate and pretty much diminish in the second half of the year.

When you take into account the benefit of cost-based extensions at higher priced backlog and other performance with the higher volumes, we will make some significant improvement in the back half of the year, and put ourselves in a position to get to about breakeven in early 2028. As it relates to cash, all of this that we talked about in these impacts here in the third quarter, all contemplated and factored into our cash flow projections as well as the ramp in the cash margins over this period of time. And so I don't really see much of a difference there. We've absorbed it. We've contemplated that. And -- but with the pricing that's already in the backlog, I'm highly confident in the improving margin profile of the BCA programs, both the 737 and the 787.

Operator

Your next question comes from the line of Sheila Kahyaoglu from Jefferies.

Sheila Karin Kahyaoglu
Jefferies LLC, Research Division

Jay, Kelly, thank you so much for all that long-term color, kelly. But maybe if we could just step back and talk about the macro, lots of interest around how higher for longer oil prices might affect the aerospace industry. And obviously, you have a key unique perspective on that. Can you maybe talk to customer channels you're checking to assess the market, whether it's orders, the services business or just how you're seeing lease rates move around just given the capacity cuts? And with your long-term guidance, the free cash flow, what sort of oil price does that assume?

Robert K. Ortberg
President, CEO & Director

Yes, Sheila. So we are -- just to confirm we are in constant contact with all of our customers here as we're navigating through these high fuel prices. I think the actual impact is going to be different depending on the airline. Obviously, a large portion of our backlog is going into replacement aircraft. So for those customers who are bringing on new aircraft to replace older aircraft, these are much more fuel efficient. And in fact, the high fuel prices are driving them to really, really want these aircraft sooner. So the area that we may see softness is in the overall growth, depending on what the airline overall growth would be.

So far, we haven't seen, Sheila, we haven't seen anybody wanting to replan their order growth. If that should happen, quite frankly, given our oversold backlog, I think there's opportunity for us to shift around and manage through that. But obviously, it's something we have to keep an eye on. So far, the airlines have been, for the most part, flowing the higher fuel into ticket prices, think over the next coming quarters, we'll have to watch that. But again, at a macro level, I feel pretty good about our ability to manage even if we do see some softening demand on the growth market because there's plenty of

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customers who are looking for airplanes faster for replacement. So we may have to rewicker a little bit of our firing order if that happens. It's not happening yet, we'll just have to keep close to our customers here.

Operator

Your next question comes from the line of David Strauss from Wells Fargo.

David Egon Strauss
Wells Fargo Securities, LLC, Research Division

Jay, the walk to '27, can you maybe just put a finer point on what you're expecting for MAX and 787 deliveries, including what you're assuming for liquidation of the 7 and 10 inventory? And then 777X, I think that's obviously a pretty big -- the timing there is a pretty big risk item to the outlook. Let's say that slips out of '27 into '28, how much of a risk could that be to that $3 billion cash guide?

Jesus Malave
Executive VP & CFO

Okay. Just on your -- on the inventory aircraft, next year, we expect between -7 and -10 deliver around 30 aircraft that are prebuilt going into the year.

On the '27 cash bridge -- what was the...

Robert K. Ortberg
President, CEO & Director

It was on the 777. He was asking about the 777, if it would slip out.

Jesus Malave
Executive VP & CFO

Okay, the 777X program, look, it's a scenario that would be significant. We're on a good path, though, as Kelly mentioned in his prepared remarks. I think the risk would be more of later in the year, which would have a kind of some impact on deliveries. Think about deliveries next year between 10 to 15 in that ballpark. And so maybe you'd see some deliveries come down a little bit. And so I think that, that could be absorbed within the guide that this $3 billion.

David Egon Strauss
Wells Fargo Securities, LLC, Research Division

Yes. And I was also hoping to get just the -- what you're exactly assuming for MAX deliveries and 787 deliveries in total...

Jesus Malave
Executive VP & CFO

Yes, that's the question I forgot, a piece of it, David. So that -- we'll give more color in January. What I can tell you is think about total deliveries at BCA to be up 10% plus, similar to this year. And we'll give more color on that more specifically by program in January.

Operator

Your next question comes from the line of Scott Mikus from Melius Research.

Scott Stephen Mikus
Melius Research LLC

Jay, I think you mentioned in the out year 2029 time frame, you're expecting 737 production in the mid- to high 50s and 12 per month on the 787. You're going to be at 52 per month in the back half of next year on the 37 (sic) [737] and moving to 10 per month on the 787 by the end of this year. I'm just curious

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why it will take roughly 2 years to move up to those higher rates contemplated in the '29 targets? Just has the outlook for the supply chain deteriorated at all?

Jesus Malave
Executive VP & CFO

No, good question. It's a very good question. And typically, what we have is deliveries do lag the production. But what I would characterize the reconciliation of that is really the upside opportunity that we have to 2029. If we're able to deliver at these higher rates that we're producing it, then that would provide upside to the $10 billion target that we have out there.

Scott Stephen Mikus
Melius Research LLC

Okay. Got it. And then if I could just follow up real quick. Any assumption on cash taxes or cash interest by the time you get to '29?

Jesus Malave
Executive VP & CFO

It's more of the same. We won't start to have taxes kick in until the early 2030s. And it will come down a little bit accordingly with our maturities, but not significant interest cash.

Operator

Your next question comes from the line of Doug Harned from Bernstein.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Kelly, if I go back to August on the 737, we looked -- we talked then and things looked pretty stable. It seemed at 47 a month, although as you highlighted, there were wings, Wichita engines, all those things to think about. Engines, I think, seem fine. But in September, you described the challenges on drilling holes on the wing. But as we look at getting the stability now, what has to happen? Is the wing issue resolved at this point? Where does Wichita stand? And how do we get comfortable that if the visibility wasn't that good back earlier in the summer, how do we get comfortable that things are moving on to the right track to get to that 52 point next year?

Robert K. Ortberg
President, CEO & Director

Yes. Okay. So let me, first of all, say that engines aren't a problem in this equation. So you can kind of take that out of the equation. We had a series of flow enablers to allow us to ramp up production from 42 to 47 to support that in our wings back office or back shop. That's where we built all the wings for the 737 aircraft. And some of those flow enablers just flat out did not yield the flow savings.

Some did, some didn't. So we had to step back and make some changes to that. We've got some additional flow enablers. In some cases, we're adding some capacity where we didn't see the flow enablers yield, and we're going through that process right now. Now early signs are encouraging. We are improving, but we're not yet to where I can say we're stably producing wings to support the 47 a month rate. So we're going to want to dwell on that for a little while to make sure we're stable and don't end up in an unstable situation with production.

Now that informs our next rate increase, obviously. So we didn't go as smoothly from 42 to 47 as we did from 38 to 42. And so we're going to want to make sure in the next rate break at 52 that we very much have understood and tested all of our rate enabling functions in the back shops to make sure that they're going to yield.

The other thing is recognize that for rate 52, we've got to have Everett, the Everett line up and running as well. Really no change to our outlook there. That's going well. In fact, yesterday, we rolled out our first -10 from the Everett production facility. So look, we got to get wings stable, and that's been a challenge for

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us. And it's just as a result of the process improvement yields weren't there. And so what we're going to do is learn from that and make sure before we go to the next rate, we've fully tested these improvement areas and make sure that they are going to yield the next rate increase.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

But if I can, are there any other watch items here? In other words, if you get the wings really that's done -- once that's done, things like fuselages coming out of Wichita, other supply chain questions. Are there any other significant watch items? Or will you feel pretty good on this once you've cleared the wing situation?

Robert K. Ortberg
President, CEO & Director

Well, I think right now, wings are what have caused us the instability. Part of that is because we do have inventory and fuselages. But once we get through wings, fuselage will be an important focus area for us as well. And backing up on that, remember that we are producing fuselages at a lower rate than the final assembly intentionally to burn down inventory. So the balance of this year and early into next year, we do have to see the ramp-up of fuselages also, and we get synchronized with the final assembly at rate 52. So that's all in the calculus of our go-forward plan here, getting wings stable, ramping up the fuselage.

I wouldn't point you to anything else in the supply chain right now. I mean, there's always the pop-up kind of things like we've had with the GKN windows that we're working to alleviate. But there's no systemic challenge I see right now. Again, I think it's wings, fuselage will be important for this next rate break.

Operator

Your next question comes from the line of Peter Arment from Baird.

Peter J. Arment
Robert W. Baird & Co. Incorporated, Research Division

Kelly, you just kind of touched upon Wichita a little bit, but maybe if you could just give us an update of the ongoing ramp of what you're seeing at Spirit. Any metrics you want to share on that progress? And then, Jay, just kind of confirming BCA cycling at much higher levels. It sounds like you're calling out a potential breakeven margin in play for '27. Are you expecting BCA margins to return to more historical levels with your kind of '29 outlook? Just maybe any color there on the slope of the margin recovery at BCA, that would be helpful.

Robert K. Ortberg
President, CEO & Director

Okay. Let me start with Wichita. So overall, the integration is going according to our integration plan. One of the things that we really are focused on, while we kept Wichita at a lower rate, was to implement our safety and quality plan at Wichita that we are very successful in implementing in Renton, as you know. And so we've been doing that. I would say that that's probably slowed them down a little bit as we've implemented some of these safety and quality features. So you'll see our inventory of fuselages probably a little bit lower or burning down a little bit faster than what our baseline plan said. But again, we've got the ramp-up plans in place that's contemplated in our forecast here as we go forward. And also contributing to making sure we stay stable at 47 a little bit longer before we move to 52.

Jesus Malave
Executive VP & CFO

On the margin recovery, Peter, we often anchor and compare to 2018 margins. What I could say there is on the 737, it will ramp up the margin profile, but will not reach what it was in 2018 either on a percentage or absolute basis. By contrast, the 787 by 2029 will exceed what it was in 2018, both on an absolute basis as well as on a percentage basis. Taken together, overall, will be a net benefit in '29.

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Operator

Your next question comes from the line of Noah Poponak from Goldman Sachs.

Noah Poponak
Goldman Sachs Group, Inc., Research Division

Jay, it seems like a decent amount of the variance in the free cash trajectory you just provided versus maybe what some people were thinking is CapEx. So you gave us a '27 CapEx. Maybe you could just give us the capital plan for '28, '29 or when you get back to normalized as a percentage of revenue? And then on 777, I guess, it's fairly surprising to hear the answer to the prior question that you could absorb another slide. Just last time it had the slide, everybody had to move free cash around a lot. So should we interpret that as you are providing conservative numbers you want to be able to beat? Or is it just that the 777 delivery plan is so late in '27 that it can slide?

Robert K. Ortberg
President, CEO & Director

Yes. Let me address 777, and I'll let you talk about the cash flow. When we did the reset last -- the last reset major reset on the 777 program, we definitely put management reserve in there to allow for additional schedule pressure going forward. Now I don't want to imply that the 777 program has moved to the middle of next year. We are still driving to the team for certification. But what we're saying is we've financially provisioned such that if certification delays to the middle of the year that we'll still be able to do that within our EAC. We're driving to a much earlier date right now. We don't yet, as I said in my prepared remarks, we don't yet have the full authorization for the flight test program. There's a couple of things I will note is the FAA had a tremendous amount of work to do on the -7 and -10 certification as did our test teams. And having that work behind us really does allow us to both parties to put more resources on the 777 test work that's yet ahead of us. So I'm hopeful to see us accelerate that here as we run through the balance of the year and run into next year.

Airplanes are flying. We're making progress on the test program. We are getting some incremental authorization for additional flight testing from the FAA that think of it as kind of an extension to the TIA 4B. We still have these big flight tests yet ahead of us -- flight test authorizations yet ahead of us. So we're working hard to get all that done. I will also say that I think we now know after the -7 and -10, what it takes to get certification complete in this new [post-AXA] world of regulation. And so that's factored into our planning and we're off executing that with the FAA now.

Jesus Malave
Executive VP & CFO

On your question, Noah, on CapEx, for '27, about $5 billion, as I mentioned, '28 and '29 would be around $4 billion each in each year. And just going back -- circling back on the 777X and the cash. Again, it was in the context of really the way Kelly just laid it out, you're talking an impact of a few months, a month or two is what I was quantifying.

Noah Poponak
Goldman Sachs Group, Inc., Research Division

Okay. And Jay, going to $4 billion is still 3% of revenue that company was running 2% or even a little below 2% for a while. Is it structurally higher? Or does that -- you just have a lot of new projects and that does eventually work back down as a percentage of revenue?

Jesus Malave
Executive VP & CFO

Yes, I would expect it to be higher than 2%. It will come down, I think, over time. But it will be kind of 3 plus -- 3% to 4% is the right way to look at it on a normalized basis out in the future.

Operator

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Your next question comes from the line of John Godyn from Citi.

John David Godyn
Citigroup Inc., Research Division

Kelly and Jay, obviously, a lot of new detail about the free cash flow for the next few years. If we took it at face value, it kind of seems like all the numbers are just sort of parallel shifting lower. And what I want to ask about is just make sure we haven't lost sight of the North Star beyond 2029. Obviously, you don't have specific numbers out there. But if we thought about how our model should be changing in 2031 -- or 2030 and 2031 or whenever you kind of view getting past this period of ramp, has that ultimate number that kind of more full earnings power changed in your mind? Has that North Star shifted at all? And any other color on that, that you're willing to give would be helpful.

Jesus Malave
Executive VP & CFO

No, I don't believe so. I think both Kelly's and my comments both said the same thing, which was we expect significant growth beyond 2029. And so we will see runway -- continued runway on the margin improvement, and that will be a continued source of increasing cash flow in addition to volumes.

Back on the prior question, we we're talking about what we're assuming for 2029 from a delivery perspective, that also provides runway to deliver at a rate 63 and at a rate 14 on 787. So that will be a compounding benefit going beyond 2029.

John David Godyn
Citigroup Inc., Research Division

So is it fair to describe what's happening here is a steepening of the overall free cash flow profile but getting to the same point?

Robert K. Ortberg
President, CEO & Director

John, I kind of look at it as almost like a -- from expectations, more of a 1-year shift to the right. I don't think our expectations about the slope or the absolute endpoint has changed at all.

Operator

Your next question comes from the line of Ron Epstein from Bank of America.

Ronald Jay Epstein
BofA Securities, Research Division

Kelly and Jay, I promise I will not ask a cash flow question, but let's talk about something more fun. You guys won F-47, you won F/A-XX. It would appear that the future of tactical aircraft, military aviation for the U.S. is in Boeing's hands. So Kelly, how are you thinking about that for BDS? We think more broadly about BDS. How could BDS grow? What does that mean for margin? I mean that's a real structural change, right? I mean just a couple of years ago, I don't think anybody thought that was in the cards. But here it is. So how should you think about it?

Robert K. Ortberg
President, CEO & Director

Yes. So well, first of all, we are going to see higher growth out of our defense portfolio than maybe what we thought a year ago. I think we were thinking more in terms of low single-digit revenue growth. Clearly, that's going to be more towards the high -- middle single digit or higher going forward.

The important part is all these programs are also being underwritten with the right contract type. So not only are we booking more orders, we're booking more orders that won't result in some of the challenges we've had. And it's not just the order booking, Ron. We've moved MQ-25. We've moved T7 to milestones, C on both of those, a big new order on F-15Ex and there's more to come on that, the PAC-3 Seeker

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growth. And we've done MOUs with all of our customers on these big fixed price development contracts, and we've got Starliner kind of under control here in the last quarter.

So look, I feel much, much better about both the growth profile but also the margin performance profile. We still have to get through. We're not done with the development programs until we're done. But Steve Parker and his team are doing a really, really good job of finding win-win scenarios with our customers to get these projects move forward. So the outlook is strong. Our products across the board are in strong demand, and the budget supports additional growth. So look, I think our defense portfolio is a little bit of a sleeper here.

Ronald Jay Epstein
BofA Securities, Research Division

And just as a follow-on, just to kind of reiterate a question we get a lot, and this is for either of you guys. On F/A-XX or F-47, if you can say, people ask, is it fixed price development? Can you give us a hint? Is it not -- I'm hoping it's not. Can you give us a hint there?

Robert K. Ortberg
President, CEO & Director

So the F-47 is cost plus and the F/A-XX, I can't say, but I'd just say it's an appropriate contract type.

Operator

Your next question comes from the line of Gavin Parsons from UBS.

Gavin Eric Parsons
UBS Investment Bank, Research Division

I was hoping to get your latest thoughts on the possibility of a new single-aisle aircraft. And then separately, whether or not there's any assumption for higher R&D and CapEx related to that in the '29 free cash guide?

Robert K. Ortberg
President, CEO & Director

So really, nothing has changed on our outlook on new airplane. We've got a team working in our product development right now, trying to define what that -- what looks -- that looks like and what the market timing is. So really no change in our outlook. And certainly, that's -- any investment we need for that is contemplated in our cash outlook here.

Jesus Malave
Executive VP & CFO

Yes, that's right. And that -- there's not significant types of investments here. More of our investments would be in kind of R&D tech development type

Robert K. Ortberg
President, CEO & Director

And we will be ramping down as we finish the -- well, we're ramping down right now as we finish the 737 program. When we finish the 777 program, you will see a shift of resources and spending from those development programs to new programs.

Operator

Your next question comes from the line of Gautam Khanna from TD Cowen.

Gautam J. Khanna
TD Cowen, Research Division

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I was wondering if you could elaborate on the shape of deferred production across the three programs. If you can give us some sense for how much those balances will grow in aggregate next year? And then when they will decline and by how much in '28 and '29 in your assumptions?

Jesus Malave
Executive VP & CFO

Yes. Gautam, I'm going to get into the specific changes. But what I'll tell you is on the 737 and 787, they essentially start to flatten out next year. So they're a lower use of cash. Going into '28 and '29, they become sources of cash, and they become pretty significant sources of cash and drive working capital in total to continue to be a source of cash. And so those are, I think, directionally where they're going. The 777X program because it's going to be early on in deliveries, that will grow and that will grow over the next few years. But again, the cash drivers will be because of improved profitability on the 737 and 787 programs, we'll see a nice benefit from deferred production reductions on those two.

Eric Hill
Vice President of Investor Relations

Operator, we have time for one more analyst question.

Operator

Certainly. Your final question comes from the line of Robert Stallard from Vertical Research Partners.

Robert Alan Stallard
Vertical Research Partners, LLC

Kelly, maybe just to round things off here. I was wondering if you could comment on what has allowed you to give this free cash flow guidance here. What has changed in terms of your outlook that gives you the confidence to give these numbers?

Robert K. Ortberg
President, CEO & Director

Yes, Rob. Look, it's been a couple of years of really taking challenges face on and getting those challenges put to bed. We have significantly reduced the risk of this portfolio. If you look at just 2 years back, every one of our fixed price development programs was challenged. We've got that at hand. We didn't know whether we'd won any of the next-generation sixth-gen fighters. We've won both of those. So we've got that well at hand. And we can see the improved performance in how we're underwriting our defense business.

We also were -- if you recall, 2 years ago, we were coming out of a strike, and we were producing at 0 in our commercial factories. We've successfully ramped up to 38, albeit the ramp to 47 has probably taken longer than anybody wants. Everybody wants us to go faster. I get that. But we're going to stay disciplined as we ramp up here. And I think what we -- as we've looked at this, we feel like we have a better handle on the risk to where we can provide you an outlook that we can meet. And so I think now is the time the bar, as we said in the previous -- in our prepared remarks, the expectations are rising. We recognize that, and I think that's good and the expectations on ourselves are rising. And -- so we're providing this with confidence that the team is ready to go execute. There's still things out there that we got to deal with, but not near the uncertainty we had before, so I feel like it's a good time to do it.

Operator
And that completes The Boeing Company's Third Quarter 2026 Earnings Conference Call. Thank you for joining.

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The Boeing Company NYSE:BA

Company Conference Presentation

Wednesday, September 16, 2026 7:30 PM GMT

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Morgan Stanley, Research Division

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Presentation

Kristine Tan Liwag
Morgan Stanley, Research Division

Good morning, everyone. I'm Kristine Liwag, Morgan Stanley's Head of Aerospace and Defense Equity Research. I'm very, very excited to host our next panel. We have Kelly Ortberg, CEO of Boeing. Welcome.

Robert K. Ortberg
President, CEO & Director

Good morning.

Kristine Tan Liwag
Morgan Stanley, Research Division

And Jay Malave, CFO of Boeing. So very, very excited to have our next panel. Before we start, we'll do the standard disclosures. For important disclosures, please see the Morgan Stanley research disclosure website at www.morganstanley.com/researchdisclosures. If you have any questions, please reach out to your Morgan Stanley representative. And Jay, you've got yours?

Jesus Malave
Executive VP & CFO
I do. Thank you, Kristine. Today's discussion includes forward-looking statements that are subject to risks and uncertainties, including the ones described in our SEC filings. Relevant disclosures are included in the materials accompanying the event webcast, which can be accessed on the Events and Presentations section of our Investor Relations website. Okay.

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Question and Answer

Kristine Tan Liwag
Morgan Stanley, Research Division

Okay. Great. Wonderful. So Kelly and Jay, welcome again and lovely to see you at Laguna this year. I guess it's been a big year for Boeing in the past year since we were here. You now have the 737 MAX 7 certification. You've had successful production rate increases in several aircraft programs. I guess when you look back in the past year, can you share with us what you think have been the most successful accomplishments for Boeing? And also, what's been the biggest challenge in this past year?

Robert K. Ortberg
President, CEO & Director

Yes. It's been a big year for us. A lot of accomplishments. You mentioned the ramping up of production that's been paramount importance, and the team has done a really nice job of doing that on our Commercial business. And they've not just done it to get to the delivery output, but we've sustained all of our key metrics. We've done a lot of work on our culture across the company, restoring trust. We've seen the FAA give us redelegation of authority this past year, which is a really, really good sign on how we're reinventing our relationship with the FAA.

And probably the most -- maybe the most underappreciated is the amount of really good work that's been done in our defense portfolio and dealing with not only our challenging fixed-price contracts, but really setting the stage for future growth in that portfolio. Steve Parker and his team have really done a nice job.

I think as I -- and I said this at the beginning of the year, the one area probably at least the last part of last year that I didn't feel like we had made as much progress on was the certification programs. And as you mentioned, we're now having the -7, the 737-7 cert done, the -10 is coming very shortly. We really are knocking down these major milestones on certification as well.

Kristine Tan Liwag
Morgan Stanley, Research Division

And congratulations on that. Diving deeper on production rates, let's look at the 737 MAX 7. It's been successful to get to 47 per month. So also congratulations on that. You've noted that you have plans to increase the production rate again to 52 per month after you see stabilization.

Can you walk through what specific KPIs you're looking at now? And how long you want to be at those metrics before being comfortable to officially going to 52 per month? And also, when you think about production rates beyond 52 per month, what are the key gating items for production?

Robert K. Ortberg
President, CEO & Director

Yes. Well, first of all, you're right in that we're now driving at 47 a month, but we are not stable yet at 47 a month. That's been our task here to get stable. I'd say that's probably taken us a little bit longer than what I had anticipated maybe when we talked at the earnings call. The supply chain is in really good shape, including CFM on the engines, for our rate ramps on 737.

The area we're constrained right now is in our wings production. We actually produce all the wings in Renton for the MAX line. And we just have not seen the flow improvements that we expected in the time frame. So it's taken us a little bit longer. Having said that, we've got plans in place to go address that and move to the next rate. I think we're in pretty good shape from a supply chain to actually move to the next rate once we get some of these flow enablers behind us, and that will happen next year.

Kristine Tan Liwag
Morgan Stanley, Research Division

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Great. And then you touched on the supply chain, Kelly. It sounds like you're more optimistic on the supply chain. But when you look at further rate increases when you get to the 52 or beyond, can you talk about additional bottlenecks that you're monitoring for the supply chain there? And then also, how do you balance either the health of the supply chain, how much physical inventory you have versus potentially freeing up inventory to improve working capital?

Robert K. Ortberg
President, CEO & Director

Yes. I'll let Jay talk about the inventory because it's a big focus area for him to try to answer that question that you're talking about. Look, in terms of supply chain constraints. Again, on MAX, I'm not so worried about at least our near-term constraints. Now once we get to 52 and 57, that's when you're going to see the supply chain more aligned with us relative to inventories. We're still at pretty high levels of inventory. So you've got to see us -- to go to 52, we need to see stability out of our wing shop.

The other thing that's important is we've just turned on the North Line in Everett for 737 MAX. This is a new production line that we're going to build 4 airplanes here initially to certify the line. And we need to have that line producing to go to rate 52. So think about stabilizing at rate 47 in Renton, getting that North Line certified and producing. And once we've accomplished those two things, then we'll be ready to move to rate 52.

Jesus Malave
Executive VP & CFO

On inventory, Kristine, just that we've been doing some reviews now for really since the beginning of the year and looking at what the opportunity set is in inventory. And you think about kind of what we're trying to accomplish, and it's quite obvious. If you look at our balance sheet, it's a lot of inventory for the level of activity that the company is actually producing and delivering that. But when you look at, say, BCA, that's by far the largest element of inventory we have, and you've got to really break it down. And you've got to figure out a way in terms of feathering in the productivity and the improvements in inventory in such a way that continues to enable the rate increases. So it's not counterproductive to rate increases.

So if you look at -- you take a look at our inventory and you break it down at BCA, you've got kind of the normal production inventory to build an aircraft. And as we increase in rates, we'll have more throughput, we'll be more productive. And now we'll say that we'll more -- manage inventory come -- more productively and efficiently. While at the same time, it will be countered against wanting to increase rates and having more inventory.

So the opportunity set there is how do you hold it at least flat as you're increasing rates through better productivity. But again, how do you do that to make sure that you don't interrupt these rate increases that we're trying to accomplish.

Secondly, we -- and you're probably very familiar with this one is deferred production. And it's just a matter of our cash margins exceeding what we have in our average booking rates. We think next year, we'll start to level off there at least in the 737 and the 787. And then we'll start to come on the other side of that, where cash is exceeding, the cash margins do start exceeding what our booking rates are. So it's a matter of just catching up to the profitability.

There's also -- we have stored aircraft. So as we talked about in the past, we've got -7s that we've prebuilt. We're building -10 -- 37-7s and 37-10s that we'll start delivering on upon the certifications really next year and probably over an 18-month period. So then we'll see the inventory drawdown related to that.

And then the final opportunity is at BCA is really sitting on excess inventory. We certainly have excess inventory in different commodities, and we did that as a function of where we were a couple of years ago. And it's the same thing, how do you feather that down while not taking your suppliers out at too low a rate relative to what you're operating at and what you're going to. And so that will take multiple years to come down. But you got to think about the opportunity set, there's multiple billions of dollars there. So it's something that we're pretty focused on. It has to be done in a way, as I mentioned, the operational plan

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for that has to be consistent with our rate increase plans, so they're not working against each other. But I think that we've got good road maps for that. And each of these will have their own work streams.

Quickly just on BDS, just opportunity is there as well. Their inventory is not anywhere near as high as being a defense business. They have to think about pre-contract inventory. And so what you can do there is get into long lead material contracts, what they refer to as advanced procurement contracts with the customer such that you're being paid for the long lead material. And then on -- the other piece of them is really the contract assets, just delivering your milestones. You're delivering your milestones, you'll be able to turn that into a billable receivable quickly and then collect it.

And so -- and at BGS, on their commercial side, there -- if you think about them, they're kind of a parts distribution business and parts distribution is fairly low turns. But again, there's opportunity there to increase turns while at the same time generating the same sales. And on the defense side of BGS, similar to BDS, really hitting your scheduled milestones.

So what we're going to have to the extent that we don't have in all cases, a work stream associated with each of those areas. And this is a multiyear opportunity that we'll be able to realize.

Kristine Tan Liwag
Morgan Stanley, Research Division

And so, Jay, just confirming what you said there and summarizing, it sounds like once production rates are no longer in the increase phase, but more in the stabilization period and you get to those rates and you give time element to implement these things, you could free up a few billion dollars in working capital.

Jesus Malave
Executive VP & CFO

Right. And the beauty of that is once you get to the stabilized area where maybe you're not picking up inventory as a source of cash, but you're still holding it at a certain level, so that you can drop through the margins and really the net income of your throughput. And so as I mentioned before, it's a really solid opportunity for us and just got to -- there's a tail to it, no question.

Kristine Tan Liwag
Morgan Stanley, Research Division

Wonderful. And dovetailing to what you guys mentioned on the 737 MAX 7, which is now certified, so very exciting. But, Kelly, for the 737 MAX 10, can you walk us through the time line expectation of the certification of that program? And once that gets certified, how should we think about the pace of production and delivery for both the MAX 7 and the MAX 10?

Robert K. Ortberg
President, CEO & Director

Yes. So it's very soon. We've got the -- when I left Seattle yesterday, I think we had 3 deliverables to complete, all the deliverables to the FAA. Now the FAA work is quite a bit larger to review all that documentation then -- on the -7, but we're in close coordination with them and working on that. And so I think you're going to see that certification very soon.

And just to be redundant, we completed all the flight testing, all the testing, all of the real work is done. Now we're just in the documentation phase. We had a EASA flying the -10 this last week, and they were very complimentary. So things are looking really good to get to the certification. Now on -10, we are already building those. And as Jay mentioned, we've got -7s in inventory.

So as you look at our backlog, roughly 30% of our backlog is -10s. So you'll just see us start to build roughly 30% of the airplanes that will be rolling out the production line will be -10s. We are building 2 -10s up in Everett as a part of the line certification. One advantage Everett gives us is the -10 is a longer airplane. We can't go nose to tail in the factory in Renton with all -10s. We can do that in Everett. So it will give us a little more flexibility for product mix there and be able to do more of a longer aircraft.

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Kristine Tan Liwag
Morgan Stanley, Research Division

Great. Now switching airplanes to the 777X. Can you provide an update regarding the certification of the 777X? Also, there were some media concerns that some customers are concerned about technology obsolescence of some of those initial 777X that were in production already. How has been the discussion there? Do you -- are you seeing cancellations for some of those initial airplanes? Or are you seeing -- do you have to offer discounts?

Robert K. Ortberg
President, CEO & Director

There's no change in those initial units. Those are contract discussions we're having with our customers. And I think we've got that well understood and well contained within our estimate to complete. I don't want to negotiate publicly on what -- who is getting what airplane, but I think that's not a big issue for us. It's something we've contemplated.

As far as the certification program, we're continuing to tick off the flight tests that are under the approved-type inspection authorities, so that's continuing. We still do not have ETOPS authorization, ETOPS is the extended flight test program for twin engine and that's related to the mid-seal issue we've got with the engine. Until we get the mid-seal certification plan complete, we can't get authorization to start that ETOPS. We're expecting that very soon. GE is working that diligently, I think they had to do a little more testing than what we originally planned. I think they're still confident in the fix. So we've got to get that done.

Having said that, that's probably going to cause us a little bit of a challenge between now and the end of the year. We may see some of the testing spill into the next year. We're still planning on 2027 deliveries. And we still think that even if we had to shuffle some of our deliveries, that's within our EAC, our estimate to complete, for the program. So we're working through that right now, but I don't see that as a major challenge for us, but we still got a lot in front of us on the flight test program, not done until we're done.

Jesus Malave
Executive VP & CFO

Yes. Kristine, as we transition with the passage of time, as we get through certification, the focus will move to production and deliveries. And our forecast, as Kelly mentioned, we do -- we have made a few adjustments already to deliveries and production schedules, but all within the estimate to complete that we did last year. So that's all working well.

And then just to kind of to reiterate what we've talked about in terms of cash flow. When you think about it, we really haven't seen much change there, next year kind of in line with what it's going to be this year in that ballpark, generally flattish. We expect to improve in '28 and then turn positive in '29. So really no change there. While we do see some programmatic changes, the financial forecast and the EAC is still pretty much what we thought before.

Kristine Tan Liwag
Morgan Stanley, Research Division

Great. On the 787, actually, I flew it again about 2 weeks ago. I kind of forget how beautiful the aircraft is. Sometimes you see them on paper, but playing with the windows was fun. You've moved to 8 per month for the 787 production this year. Can you talk about how easy was it? Did you face some unexpected challenges for the 787 to get to 8 per month? Also, when would you be comfortable for potentially going to 10 per month?

And now I know I'm looking out into the future, but if you look at the backlog, there seems to be demand to support it going to 12 per month, potentially 14 per month.

Robert K. Ortberg
President, CEO & Director

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Yes. So if I look back through the year, and we've been pretty transparent about this, we have been behind on engine deliveries for 87. And we did pause early in the spring, we had to pause the production line to allow that to catch up. Having said that, we've stabilized at rate 8, we have not yet achieved the engine delivery performance that will allow us to go to rate 10. That's probably moving towards the end of the year. We had hoped to do that a little bit earlier. But again, we're working that recovery plan with GE right now.

So the rest of the supply chain feels pretty good in terms of production rollout. Now you do see lumpy deliveries from us on 787, and that's primarily driven by seating and seat certification. And as I've said, that's going to be with us for a while. It doesn't really impact our flow through the factory because we can build the airplanes, it's more of a we can't deliver them until we get the documentation and the certification work done. And there just are a lot of new seat configurations that are very complex and taking longer to certify than what we had anticipated.

So I think you're going to still see us -- even though we may have a pretty good rollout rate of 8 a month, you're going to see us be a little bit lumpy here month-to-month on 787 deliveries.

Jesus Malave
Executive VP & CFO

Just longer term, Kristine, back to your question on -- we do have plans to go to 14 in time. Our second assembly facility is under construction today. You can see it if you were to go by the Charleston site, and we expect that to be complete next year. So that helps start thinking about these future rates.

Kristine Tan Liwag
Morgan Stanley, Research Division

Great. In May, you had an order from China for about approximately 200 Boeing aircraft. Can you walk us through where you are in terms of the contract -- finalizing the agreement for the contract? What are the next steps in terms of getting this into a firm order? Could this happen during the upcoming state visit?

Robert K. Ortberg
President, CEO & Director

So just to be clear, we didn't get an order for 200. Chinese President indicated that they were going to go forward with an order, and we've been working on that. That's actually going per plan. I think the important part for us was during that China visit was to get that market reopened to us. I think there will be an increment of orders going forward. But they're going to be more of a normal. They're going to be announced by the airlines at their pace, however they want to announce those.

So we're progressing nicely, and I'm confident that we will be receiving orders. But I don't think they're going to be -- I think they're going to be announced by the airlines at their particular time. So we'll wait and see how that all works out.

Kristine Tan Liwag
Morgan Stanley, Research Division

Great. Now shifting gears to BDS. BDS has seen some improvement over the past few years, but this year was still a little bit lumpier. How do you think about the risk of potential incremental charges in BDS today? And assuming there were no charges, I hope there are no more, how should we think about the margin profile of BDS in 2020 -- the rest of '26 and as we go into '27 and '28, and context regarding the free cash flow profile for the business?

Robert K. Ortberg
President, CEO & Director

Well, I think we've greatly reduced the risk of incremental charges. Having said that, there's still risk. And that we've got some of these programs in reach-forward loss. So if we see significant cost increases that will result in additional charges. I think the team has done a very nice job of working with our customers to negotiate go-forward plans on these contracts that allow us to complete the programs within the

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estimate complete. VC-25B is still a big job for us. This is the Air Force One replacement program. And we did take a charge on that here in the last quarter.

I'm not anticipating that we're going to see a return to a lot of charges, but there may be some minor charges along the way as we complete the programs. I think the team has done a really, really good job of getting more disciplined around change management, scope management and making sure we've got a good estimate to complete in our EACs on these programs. So in spite of a lot of work yet to do, I feel much, much better than I did a year ago on where we are on the development programs within BDS.

Jesus Malave
Executive VP & CFO

If you think about the ramp, Kristine, I would say they ramp to high single digits, that's the target for them by the end of the decade. And it's generally linear. It's -- their performance has done pretty well. If you look at their underlying results this year, year-to-date, backing out the VC-25B charge, they're pretty much on track with the rest of the portfolio. So as Kelly mentioned, their performance is better, their process discipline is better, their underwriting discipline is certainly better. And as we start retiring some of these contracts and fully deliver on those, they're going to be replaced by other more profitable, better priced and better underwritten contracts. And then the performance is just -- program management performance is just better as well.

So we have a high level of confidence that they'll be able to do that. And as Kelly mentioned, you can never say there isn't any risk. But if you think about some of these programs, VC-25, commercial crew contracts, those will fully deliver out. And those will be replaced by other business that's going to be better priced. And look, we've learned our lessons in the past and underwriting discipline is certainly a key tenet of what Steve and his team are doing.

Kristine Tan Liwag
Morgan Stanley, Research Division

In March of last year, you won a very exciting program, the F-47. So the development program is $20 billion. Can you give us an update on how that program is progressing? What are the key milestones to watch? When do you expect first deliveries of the F-47?

Robert K. Ortberg
President, CEO & Director

Well, I can't talk about deliveries on the program. I would just say it's going well. I'd direct you to the comments from General White, who oversees that program. I think he's very publicly saying that we're making good progress, and he's satisfied with the progress towards first flight. So things are going pretty well on the program. We're pretty happy.

Kristine Tan Liwag
Morgan Stanley, Research Division

Great. Now maybe switching topics to one I know investors are really focused on, which is on the SPEEA, your engineering union negotiation. Considering that they rejected the proposed contract last month, how are you thinking about the risk to reaching an agreement before October 9? And should you see a strike, how should we think about potential disruption to the business?

Robert K. Ortberg
President, CEO & Director

Well, let me be clear. We're working very hard to try to avoid any kind of a work stoppage. That's our key #1, 2, 3, 4, 5 priority because that impact would be significant. If we did have a strike, essentially the 777 certification program shuts down until we get the engineers back and it will have ripple effect even into our production.

We have put together a contingency plan, as responsibly you should. And I think that contingency plan is focused on allowing us to sustain the level of 737 production. 787 is not -- because it's in a different

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region, it's not impacted by SPEEA. We probably will not be able to sustain the rates of 737 in a strike, but we want to try to keep the production line hot. But again, we're focused on not having that event.

One of the things we did, Kristine, is that we agreed with the union to start negotiations early. I think that was wise because we got through this first round, and we found out that the agreement that we had with the bargaining unit negotiating team wasn't what the union wanted. So we've listened very carefully to the feedback as -- that process. We now have a new offer that's endorsed by the negotiating committee as well, and that will go to vote here. So I'm very hopeful that, that gets us over the finish line, but we don't know until the vote is in. And that will be -- the last day of the contract is October 6?

Jesus Malave
Executive VP & CFO

October 6.

Robert K. Ortberg
President, CEO & Director

October 6. So the vote will be happening here in the next couple of weeks between now and October 6.

Kristine Tan Liwag
Morgan Stanley, Research Division

I hope you find a good resolution.

Robert K. Ortberg
President, CEO & Director

Yes. Well, we're working really hard to do that.

Kristine Tan Liwag
Morgan Stanley, Research Division

Last month, you announced the divestiture of a few assets with Wisk Aero, Insitu and SkyGrid. What considerations did you weigh in making this decision? And is there more to do from a portfolio perspective?

Robert K. Ortberg
President, CEO & Director

Well, this is kind of a unique opportunity, actually. We looked at where we were. And one of the key things we wanted to get out of the Wisk investment was the autonomy technology and the ability to civil certify that autonomy technology. And I think for the most part, we got what we wanted at that. And now we were looking at the major investment to actually go to market. We're starting with an autonomous vehicle. Archer has a piloted vehicle, which will go first before autonomous vehicles. So we felt like bringing those together actually gave us a higher probability of success in terms of getting into the market.

We still will own a percentage of the Archer company going forward. We have someone that will be on the Board of Archer going forward. And then we continue to still have access to the IP for our core aerospace business. So I see this as a really good win-win. And we were to a point where we were going to have to start investing significant capital into that marketplace. And we've got to make our priorities decisions, and this allows us to focus our capital on some of our more core markets.

Kristine Tan Liwag
Morgan Stanley, Research Division

Great. Now on free cash flow, which I think everybody is excited about. So you've guided to $1.3 billion -- sorry, excuse me, $1 billion to $3 billion of free cash flow for the year in your last earnings call. I'm not trying to add other numbers there. Is that still your current thinking?

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And then also, when we look out to 2027, how meaningful of a step-up could you see in free cash flow? Now these are not your numbers. These are consensus numbers. Consensus is looking at a forecast of $6.2 billion in free cash flow for 2027. How do we think about puts and takes for that number?

Jesus Malave
Executive VP & CFO

Sure. Well, first things first, let's start with 2026. Yes, we still believe in the $1 billion to $3 billion of the prior guidance that we had laid out back in January. We had guided really more towards the midpoint. What I'd say there, steady as she goes, it's still where we expect it to be nearly through almost over 8 months in the year. And so really not much change there despite the fact that things do actually change.

And I'd kind of point back to some of Kelly's comments in your first question, is the fact that we haven't seen any change there. To me, it's an indicator and symbolic of improving stability in the business, improving stability in our operations, and that leads to more predictability in our cash flow forecasting. And hence, we're not really seeing any -- much changes. They're pretty stable.

And so again, $2 billion, I think, is really the framework within that $1 billion to $3 billion. I talked about before, well, how do you get above to this $2 billion midpoint. And that would be through higher deliveries in the back half of the year. But as we mentioned, with some of our rates, maybe a little bit slower on 737 and 787 really pushing to the end of the year on the rate ramps, that upside is a little bit less likely than it was before. And so kind of get -- as I mentioned, stable, steady around that $2 billion midpoint that we talked about.

Shifting to 2027. We're still going through our planning cycle with our segments. And if I start with, say, BCA, just a reminder of how do we generate cash even to begin with. They sign a contract in that -- with that contract, they may or may not receive a deposit agreement. And that varies -- could vary in size depending on the customer, depending on the deal, depending on the amount of aircraft. So that's a variable. It changes.

Beyond that, once you get into contract, you start receiving predelivery payments or advances about 2 years in advance of delivery. And that's -- once you kind of know what your delivery forecast is going to be, not just in your current year but the year beyond that because you're receiving advances now 2 years in advance, you have to plan that out and make sure that you've got a pretty good forecast for what your rate changes are going to be and then what you think how that's going to convert into deliveries because delivery is really what drives the predelivery payments.

And then finally, you get the delivery payments and again, it's a function of what you expect that to be, say, in 2027. So we're working through all that with the BCA team. We continue to narrow the range of outcomes there, but it's still the benefit of time there, and you have to go through that and get the best informed information on that.

As it relates to, say, BDS, again, they'll improve kind of in relation to their profitability, I would say. And in BGS, kind of we'll see cash flow generally grow with the growth in that business as well. And so I'm not ready to kind of lay out anything. Those are the general kind of key frameworks that we're thinking about for 2027. And I would expect it to grow. But as I mentioned before, in January, we still have these issues with what we refer to as drags, whether it's the pricing penalties, the excess advances that we have to burn through. And that will still burden cash flow in 2027.

And so as we work through that, right now, I'm kind of thinking it's still a transitionary period as we go through this. And cash flow, with the breakthrough, it's coming, but we still have to burn through some of these drags that I've spoken about in the past.

Kristine Tan Liwag
Morgan Stanley, Research Division

Great. Super helpful, Jay. Now it's been 4 years since you had your last Investor Day. I mean, time flies by when you're having fun, right? I think you have...

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Robert K. Ortberg
President, CEO & Director

I wasn't having fun then. I am now.

Kristine Tan Liwag
Morgan Stanley, Research Division

Fun is always relative, Kelly. When you rolled out the $10 billion of free cash flow, and now we're seeing finally the path to the 737 MAX getting to that 50 because that seems to be within the horizon and the 787, potentially the 10 per month. These are the 2 tenets supporting that $10 billion free cash flow.

Now that you've got more visibility to these higher rates and, Jay, you had highlighted the puts and takes in working capital when you kind of get to these levels, how should we think about normalized free cash flow for the Boeing Company?

Jesus Malave
Executive VP & CFO

On a normalized run rate business, it's still generally the same, 50 plus on 737 and 10 plus on 787. What I would say is a little bit different is that we'd expect also to start generating positive cash flow on 777X program as well. And the reason for that is that our CapEx is higher now than it was when we were thinking about this in 2022. So not substantially different, but a little bit different.

Now as you know, the specific timing of that, again, depends on how we burn down now these penalties, as I mentioned before in the prior question, as well as the excess advances. But we've got a pretty good line of sight. And it's fundamentally -- generally speaking, very similar to what it was. Now by the time we burn these things down, we'll probably be operating at higher rates than just, say, a 50 and a 10 number, in that ballpark. So again, timing, it's going to happen. And we'll let you know. But I think that framework is -- on a run rate basis is definitely pretty much intact.

Kristine Tan Liwag
Morgan Stanley, Research Division

Okay. Great. I think looking at the time, that is the time that we have. This concludes our presentation with the Boeing Company. Thank you very much, Kelly. Thank you very much, Jay.

Jesus Malave
Executive VP & CFO

Thank you, Kristine.

Robert K. Ortberg
President, CEO & Director
Thank you, Kristine.

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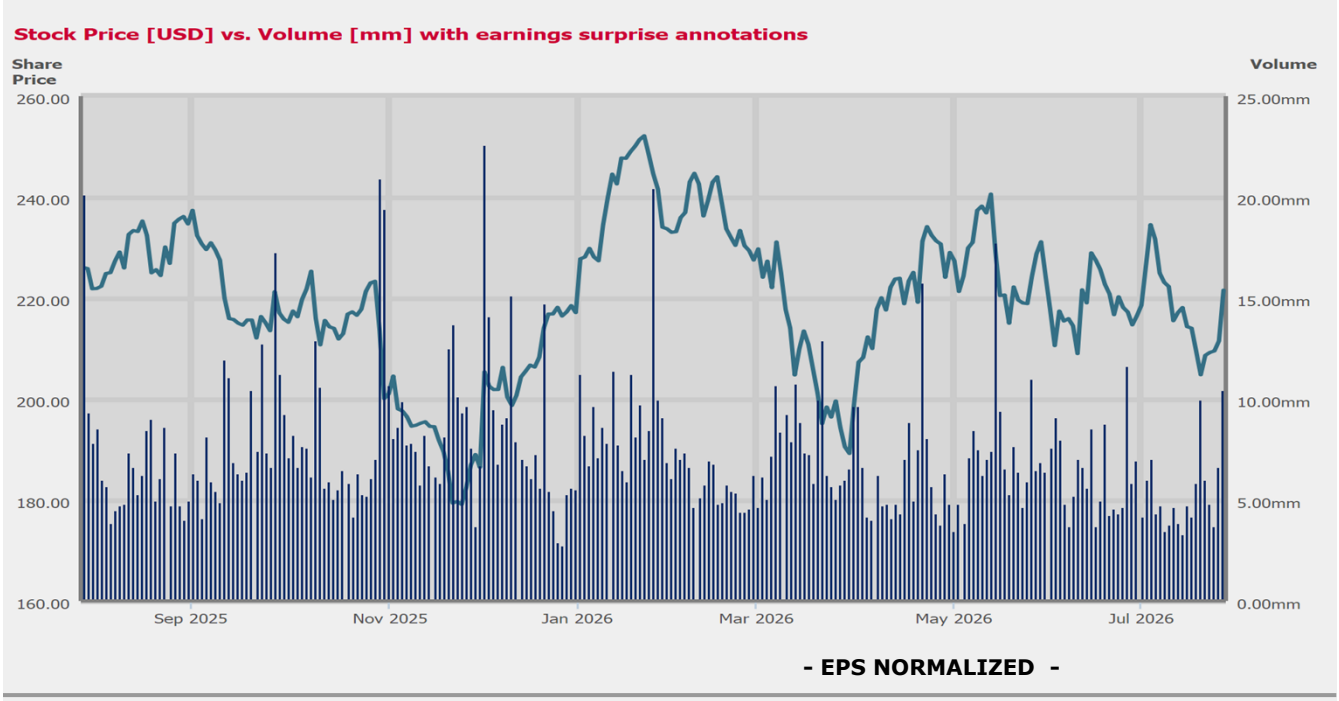
FQ2 2026 Earnings Call Transcripts

Tuesday, July 28, 2026 2:30 PM GMT

S&P Global Market Intelligence Estimates

	-FQ2 2026-			-FQ3 2026-	-FY 2026-	-FY 2027-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	(0.31)	(0.76)	NM	(0.44)	(1.56)	4.18
Revenue (mm)	24270.69	24560.00	1.19	25011.60	98398.97	112025.36

Currency: USD
Consensus as of Jul-28-2026 2:07 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ3 2025	(2.38)	(7.47)	NM
FQ4 2025	(0.41)	9.92	NM
FQ1 2026	(0.67)	(0.20)	NM
FQ2 2026	(0.31)	(0.76)	NM

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Presentation

Operator

Thank you for standing by. Good day, everyone, and welcome to The Boeing Company's Second Quarter 2026 Earnings Conference Call. [Operator Instructions] Please be advised that today's call is being recorded. The management discussion and slide presentation, plus the analyst question-and-answer session are being broadcast live over the internet. [Operator Instructions] At this time, I'm turning the call over to Mr. Eric Hill, Vice President of Investor Relations, for opening remarks and introductions. Mr. Hill, please go ahead.

Eric Hill
Vice President of Investor Relations

Thank you, and good morning. Welcome to Boeing's quarterly earnings call. With me today are Kelly Ortberg, Boeing's President and Chief Executive Officer; and Jay Malave, Boeing's Executive Vice President and Chief Financial Officer. This quarter's webcast, earnings release and presentation, which include relevant disclosures and non-GAAP reconciliations, are available on our website. Today's discussion includes forward-looking statements that are subject to risks and uncertainties, including the ones described in our SEC filings. As always, we will leave time at the end of the call for analyst questions. With that, I will turn the call over to Kelly Ortberg.

Robert K. Ortberg
President, CEO & Director

Thanks, Eric, and good morning, everyone. Thanks for joining in today's call. Before we get started, I want to express our sincere condolences to the families and loved ones of the 8 dedicated aircrew whose lives were lost in U.S. Air Force B-52 accident in June. Our hearts remain heavy for the lives lost, including 2 incredible Boeing colleagues who worked side-by-side with our customer on the program. We continue to provide technical assistance to the investigation, and we're supporting the Air Force in every way we can.

Now let's shift our focus to the second quarter. We're halfway through the year, and I'm very pleased with our progress as we execute on our 2026 plan. With the continued focus on safety and quality, our teams are increasing production and delivering at levels we have not seen since 2018. Our commercial certification programs, a key focus for us this year, remain on plan, and I'm proud of our team's dedication to complete the certification work as well as how we have continued to work collaboratively with our regulators.

Earlier this month, the FAA authorized Boeing to resume issuing airworthiness certificates for all 737 MAX and 787 airplanes. We worked hard to build this trust from the FAA, and we take this responsibility very seriously. Safety will continue to lead the way in everything we do. In Defense and Space, we continue to address risks in the portfolio while increasing output to meet today's mission and invest in the capabilities for our future fight. Our service business has seen robust growth despite macro uncertainty, and we continue to win favor with our customers every day.

We are strengthening the trust with our supply chain through increased transparency and strong demonstrated performance. This positions us to deliver higher volumes and respond quickly when challenges arise. All of this progress is set against a backdrop of a record backlog and culture change that continues to take hold and improve the way we work together. We know there's more work to do and remain clear-eyed about managing the risks in front of us. But the momentum that we've built in the first half of this year is setting us up for more dependable performance as we execute the second half.

Let's now take a closer look at our businesses, and we'll start with Commercial Airplanes. As we said all year long, completing the certification work on our development programs is one of our biggest goals. We continue to make a lot of progress consistent with our plan. In fact, on 737-7, testing is done and we expect to receive an amended type cert from the FAA very soon. On 737-10, we recently completed our final test flight and expect certification following the -7. These certifications pave the way for both airplane

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variants to start deliveries in 2027, and I'm confident these newest members of the 737 MAX family will deliver on the promise of greater efficiency and more capability for our customers.

On the 777-9, we remain on plan for first delivery in 2027. In June, we received approval from the FAA for the next phase of the certification flight test called TIA 4B. This unlocked the largest remaining portion of the flight testing, and we've currently completed more than 55% of the certification flight testing and expect our accelerated pace to continue progressing this summer. In addition to certification flight testing under the phased TIAs, we expect approval to start ETOPS testing later this year.

Turning now to the BCA production programs. On 737, we're now ramping to 47 airplanes per month after a successful capstone review in May and expect factory rollouts to reach 47 per month this summer. Just as with our previous rate breaks on the program, we're closely monitoring our key performance indicators in the factory. And so far, early results are within our expectations, driven by the fundamental improvements we made to factory health. And in Wichita, our integration is going well as teams continue to meet targeted reduction in quality defects before shipping fuselages to the final assembly.

Earlier this month, we began low-rate MAX production on our North Line, which enables us to reach our next planned rate break of 52 per month. I was with the team in Everett just after the first fuselage loaded into our new production line, and I can tell you they are ready and energized to build 737s. Our Everett team will be guided by the same safety and quality plan that has been successful in Renton, and the low-rate production will include certification of that new line.

In Charleston, on the 787 program, we've now stabilized at 8 airplanes per month. We did take the decision to temporarily slow production systems for several days in April to allow portions of the supply chain to recover. As we said before, we're guided by our safety and quality plan and will only move production forward when the system and our supply chain are ready. And we'll continue to work with GE on the engine delivery recovery this summer, which will be important for our rate 10 timing. Across the commercial market, we continue to see exceptional demand and market conditions as evidenced by our record backlog of more than 6,200 airplanes and a market outlook of nearly 44,000 new aircraft over the next 20 years.

Let's now shift to BDS, where we're making progress and staying focused on disciplined execution to strengthen performance, meeting customer commitments and making deliberate investments in our programs. During the quarter, we achieved Milestone C for both the T-7 and the MQ-25 programs, securing approval to begin low-rate initial production. For the T-7, as an outcome of our active management efforts, we're delivering a production-ready configuration that further reduces risks and accelerates future deliveries. We also recently reached a memorandum of agreement with the U.S. Air Force, which strengthens KC-46A mission readiness and allows us to partner on the Remote Vision System 2.0 retrofit to get these capability upgrades faster into the full fleet. In fact, we recently completed a very successful first phase of flight testing on the RVS 2.0 upgrade.

One of our fixed-price development programs where we have seen cost growth is the VC-25B. As we disclosed this morning, we've made the decision to add significant resources to support the build and test schedule on VC-25B. We have also aligned with the Air Force on moving from an FAA to a military certification basis. These additional resources will also help mitigate potential risks during certification and flight tests. Since this program is in a reach-forward loss, these additional investments resulted in a $280 million charge during the quarter.

Now while the charge is disappointing, we recognize how critical schedule performance is to our customer, and we are investing accordingly to maintain our commitment to deliver this airplane in 2028. This shouldn't overshadow all the meaningful progress we're making to reduce the risk across our Defense portfolio, and we are in much better shape than we were 2 years ago.

Like in our Commercial business, the demand signal on our Defense and Space products remains very strong, with notable increased demand in missiles and munitions and secure communication satellites programs. We continue to do a good job in improving our underwriting of new contracts and being selective on the programs we bid. Finally, in BGS, where our service team continues to deliver strong results against the backdrop of a robust aftermarket. So far, we've not seen a material impact in the

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commercial service business from the conflict in the Middle East, and the government service business has seen incremental demand to support ongoing operations.

In closing, the momentum we're seeing across these 3 businesses reflect the steady work our teams are doing every day to strengthen safety, quality and stability. And I want to thank all of our employees for elevating our performance and helping deliver another improving quarter. As you may know, we've been in early contract negotiations with our Puget Sound Engineering Union, SPEEA, ahead of the current contract expiration this October. We began these discussions early because we wanted to work towards an agreement that supports our employees and their families, creates greater clarity for our business and helps us stay focused on the progress we're making. And so far, the tone of those talks have been respectful and productive.

Looking ahead, I'm encouraged by the broader momentum we're building across Boeing as we move into the second half of the year. We had a great Farnborough Airshow last week. Customers and suppliers I spoke with have renewed confidence in our team, products and ability to deliver on time with higher quality. The work we've done together over the last 2 years is making a difference, and our team is ready to meet the rising expectations. We have a stronger foundation to build upon. Our operations are more stable, and we're ramping up production to deliver on our record $715 billion backlog. We're on track to be free cash flow positive for the year. And most importantly, we're building trust with all of our stakeholders. So now I'll turn the call over to Jay for our second quarter results in more detail before we take on the questions.

Jesus Malave
Executive VP & CFO

Thanks, Kelly, and good morning, everyone. Starting with consolidated financial results for the quarter, revenue of $24.6 billion was up 8% driven by solid growth across all 3 segments, including higher Commercial deliveries and strong Defense volume. The revenue impacts from the Spirit acquisition and Digital Aviation Solutions divestiture in 2025 largely offset each other.

Operating margin increased to 0.6%. Core earnings per share improved to a loss of $0.76, primarily reflecting higher segment earnings and lower corporate expense, partially offset by the VC-25B program loss. Free cash flow was positive $631 million, higher than expectations I shared last quarter based on favorable receipt timing. Compared to prior year, free cash flow improved due to higher commercial deliveries and customer receipts, partially offset by planned CapEx increases as we continue to make progress on our growth investments in St. Louis and Charleston.

Turning to BCA on the next page. BCA again made solid progress in its production performance by delivering 171 airplanes in the quarter, the highest quarterly total since 2018. Revenue of $11.8 billion was up 8% on the higher deliveries and favorable mix. Operating margin of negative 2.7% improved compared to last year primarily driven by increased delivery volume and mix. In the quarter, we also recognized other favorable adjustments of about 150 basis points. Excluding those adjustments, profitability improvement was in line with our expectations. Backlog continued to grow and remains at a record level of $597 billion, including over 6,200 airplanes.

Clicking down on Commercial program performance and starting with the 737, we delivered 129 airplanes in the quarter and remain on track to deliver 500 airplanes this year. Kelly highlighted the certification progress we have made on the -10, and we will continue to ramp up -10 production in the second half of the year. Turning to the 787. We delivered 25 airplanes, including 13 in June and remain on track to deliver 90 to 100 airplanes this year. As Kelly mentioned, during the quarter, we stabilized production at 8 per month. At the end of the quarter, we also made important progress on seat certification. In June, Riyadh Air took delivery of its first 787 Dreamliners, airplanes that were previously built but awaiting seat certification. Finally, on 777X, we continue to make steady progress on certification as Kelly noted, and we remain on track for first delivery in 2027.

Regarding the previously discussed engine durability issue, GE is finalizing the modifications with the FAA and remains confident in their root cause analysis and solution. They have already incorporated the change into their production system, and engine deliveries are expected to resume in the third quarter. We

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continue to manage the entire production system for increased rates. Supply chain readiness, including engines, remains a key factor in our production and delivery plans next year.

Shifting over to BDS on the next page. BDS delivered 35 aircraft in the quarter. Revenue increased 13% to $7.5 billion primarily driven by higher volume, including growth on classified programs, missiles and weapons and KC-46A tanker. Spirit contributed approximately $130 million to sales in the quarter, or about 2 points of growth. Operating margin was negative 0.2%, which reflects the $280 million loss on the VC-25B program. BDS booked $7 billion in orders during the quarter and backlog remains strong at $85 billion.

Excluding the impact of the VC-25B adjustment, BDS operating margin was 3.5% in the quarter, reflecting better operating performance across the rest of the business and in line with our expectations for steady margin improvement. Further progress will come from completing fixed-price development programs that currently dilute margins and from executing our sizable backlog, which carries attractive margins that will accelerate improvement. I'm confident that the BDS team is on the right track, and we remain confident in the path to return to high single-digit operating margins by the end of the decade.

Now moving to Global Services on the next page. BGS continued to perform well and again delivered strong financial results in the quarter. Revenue was up 1% to $5.3 billion. Excluding the impact of Digital Aviation Solutions divestiture, revenue was up 8% year-over-year. Operating margin of 18.1% was down from the prior year, primarily related to the impacts of the Digital Aviation Solutions divestiture as well as higher costs and less favorable mix. Both commercial and government businesses delivered double-digit margins in the quarter. Operationally, the BGS team continues to drive process improvement across the business. For example, on the P-8 modification program in Jacksonville, we have reduced flow time by 44%, demonstrating the impact of our process and training initiatives. BGS received $5 billion of orders and ended the quarter with a backlog of $33 billion.

Shifting over to cash and debt. Cash and marketable securities ended at $20 billion, primarily reflecting debt repayments, partially offset by cash flow generated in the quarter. The debt balance ended at $45.9 billion, down $1.3 billion in the quarter and $8.2 billion year-to-date on the paydown of maturing debt, consistent with our debt reduction plans. We also maintained access to credit facilities of $10 billion, all of which remain undrawn, and we remain committed to strengthening the balance sheet and supporting our investment-grade rating.

Regarding free cash flow, we remain on track to achieve our outlook of $1 billion to $3 billion. First half performance came in better than expected, driven by favorable receipt timing within the year. Note that the $700 million DOJ payment planned for the second half of 2026 is expected to be paid in the third quarter. Factoring in that impact, we expect third quarter free cash flow to be positive and in the low hundreds of millions of dollars. Overall, the improved cash profile gives us confidence in the outlook for the year.
Beyond 2026 and consistent with what we have discussed previously, free cash flow is expected to grow, primarily driven by higher commercial deliveries, steady improvements at BDS and continued growth at BGS. We continue to view the $10 billion free cash flow figure as very attainable with significant growth beyond that into the next decade as we execute on our record backlog and benefit from continued strong market demand. Okay, summing it all up, a strong first half with steady progress against our plan, resulting in a more balanced cash flow profile. We remain focused on continuing that momentum and building sustained free cash flow growth. With that, let's open up the line for questions.

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Question and Answer

Operator

[Operator Instructions] Our first question comes from the line of Seth Seifman from JPMorgan Chase.

Seth Michael Seifman
JPMorgan Chase & Co, Research Division

Jay, maybe I'll start off where you finished. I think the cash flow trajectory then for the rest of the year implies a pretty strong Q4 and offsetting some headwind in Q3. So maybe if you could talk about some of the moving pieces there. And then with regard to the color that you gave about the out years, if there was anything that you could say about the shape of that curve going forward. I know you've talked a little bit in the past about 2027 still seeing some of the lingering pricing and concession that are attached to 737s and 787s.

Jesus Malave
Executive VP & CFO

Sure. Thanks, Seth. Thank you for the question. You're right. If you kind of just do the math and back into the fourth quarter, that would imply a pretty strong fourth quarter. Just to kind of give you the moving pieces and the elements of the back half free cash flow, it's something that's consistent with what we've talked about before. It consists of rising and improving delivery rates on the BCA programs, both the 737 and the 787, given the guides that we have related to deliveries. It also includes the improvements at BDS. So really, kind of, where we are at BDS. As I mentioned, we're 3.5%, excluding the VC-25B charge. We continue that performance, and we also have a seasonable -- or seasonal cash receipts related to advances. As you know, we typically get the KC-46 advance in the fourth quarter. We would expect that to occur again.

So it's pretty much delivered out on the rest of the guide that we have for the year, which will drive that cash flow in the back half of the year. We feel pretty confident at the midpoint. If you were to ask me, given that you're better or stronger year-to-date, what would it take to be higher than that, it really comes back to deliveries. If we're able to overdrive on our deliveries at BCA, then that could result in a better number. But right now, we're pretty -- feel pretty good, if not very good about where we are at the midpoint for the year. And as I mentioned in my prepared remarks, the better profile, more balanced profile in the year sets us up well to deliver on this guidance.

As far as future years, look, we still have plenty of things to work on here in '26 and complete the balance of the year. That'll help inform where we go in 2027, so we need the benefit of time and completion of these milestones in the back half of the year. The building blocks of out-year free cash flow are really no different than what we've talked about: improving and growing BCA deliveries, performance at BDS and continued profitability improvement there as well as continued growth at BGS. I think the timing of these are things that we continue to work through, and I think we'll be able to give you better clarity around that in time.

For now, we just started -- we just kicked off our planning cycle. And so I'd like to go through that, get the benefit of that information before we start talking about specificity there. But again, as I mentioned in my prepared remarks, we're confident in the $10 billion figure. We're confident that we're going to get there, and we're on the right track. Everything that you saw here in the second quarter positions us well to continue to drive better performance and start delivering on this free cash flow growth.

Operator

Your next question comes from the line of Doug Harned from Bernstein.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

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This is going to be 2 parts on the 737. But you're at rate of 47 going to 52 next year. And Kelly, you've talked about going to 57 and potentially 63 a month. And I guess, first, at what point do you expect the supply chain challenges to become more difficult as you go through those rate breaks? And then on margins, and you should see margin help from deliveries of -10s and presumably some better pricing on more recent orders, but you're going to need to work through late penalties and supply chain risks. So just trying to understand what's the path back on 737 margin levels to get to something like we saw back in 2018.

Robert K. Ortberg
President, CEO & Director

Okay. Doug, let me -- this is Kelly. Let me take the rate increase part of the question, and then I'll let Jay talk about the margin improvement. So you're right, we're in the process of moving to 47. That's all within our plan. One thing I'll just note is we also -- with the Renton line, we'll be going through a period here this summer where we'll be stabilizing at rate 47 in Renton, and then bringing on the production line in Everett which we want to have producing to move to the rate 52.

Right now, I would not point to you any supply chain constraints relative to moving to rate 52. I think from 52 to 57 is where we'll start to see more balance in our inventory levels where the supply chain is going to need to be performing quite well. But I think right now, there's nothing I would point to that says there's anything I'm overly concerned about. In our internal shops, it's working on wings. Wings tends to be the area that we need to see improvement as we move up in rate. We've got flow improvements in place, and so far that looks pretty good.

So I'd just say let's watch how we do at rate 47. That'll inform rate 52. And like we've said all along, we'll go when we're ready. I just also would say that I think it's going to get harder as we go from 52 to 57 and then beyond that. We'll just have to see how well we're all collectively doing and how stable the production system is. But look, we're on our plan. Our plan is working. We're going to continue to execute in the same way we have as we've moved from 38 to 47.

Jesus Malave
Executive VP & CFO

Doug, just on the program cash margins, there's really no change to what we've talked about before. And certainly, today, we're at depressed levels, slightly above breakeven both 737 and 787, and that's largely due to these pricing drags that I talked and walked you through in January. It does take some time for us -- for those to fully dissipate and the benefit of our delivery cadence will drive that and dictate as those diminish.

We'll also get the benefit of -- as we increase rates, just the benefit of fixed-cost absorption on our costs. And in addition, we will see better priced delivery of the backlog. In addition to that, we also are compounded by that is the fact that we'll have better mix. And so all those taken together will drive us to margins that will approximate, on the 737, what they were in 2018 by the end of the decade. And we expect on the 787 that we'll actually surpass what they were in 2018 by the end of the decade as well.

And what I'll tell you there as well is that there's runway beyond that. As we go beyond the decade, there's even room for those to continue to improve, and that's because of what's in the backlog. The beauty of our backlog is that it's visible. And we've talked about this. I think the team talked about this, I think, very clearly at the airshow. It's all about execution for us, and we're all in this together. And if we can execute on these rate increases and deliver on our commitments to our customers, then the cash flow is going to follow.

Operator

Your next question comes from the line of Robert Stallard from Vertical Research.

Robert Alan Stallard
Vertical Research Partners, LLC

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Kelly, on the 787, I was wondering if you could clarify what's going on with engines because GE says there's not a problem with engines, but it clearly seems like, from your perspective, there is. And also on the 787, have we now turned the corner on these seat certification delays?

Robert K. Ortberg
President, CEO & Director

Yes. Let me take the last part of the question first. We're not through all of the seat certifications that we have. I think the Riyadh was the last, what I'll say, large quantity where we had a large quantity of aircraft tied to an individual seat cert. But that's -- the seat certifications are going to be with us for the balance of the year. And so that may make our deliveries a little bit lumpy. I will say that the seat certifications really aren't impacting our ability to roll out airplanes. So it's really getting the certification paperwork complete, so we can make the deliveries. So we're going to still be battling with that. I can't claim victory yet as we work through the balance of the year.

In terms of engine deliveries for 87 (sic) [787], we have fallen behind deliveries in the first half of the year. We have a corrective action plan, a recovery plan that we're working with GE. We did, as I mentioned, pause -- several pause days in the production line to allow supply chain to catch up here. But it's important that we do see the improved recovery on engines to allow us to move to rate 10. So that's something that we're working closely with GE to make sure we achieve that. And I think they're pretty confident in their ability to achieve the recovery plan.

Operator

Your next question comes from the line of Peter Arment from Baird.

Peter J. Arment
Robert W. Baird & Co. Incorporated, Research Division

Kelly, you've been in the role now as CEO for 2 years and you've made just an absolute ton of progress on many fronts. So congrats on that. But sometimes, labor relations get overlooked on Wall Street, and you're currently just starting negotiations, as you mentioned, with SPEEA. How would you frame up the risks there? And how would you kind of describe the labor side of things shaping up overall at BCA?

Robert K. Ortberg
President, CEO & Director

Yes. Well, as we said -- or I said in my prepared remarks, we started negotiations early to try to avoid any kind of a work stoppage associated with the negotiation. And we're in the middle of that. I think it'd be inappropriate for me to predict where that's going to go at this particular time. I'll just say that we're keenly focused on it. We spent a lot of time with our workforce here. So I'm very hopeful that we'll get to an agreement and just keep on with our momentum. You can expect that to play out here between now and the October time frame. So hopefully, we can get that done a little bit earlier than that, so we don't get up to a milestone where we've got critical issues.

I will also say that as we manage this, we're looking very hard at what we would do, should we have a work stoppage and what plans we can put in place. I hope that's not the case. I don't expect that to be the case. But we're planning accordingly, as you can imagine. So we'll just have to wait and see how that all plays out, Peter. It takes two to tango in these, and we're certainly on our side trying to do our best to circumvent any kind of work stoppage.

Operator

Your next question comes from the line of Myles Walton from Wolfe Research.

Myles Alexander Walton
Wolfe Research, LLC

Kelly, on the 777X program, you mentioned 55% of the flight tests being complete. And I guess on the surface, that seems a little low if the full program flight test is going to be completed by year-end. So

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maybe walk us through how those step functions work. And can you just confirm, are you concluded with Phase 3? Is there any -- sorry, parallelness to Phase 3 that's ongoing? Or are we just in Phase 4?

Robert K. Ortberg
President, CEO & Director

So Myles, look, 55% is pretty good. Remember that we pre-dry run most of these flight tests. So what we're talking about is actually the certification credit. We are going to see accelerated -- I mean we were at 50% just not too long ago. We're already at 55%. So every day, we're flying these aircraft and ticking off the test program. One advantage or accelerator will help is we have a common test and evaluation engineering team that runs these flight test programs. And so now that we're complete with the 737, both the 2 variants, in the flight test arena, we'll be able to apply some resources to speed up the completion of the 777 program.

Now in terms of the TIAs, we're predominantly working on TIAs. I don't actually know if we're complete on all of the TIA 3. It doesn't really matter. They're all being ticked off. The one thing I will also say is we are seeing some incremental adds to the TIA 4A for activities that were planned to be in TIA 5, which is all fine. It's just that the scope of these TIAs is a little bit of a moving target. The important thing is we just keep achieving the milestones and the flights, and we have multiple aircraft in the air almost all day every day. So we're making good progress here. I wouldn't be overly concerned with the 55% complete. That'll accelerate pretty quickly here.

Operator

Your next question comes from the line of David Strauss from Wells Fargo.

David Egon Strauss
Wells Fargo Securities, LLC, Research Division

Kelly, I wanted to follow up on the 777X. If you could just update us on change incorp, kind of how you're thinking about that. There was some news out there about you scrapping an early airplane. One of your customers said they don't want to take early airplanes. Just if you could update us there. And then, Jay, could you -- within that free cash flow range for the year, what are you assuming kind of for net working capital for the full year? I think year-to-date, you've burned like $500 million or so. What do you have kind of baked in for working capital for the year?

Robert K. Ortberg
President, CEO & Director

Okay. Let me start with change incorp. So really no change to our plan. When we took the last EAC charge, the whole change incorp scope was contemplated when we did that. Yes, I'm not going to negotiate contract changes with our customer here in public. We're -- we've got a plan. There are some earlier change incorp aircraft that clearly have more work to be done than others. But again, that was contemplated when we did our EAC update. So we'll work with the customers here on which aircraft delivery and the configuration of those aircraft. It shouldn't impact any of our EAC activity, at least as we see it right now.

Jesus Malave
Executive VP & CFO

On your question, David, I would expect from here the balance of the year for working capital to be a net source of cash. We expect -- in addition to the increased deliveries, we also expect an uptick in advances. I talked about the BDS advances, and we still have some order activity as well as the scheduled PDPs at BCA. So I would expect that to be a source.

Operator

Your next question comes from the line of Sheila Kahyaoglu from Jefferies.

Sheila Karin Kahyaoglu

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Jefferies LLC, Research Division

Solid performance on BDS with core margins of 3.5%, Jay, as you mentioned. Maybe how do we think about profitability from here? And if you could just update us on the fixed-price programs, perhaps in order of risk would be appreciated.

Jesus Malave
Executive VP & CFO

Yes, Sheila. On BDS profitability, as I mentioned, maybe just look at 2026. As I mentioned just first in the prepared remarks, 3.5% in the second quarter. I would expect the balance of the year to be pretty much in the same zone there. So on a full year basis, including the VC-25B charge, we're in the range of about 2.5% for the year. We would expect that, again, sequentially each year from here on out to continue to improve.

I don't have a specific forecast for you. Again, that's something that we'll probably lay out a little bit more as we get into the formal planning season. But we would -- I would expect there to be improvement -- margin expansion each year sequentially throughout the rest of the decade as we approach and reach this high single-digit number. And again, the road map, again, is very similar to what we've said. It's delivering out on some of these contracts and kind of taking those headwinds away. It's also going into phases, different phases of existing programs whereby the pricing is better on those contracts as well.

And then just in the backlog, we've got just better priced backlog as well, similar to BCA. So taking all those things together with the benefit of the execution that we're seeing at BDS are the building blocks to this improved margin profile. And as I mentioned and I have mentioned before, pretty confident in our ability to be able to deliver that.

Robert K. Ortberg
President, CEO & Director

Yes. And Sheila, in terms of the risk of the fixed-price programs going forward, look, I think we've made really good progress with our customers here as we've looked at the estimate to complete on those. And I would say don't fall off your chair, but KC-46 feels very low risk for the EACs going forward. I think we've done a really good job finally on that project. And we're getting to the end of the production, the fixed-price production that we have, and we'll be repricing new lots going forward.

So I think we've got KC-46 well in hand. MQ and T-7, we've just got to get through the completion of the flight test program. So we have those normal risks. I wouldn't highlight anything in particular. I think that we've got those risks identified and we're managing those within the EAC. The one program we have work yet to do with the customer on is commercial crew or the Starliner program. As NASA is replanning their launch sequence, that will have some impact to when we're actually doing the launch.

The redesign of the Starliner deficiencies is going quite well, and we're feeling pretty good about that. But we've got to work with NASA to align on -- the launches are going to be, both the crewed and uncrewed launches going forward. I don't, at this time, anticipate that's going to create a cost problem for us, but we do have some uncertainty here that we've got to work with NASA to get that put to bed and we are working with them right now.

Operator

Your next question comes from the line of Kristine Liwag from Morgan Stanley.

Kristine Tan Liwag
Morgan Stanley, Research Division

At Farnborough last week, one of the recurring themes from the propulsion supply chain was that engine manufacturers and their suppliers continue to see a gap between existing capacity and the production rates targeted by both you and the other large airframer across the pond. I guess, Kelly, you mentioned that you're comfortable going to 52 per month for the 737 without significant supply chain constraints.

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First, how much of your comfort is based on the existing inventory of engines that you have on hand versus the pace of deliveries that you're receiving from your supplier? And also second, do you anticipate Boeing will play a more active role, whether through advance payments, capital supports or other mechanisms to help suppliers expand capacity and achieve your long-term production rate targets?

Robert K. Ortberg
President, CEO & Director

So look, on the rate 50 -- or 47 and rate 52, I am comforted partially by our inventory but also by the engine deliveries that we're receiving from CFM. So both of those are sufficient to meet our demand going forward. Where we still have work to do is as we get to the higher rates, 57, 63. Those continue to be areas that we're working with the supply chain. And look, we'll work -- if we find constraints that are capital-driven constraints, we'll continue to work with our suppliers to do that. In many cases, these are Tier 2 or Tier 3 suppliers, so those are areas that the engine manufacturers are, in fact, actively working with their supply chain. But we'll work that as we -- as the rates increase and constraints show themselves. But right now, I think we've got a solid plan through 57 and more work to do after that.

Operator

Your next question comes from the line of John Godyn from Citi.

John David Godyn
Citigroup Inc., Research Division

We've talked a bit about BCA and what that looks like through the end of the decade for obvious reasons. But I was hoping that you guys could just paint the picture and illustrate the impact and contribution from BDS and BGS, which we kind of rarely talk about. What do those businesses look like when we look out 4 or so years?

Jesus Malave
Executive VP & CFO

Well, John, if you take -- first starting with BDS, a lot of their cash flow improvement will track with their profitability improvement as well. And they'll get back to, once you get to the end of the decade into delivering, I'll just say, maybe low single-digit billions of dollars type of contribution. BGS is already delivering solid free cash flow to us. So it's just a matter of staying the course with them and continuing to grow with the demand that we see both on the commercial market side as well as on the government sustainment side. And so I don't think BGS will be a huge incremental contributor. There'll be some contributor, but most of the cash flow benefits will be at BCA with all the reasons and all the other factors I talked about before and BDS in terms of its improvement path.

Operator

Your next question comes from the line of Ron Epstein from Bank of America.

Ronald Jay Epstein
BofA Securities, Research Division

Kelly, one of the things we haven't really talked about much, at least on this call, is your thoughts around a new airplane innovation. And on the call, I think, maybe last quarter or 2 quarters ago, we talked a little bit about profitability in the business. I'm still kind of surprised that profitability isn't better for the aircraft industry at large, including Boeing.

So I mean, is the key to getting more profitability in this industry innovating? Meaning when I look at the 737, largely -- granted there's been some upgrades to it over the years, but it's an airframe that was born the same year I was, in 1967, and it went into service, right? And when I look at the engine producers, they've been steadily innovating over the last 50 years, granted 787 had some innovation in terms of materials. But how are you thinking about that? Is the key to profitability for Boeing in the future innovation?

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Robert K. Ortberg
President, CEO & Director

Yes. So let me just first say there's no change in our thoughts or strategy relative to new airplane. And I've talked about this before that both the markets, technology and we need to be ready to do that. And we're working real hard on all 3 of those, as you can imagine. Relative to the profitability mix, look, we're going to improve profitability on the existing products, but the actual share of the overall aerospace profitability is kind of embedded in the supply chain architecture, and we're not going to change that on the existing airplanes. It kind of is what it is.

So it points to the next airplane as the opportunity to change that. And I can tell you that we're spending a good deal of time looking at where the value is in the aircraft going forward and how do we participate in the value chain maybe differently than what you've classically expected us to do. And so that's all a part of our strategy here that will play out when the market is ready for a new airplane.

Ronald Jay Epstein
BofA Securities, Research Division

And -- can I follow up? Does that require more vertical integration? Or I mean, how do you think about it, right?

Robert K. Ortberg
President, CEO & Director

I -- it could require a little more vertical integration. I don't think a massive amount. I think it could require different kind of business partnerships, different type of ventures, certainly a different level of engagement with our supply chain depending on the commodity. So I don't think it's going to be any one area. I think it's going to be, depending on the commodity, you're going to see different business relationships, different business models going forward than you've traditionally seen in the past. And I think those models should be win-wins for our supply chain and for us because they also would like to see some different business models as we go forward on a new airplane.

Operator

Your final question comes from the line of Richard Safran from Seaport Research Partners.

Richard Tobie Safran
Seaport Research Partners

Listen, I thought you could expand on your opening remarks about Wichita. You've had Spirit for a while now. It's integral to your rate ramp. So I thought maybe you could talk about how the integration's been going, how that's tracked against initial expectations? And if there's any issues that maybe you'd care to highlight.

Robert K. Ortberg
President, CEO & Director

Yes. No specific issues. I'd say, overall, like I said in the prepared remarks, the integration is going as expected. We are seeing continuous improvement in the quality of the fuselages that are coming out of Wichita and coming into the final assembly line, so that's good. I don't see any challenges here with the near-term rate breaks associated with the Wichita business. We do have a massive effort, as you can imagine, going through the integration process, getting our safety and quality plan consistent across our entire business.

Those are key focus areas for right now. But look, we were just in -- I was just in Wichita with some of the local politicians, and we pledged a $1 billion investment over the next several years in both people and capital to improve the facility, to address underfacilitized areas to support the ramps going forward. We still have some work to do in Wichita for the higher 37 (sic) [737] rate ramps as well as the higher 87 (sic) [787] rate ramps. But we've got plans in place and we're executing those plans.

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So far, so good. It's a really good team. They're energetic. And I will tell you they're really, really happy to be back a part of Boeing, and I think it helps them see their future much clearer. So we're on track here. We got a lot of work to do, but I'm pretty pleased so far.

Operator
That completes The Boeing Company's Second Quarter 2026 Earnings Conference Call. Thank you for joining.

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The Boeing Company NYSE:BA

Company Conference Presentation

Wednesday, May 27, 2026 3:00 PM GMT

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Call Participants

EXECUTIVES

Robert K. Ortberg
President, CEO & Director

ANALYSTS

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

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Presentation

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Okay. I guess we're ready to go here. I'm Doug Harned, Bernstein's Global Aerospace and defense analyst. And I'm thrilled to have with us again, Kelly Ortberg, Chairman and CEO of Boeing.

Robert K. Ortberg
President, CEO & Director

Good to be here, Doug. You, doing well?

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

I am. It's good to have you here. Nothing is boring me...

Robert K. Ortberg
President, CEO & Director

Time has flown since we were here last year.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division
No, I know. A lot has happened.

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Question and Answer

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

I mean maybe to start, we can start right there, is if you look over the last year and what you've been able to do with the company in terms of the progress you've made and some of the challenges you may be looking at right now, maybe you can give us an overview?

Robert K. Ortberg
President, CEO & Director

Yes. So look, I feel really good about where we are. Looking back in the last year, we've accomplished a whole heck of a lot production on our commercial -- in our commercial business, ramping up, continuing to ramp up. But we've had some really good success.

As you know, we finished last year with over 1,000 new orders. So the market is super strong for all of our commercial products. So really pleased there. We've done really nice work on our Defense portfolio in realigning that portfolio with our customers around successful programs, particularly focused on our -- some of our problem development programs and getting those back in shape.

And so I feel really good about what Steve Parker and his team are doing there. And again, we finished with record backlog in our defense portfolio. And our services business has continued to do what it does, keep our airplanes flying and our customers supported with really good margin performance there, which has been important given the status of the rest of the company. So really good progress.

The one area I guess I'd highlight where I haven't met my goals, was getting the certifications complete on the new commercial airplanes. And we're -- I'm sure we'll talk a little bit about that. But getting through the 737-7, -10 certifications and the 777-9 are big goals here for us yet to go in the year. Then we're always managing the day in, day out things, whether it's supply chain challenges, things pop up, we manage them. I think that will be ongoing, labor agreements. We've got our SPEEA labor agreement with our engineers in Puget Sound coming up at the end of the summer. So those are all things that are ahead of us that we just got to continue to work.

I'm really pleased with the culture work across the company. We did a lot of focus on training our people, rolled out new values and behaviors, aligned our goals and objectives to a single One Boeing set of goals and objectives. So everybody's focused on success of the company. And I'm seeing major, major turnaround with that. And it's not just me. I'm hearing it from the employees. I'm hearing it from the customers. Our commercial customers are saying these are the best airplanes they've received from Boeing. So it's a great accolade. The team is really doing a good job.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

You mentioned the orders you've had and your backlog is huge right now. Can you give us a sense of how far out that backlog extends? If customer wants to come in, and place a significant order today for 737, 787, what time frame are you looking at?

Robert K. Ortberg
President, CEO & Director

Well, it's well into the next decade. So it somewhat is a little bit different Doug, depending on the customer, if it's a customer who has options, firm options, then we give them a window and will protect the slots, if you will, production slots for firm options. But if it's a new customer coming in for new demand, they're going to be in the 2030s before they're going to be able to get either a 787 or a 737 airplane.

Douglas Stuart Harned

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Bernstein Institutional Services LLC, Research Division

And I put that in the context if we just -- you just came back from this trip to China with the President, and you got an order for 200 airplanes, a lot of us were expecting a 500 airplane order. But does -- when you look at China, does that matter in terms of when we'll see deliveries actually?

Robert K. Ortberg
President, CEO & Director

Yes. The China trip was super successful. My primary objective was to reopen that market to our narrowbody airplanes. As you know, we haven't had an order in nearly a decade. And we accomplished that, which is a major, major accomplishment. And I think people focus a little bit too much on the initial quantity. This is opening the market. They need well over 500 aircraft a year to support their GDP growth. And so there's a great market opportunity for us.

And the initial order of -- the initial commitment of 200 will turn into an order later on in the year. The way the process works is once the government decides a batch of narrowbody aircraft, they then allocate them to the Chinese airlines. And then we go work with the airlines to actually get a firm order. And that's -- you'll see us book those orders on an individual airline-by-airline basis. So look, I never had a plan to go to China and return with the packet full of 500 orders.

Having said that, 200 is a huge number of airplanes. So. It's a good start, and I'm very confident that keeping that market open, that's an initial tranche of aircraft, and there will be more to come.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Now with the large backlog you have and been sold out for a long time, we're currently in a situation with very high fuel prices, that's putting a lot of pressure on many airlines around the world. Our assumption would be, as we saw during the global financial crisis you're going to have some movement in slots. Some airlines could find it difficult to take deliveries at certain times. How do you approach that process of managing your skyline with some airlines who may have a more difficult time than in the past?

Robert K. Ortberg
President, CEO & Director

Yes. So just to be clear, so far, just like I said in the earnings call, we have not seen anybody request a movement or a delay of the deliveries. Now I think everybody, because of the high fuel prices, will want to take the more fuel-efficient new airplanes. And if they have to park an airplane, it's probably an older inefficient until they get cash strapped and then they get to a point where I can't take the airplanes. We'll work with the customer if that happens. We've done that before. I've had more customers call me saying, if you have that situation, I'll take the airplanes. And then I have had customers saying I want to give up any slots.

Generally, Doug, if it's a 737, as long as we have about 12 months of advanced notice, we can refire that to a different airline. Probably 18 months from a 787 perspective or even a larger wide body, it's a little longer. So we just have to get in front of that and talk to the customers, make sure we know in advance that if they're thinking about it, we try to get ahead of that, so it doesn't become an issue where we've got an airplane we can't make a delivery.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Now on 737, so you've gotten production up to 42. You're still looking at 47 rate in the summer. Can you take us through how that process is going and maybe update us on your expectations for 47?

Robert K. Ortberg
President, CEO & Director

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Yes. So we went to 42 last fall. And the good news is we've continued to roll out at 42 a month. And all of our key performance indicators have been very positive. They've stayed green through that. So that production ramp has gone very, very well.

We just recently had our capstone review with the FAA, new news here. We've passed the capstone review for rate 47. So we are now in the process of running the line at the 47 a month rate. It will probably take us a few months of stabilization there. But I'll say when we went from 38 to 42, that stabilization didn't take too long. My guess is we continue to go up in rate, it may take a little bit longer, but we're off and rolling now for the 47 a month rate, and we should be there in the next couple of months.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And so how you think about that is you start working at 47, you'll have blanks on the line and then you start to fill that in as the rate gets stabilized?

Robert K. Ortberg
President, CEO & Director

Yes. What we do is before we go to the capstone review with the FAA, we want to make sure that we're ready to actually go to that rate. So what we do is we actually bump the rate up to 47 a month before we go actually to the capstone review. And then we put some blanks as you point out, in the production system. So that if we go to 47 and one of our commodities as it gets too many jobs behind schedule. We use that blank month to catch them up and then we go figure out what is it we needed to do to get to 47. And we try to get that all done before we actually make the rate increase. So we're highly confident that we pulse the system to make sure we're ready to go to that rate.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And when you look at the 737, the -- what we've heard from some suppliers is that the inventories that you had built up during the periods of low production rates, those have been worked through pretty far from at least, that's anecdotally. Where do you stand on kind of bringing down the inventory levels?

Robert K. Ortberg
President, CEO & Director

Yes. So it is a little bit of a commodity by commodity answer, but I would tell you, we're still at high inventory levels, higher than we want for sustained production. And I think we won't get to that more balance or equilibrium until we're at 52 a month rate. So 47 we're still going to benefit by high levels of inventory. And at 52, we'll see that balance out. That's why I've said that the rate increase at 52, we'll have to watch that because I think that's more -- going to be more of a strain than going to 47 because of the inventory.

The other thing I'll point out is that rate 52, we're bringing on a fourth production line for the 737 in our Everett facility, which is north of our Renton facility. That production line is in place. We'll be firing an airplane through that to qualify the production system. It is a lift and stick of the Renton production line. And we're hiring people. We're going to flow them through Renton and then move them up to the Everett line. We need the Everett line active to move 52 and beyond, not for 47. But while we're at 47, stabilizing at 47, we'll be bringing the north -- we call it the North Line -- the North Line on -- at low rate production.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Now at one time, I mean for a very short amount of time, you were at 57 a month back in the kind of pre-grounding period. And now it's all being done in the Renton facility. Can you talk about what's changed? I think it has to do some with the FAA processes, but can you still do 57 in Renton?

Robert K. Ortberg
President, CEO & Director

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No, we don't think we can sustainably with our current safety and quality processes. We don't think we can sustainably do that in Renton and that's why we brought the additional line on. It will give us, obviously, the capacity of an additional line, also gives us flexibility. If we have one line that has a problem, we can use the other lines to help offset what that -- the problem line is dealing with.

I wasn't there back when we were doing that. I would just say that we are ensuring that this is a stable production, not an unstable production. We're not going to push airplanes down the production line and end up with traveled work and some of the challenges we've had in the past. And so that's why we've invested in the north line to make sure we've got sufficient capacity here.

Now it's not just a 52. We'd like to get some day to 63 a month rate. And so we're looking forward to that. The market will support those higher rates. We just got to get ourselves in our supply chain in a position to do that.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So when you look at going to 52 what's the time frame you're thinking about now assuming that 47 happens this summer, July, August?

Robert K. Ortberg
President, CEO & Director

Yes. Historically, I've said no earlier than 6 months. And if you look at the -- maybe the 42 to 47 is probably close to that 6 months. I didn't look at it exactly, but it will be closer to that. I think it will be a little longer. I actually don't know. We're going to move when the system is ready and when the supply chain is ready knowing that we're going to stabilize this inventory a little bit.

I just think we should assume it might take us a little bit longer, but we'll see. We'll see how everybody performs. Each rate is a new rate to deal with, and we'll get good feedback once we get to 47. If that's going smoothly like it did at 42, then we'll move at -- move to the next 52 as soon as we can.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Now are there certain parts of the supply chain that are more of a concern for you to make sure they come through smoothly?

Robert K. Ortberg
President, CEO & Director

Not -- for 737, not really. Not right now. I think for 47 a month and 52 a month, there's no particular commodity that I'd point out to you and say, we need that one to double or we're going to be in trouble. Part of that is our inventory. We always are dealing with day in, day out supply chain challenges, and we address those burn them down, and keep going. But there's nothing I'd point out to you that I'm overly concerned about with these next rate increases.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Now if I go back to the previous time when Boeing went from 47 to 52. One of the big problems was at Spirit. Spirit did a great job going 42 to 47, but things sort of broke down for a while there. Now that you have ownership of Spirit, how have you looked at that kind of a channel?

Robert K. Ortberg
President, CEO & Director

Yes. Well, first of all, they've made great progress in streamlining their production process and building a higher quality with less defects, so they're not repairing and doing a lot of rework, which is allowing them to flow fuselages better. I was just in -- at a big event in Wichita about a week ago. We announced a $1 billion investment over the next 3 years, which is in our plan, but we announced it publicly where we're

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going to invest in the facilities as well as people and training to make sure that our team in Wichita is ready for the next production rate.

So look, now that we own them, they're under our control. We know there's pockets of either capital equipment or training that have not been invested in to the level they need to be, particularly focusing on our safety and quality plan that we've worked with the FAA, put in place in Renton, we really want to replicate that and get that solidified down in our Wichita facility.

So yes, I think -- I do think that having control of it, we can make sure that we're making the investments needed to make the rate increases. I will say that Spirit is one of those -- the former Spirit is one of those areas where we have a lot of inventory on 737 fuselages. So again, for the next -- these next rate increases, the Wichita performance is not a big concern right now.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

No, that's good. But I look back when they -- on the same footprint, they went from 28 to 47, which was pretty amazing. Now there have been changes there over that time. But -- my assumption would be, if they have to go up to a 63 level eventually, you're probably looking at some expansion in those facilities? Is that correct?

Robert K. Ortberg
President, CEO & Director

Yes. Yes. I would say, across -- I've been talking about 47 and 52. I think across the supply chain to go to 63, we've got work to do. I think many commodities, we've got work to do yet to get to that. But we're not there right now. We've got to get through these near-term rate increases. We are doing the advanced planning to make sure that everybody is doing the advanced planning around these future rates. I think the whole world is watching to make sure we make 47 and 52.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And when you get back up to those rates back -- let's say, 52. Given the process changes that have happened, the fact that you're going to be using the North Line, how do you think about margins for those programs compared to where they were the previous time around?

Robert K. Ortberg
President, CEO & Director

Well, certainly, margins will be improving as we go forward at the higher rates. Now there's a lot of dynamics in that. The -- and I think Jay has laid these out in the earnings call. We have headwinds associated with late penalties with current deliveries that will burn off over the next couple of years. We have larger, more -10s in the mix going forward. Those are higher-priced airplanes. We have generally higher pricing or improved pricing that will help us. But the North Line initially will be at a low rate. So the North Line will actually be a drag on us initially here once we get it up to the same rate performance as Renton, then it will be a contributor to the margins.

So yes, whether we get back to the exact level of margin on the program, we'll see, but there definitely will be improving the margin here over the next 3 years on the 737 program.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And the -- do you still think of that North Line is focusing more on the MAX 10?

Robert K. Ortberg
President, CEO & Director

Yes. So the North Line because it's in Everett, and if you've been to Everett, it's a huge facility. We can actually do a -10 nose to tail in the facility. In Renton, we actually have to space, the -8s and -7s and -10s

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because it's not long enough to actually fill the factory with all -10s. So we do think that, that provides us the ability to get to a point where we can do primarily -10s.

Having said that, we've put the facility in place to do everything except for -7s. So we won't do 737-7 in the North Line, but it will be capable of doing every other one because we want the flexibility, like I said before, if we have issues with one or another, we can use these multiple lines to help us reduce risk.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So I know a lot of people really want their -10s delivered now. So how does the certification process look at this stage?

Robert K. Ortberg
President, CEO & Director

Yes, the 737-10 and -7 cert programs, we're clearly getting to the final stages. It's clearly light at the end of the tunnel here, and we're going to get these certification programs done. We're roughly 80%, a little better than 80% done with the certification flight test program, so the certification flights are done, scored or both the -7 and the -10.

And we have authority from the FAA for the entire test regime now -- flight test regime. So we don't need any more TIA approvals from the FAA. So it's just a matter of getting through that flight test program and we're clicking them off as we speak. So I got to know from our team that we were flying 3, 777s, and 2, 737s simultaneously for certification score. So we're really banging this down. And that -- it will get to the end of the year where we'll get the certification so we can really support next year's deliveries. You know we're building -10s. So we need to get that cert done so that we can start those deliveries.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So when you look at this is -- is there a major difference -- what I'm trying to think through here is I mean, the inlet design has been -- was a big issue here to...

Robert K. Ortberg
President, CEO & Director

The anti-ice...

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Through anti-ice thing. But is the testing you're doing now primarily that, or is it broader because...

Robert K. Ortberg
President, CEO & Director

Yes. Good question. So the engine anti-ice while it was being done as a part of the certification program, it will actually be cut into the -8 program first. And so we've made -- we're through all the testing of the engine anti-ice, and that's all kind of behind us. So we feel really good about that. And then the remainder are just -- I'll just say, just the normal -- these are the things you do at the end of the flight test program. We've dry run everything. We're pretty confident that we're not going to see any hiccups here in the remaining regime of flight testing.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

No added complexity in the MAX 10. I mean you have a different landing gear, you have -- I mean there are some different aspects to that...

Robert K. Ortberg
President, CEO & Director

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No. There's -- the -10 work is much higher than the -7 but we're doing those concurrently. We'll probably get type cert for the -7 before we get type cert for the -10, but it kind of doesn't matter. They'll be in pretty close proximity. But there's no question the -10 cert work is a bigger package than -7.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So on the 787, you're 8 a month, you want to be a 10 a month production by the end of the year. Can you talk about what has to happen to get there?

Robert K. Ortberg
President, CEO & Director

Yes. The 787, we've done a pretty good job as we've moved to rate 8 rolling at rate 8. But we've got some instability still that we're still working through. I'd point out that the -- and we've talked about this, the seating configurations have been very complex and getting the certifications done on the seats have actually -- they've not impacted production as much as they've impacted deliveries. And you've seen our deliveries a little bit lumpier than what I'd like to see because we've got airplanes done, ready to be shipped, that we don't have cert paperwork.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So these are sitting in Charleston...

Robert K. Ortberg
President, CEO & Director

We have airplanes sitting for customers, completely done, waiting for seat certifications. So we're working to get that process done. But every new type airline, new type goes through the new certification process. And we just have quite a few of those yet to go through here this year. So I think from a delivery perspective, we'll be fighting seats throughout the year. Just getting through the seat certification. We're working with the FAA and EASA and the seat manufacturers to try to improve that.

But we've got a lot of work yet to do on that. So that's an important stability item for us to go to 10 a month rate. And then we've fallen behind in delivery on engines here in the first quarter. So we've got a recovery plan that we're working with GE on. And so we'll need to see the engine recovery plan come to fruition before we can get to rate 10, and that will be late in the year.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And on the seats, so how -- I mean how many airplanes can you have parked out? In other words, if you have a mismatch between production and deliveries, when do you hit the wall there where you can't...

Robert K. Ortberg
President, CEO & Director

So we can fly the airplanes to other locations, and we have. So it's not just storage location at our Charleston facility.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So you'll continue to produce, you wont' slow down because...

Robert K. Ortberg
President, CEO & Director

No. So for us to slow down would cost us way more than pushing through. And quite frankly, in some of these cases, we thought we were going to have to seat design done a lot earlier than what we've been able to accomplish. So we've just got to get that stabilized. But I don't think we're going to do anything

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to slow production down, but we may not go to the rate 10 as early as we could have, had we not had the challenges.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And the problem here, I guess, is more about the certification than it is about supply chain overlap or something...

Robert K. Ortberg
President, CEO & Director

That's right. It's not -- it's typically not supply of seats. The seats are in the airplane. They're built. The airplanes are built. We just don't have the paperwork allowing us to make the delivery. And this isn't every airplane. This is when an airline has selected a new configuration that they're rolling out. Typically, they have doors. These are very complex. It's typically -- it's the business class configuration that are just more complex than we've had before and the certification has taken more time than we thought or they thought. So...

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

You have some MAX10s hat like also like United has been fairly exotic interior. And that -- could you run into some delays there, too?

Robert K. Ortberg
President, CEO & Director

Yes. So we're taking our lessons learned and applying it across -- it's not just MAX 10s, but it's also beyond 777X. -- in a big way because they'll have a bigger cabin. So we've done some things like pushed back some of our new entries, seat entries. We're also putting constraints on the system to make sure that we're not flowing an airplane into the production line with an uncertified seat configuration. So we're becoming more disciplined, which I think will help us, and we're going to apply that particularly on the MAX 10 line. Because you're right. Some of those seats are pretty close to the same kind of challenges here.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And on -- can you just -- I don't know if there's anything new here on 777X and the time line?

Robert K. Ortberg
President, CEO & Director

So 777X, we continue the flight test program, that will go through the end of the year. So we'll be done with the MAX well before we're done with the 777 flight test program. Our flight test organization is common. So it's the same team who supports all the airplanes. So once we get done with the -7 and the -10 flight test program, we will be able to apply more resources to the 777-9. But you should expect that will hopefully be done with our flight test program by the end of the year.

With the exception of ETOPS. ETOPS is the final test that you go through with the twin engine aircraft -- wide-body aircraft. And that ETOPS is going to extend into next year. But we're building the airplanes and getting ready to start the deliveries next year.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

You can deliver before -- you can't operate it you can deliver before...

Robert K. Ortberg
President, CEO & Director

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Yes. But the -- it depends. It depends on...

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Depends on the customer...

Robert K. Ortberg
President, CEO & Director

Yes, yes depneds on the customer. I would say, for the most part, the customers are going to want our ETOPS testing done.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Then when will the freighter follow?

Robert K. Ortberg
President, CEO & Director

So we just built -- you've probably seen that in the press. We've just built our first 8F freighter. And it will be about 2 years behind the PACs version.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Switching over to BDS. So if you look at kind of the historical programs here KC-46, T-7, I mean you've had a lot of issues on these. Some from just the contract structures. Where do you stand on getting past all of the cash impacts from these charges that you've had to take?

Robert K. Ortberg
President, CEO & Director

Yes. So the cash impacts, depending on the contract, some of these contracts have firm fixed price production options. So let me use the KC-46 as an example. That's been a loss program. It's been a challenging program for us. We have one more lot of the existing firm fixed price KC-46 production that will happen at the end of this year. Then the follow-on quantity will all be repriced. So in that case, we have no ability to improve margins with the existing contracts. We just need to manage the risk. So there's no further nonrecurring write-downs.

And then where we improve the margin is in the new option opportunity. T-7 is a similar program where we've got a significant amount of the production under contract. So that will take a while to turn that to profitability. MQ-25, we just have LRIP under contract. So production will be a new contract option. So I would just say, in general, the road to profitability on those programs is get them behind us. Go to the next phase, either another contract option, in some cases, just be done. VC-25B, the President's airplanes, we just -- we'll celebrate the day we hand the key to the President and that's done.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And so we don't know where the $1.5 trillion budget is actually going to end up. However, there's more money in there for T-7, for MQ-25, presumably, those will be under new contracts. They're going to be...

Robert K. Ortberg
President, CEO & Director

Some of that will be existing just funding for existing contracts, some of it will be new contract. And it really is a contract-by-contract case. But there's no question. The budget is bigger than we expected it was going to be last year. Irrespective of where it finally settles, I'm pretty confident that it's going to be a pretty robust budget. The other thing is our programs are really, really well us protected in that budget. So I feel really good things like F-15EX additional quantities there...

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Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Wedgetail.

Robert K. Ortberg
President, CEO & Director

Wedgetail, we've got the E-7 variant back into the budget environment. So look, we're -- we've got good opportunities. I do think that, as I sat here last year, I think the outlook for our growth in our military business is stronger this year than what I would have said it was last year.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

F-47 is huge part of that, right?

Robert K. Ortberg
President, CEO & Director

Big part, we're off to a really good start. The programs well staffed. Our customer is super pleased, and we're going to keep them that way. And so we're really focused on doing things differently and having a successful development program. As you know, that's -- the contracting type is appropriate for the work we're doing.

One of the things that we've done that the team has done a really good job is focusing on making sure that we underwrite all these new contracts with the right baseline, whether that's contract type or the right pricing structure. We've got a lot more discipline. In fact, we've walked away from some jobs that we historically would have taken on and said we can probably get this done.

And we've looked at it and said there's too much risk for the fixed price contract type. So we're not going to do it. Having said that, we've got a record backlog in our defense businesses last year. So we're able to still win and be disciplined in the market. And one of the things that's really key as we returned that defense business to this high single-digit profitability is we don't enter into new loser contracts. And so we're really focused on making sure the team is disciplined around that.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

And on the F-47, I don't know how much you can say about it. But is there a way to describe what that growth path would look like?

Robert K. Ortberg
President, CEO & Director

You know what, I can't really say.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

That's what I expected. But one thing it does do, which maybe you can say is -- I've spent a fair amount of time in the St. Louis facility. This does build a base there that I would expect to be good both for your cost structure and for new work?

Robert K. Ortberg
President, CEO & Director

Yes. I mean it sets the future of our St. Louis operation for decades to come. As you know, we're investing heavily in new facilities to support the production of the airplane and potential future opportunities as well. But having not been the prime for either the prior generation fighters still having the F-15, but the F-18 is essentially wrapping up production. This was super important for us to secure that, what I call transformational win for us.

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Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Can you talk about space, Starliner clearly has had challenges. But what are you looking at now in terms of opportunities, maybe with Golden Dome?

Robert K. Ortberg
President, CEO & Director

Yes. So when I think a space, I kind of break it into 2, there's human space exploration. This is the NASA work Starliner, falls in that category. And then there's national security space where we're doing evolved strategic SATCOM satellites, a lot of classified work, our X-Plane space plane is in that category. That business is many aspects of that business have application to the Golden Dome, but broadly have good support, good budget support. And it's good business. We're performing well on that side.

Where we've struggled have been again where we've signed up to fixed-price contracts on the space exploration. So the Starliner is a good example of that. We have -- with the Starliner, we have 2 launches. NASA has just determined that they're probably going to push the second launch out of the year. So we'll only have one more launch this year and then one next year on that program. And so we're working with NASA to fix the deficiencies that came out of the prior program, get the aircraft certified. And then we'll see where the NASA -- the NASA budget is an interesting one. We'll see where that budget lands going forward. That's a little bit up and down.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

I mean on Golden Dome and we struggled a little bit with getting a tight definition of what the actual programs will be in there. And I know Congress has had some questions as well. I mean, for you, are there some well-defined things? Or still you're working through with the opportunity set...

Robert K. Ortberg
President, CEO & Director

I think we're still working through -- as the customer is still working through a little bit of the architecture and the opportunity set. I think there are some areas where we know what our contribution will be. And then there's areas where there's still some trade studies being there. But from a Boeing perspective, I think you should look at Golden Dome probably as more of a capability of our assets as opposed to a program we're going to go win a big specific Golden Dome program.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So I mean I think back several years ago when BDS was a really good, reliable source of free cash flow. That clearly disappeared for a while. When you look at 2027, do you think -- can we expect positive cash coming out of BDS at that point?

Robert K. Ortberg
President, CEO & Director

Yes. Yes, but not to the level it should be. So I think we'll get to where we're generating some cash flow. But as we just talked about, we've got to get through these programs that we're underwater on and get those behind us. There's no reason this business doesn't deserve to perform at a high single-digit margin business and return back to those classic cash flow rates that we've seen in the past.

And we have a nice mix of domestic and international. And international generally has more upfront payments and higher cash -- better cash terms than the DoD contracts or DOW contracts. So we just have to -- again, I think we have to get these programs that, challenge programs executed and behind us, and you'll see better performance out of that business.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

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Can you update us on what that mix is in the backlog of U.S. versus international?

Robert K. Ortberg
President, CEO & Director

I don't think I know exactly what the backlog I'd have to follow up with you. I don't want to quote a number that's not right.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Okay. The last one I remember was pretty sizable. I mean, pretty significant percentage.

Robert K. Ortberg
President, CEO & Director

Yes.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So if we go over to BGS. This business has performed really well for quite a while and 17% plus margins, which always seem to be higher than what you guys are guiding to. Now we're in this situation with 2 things going on with the war in Iran. One is it increased optempo, which I would think could add to your performance on the defense side. And then risk potentially on the commercial aftermarket. How do you look at that?

Robert K. Ortberg
President, CEO & Director

Yes. So the risk to the -- let's start with the commercial aftermarket. The risk to the commercial aftermarket will first be on the transactional -- the in and out kind of business. We're looking at it on a weekly basis. We have seen some of that transactional business decline from carriers in the Middle East. But in fact, we've seen a higher level of transactional business in elsewhere, which is totally offset.

So from a main perspective, we haven't seen any impact right now in our business. Now we don't have a lot of flight hour service business. Other companies probably do. And that's going to be impacted just by the number of flight hours. And flight hours are coming down in the region.

So -- but we don't have a lot of that. So it's not really material to us. So, so far -- I just don't see any significant or material impact. We are seeing uptick from the DLA from the in and out business associated with optempo and Defense. And I think that will continue, both just in parts, but our platforms are very much in the fight. The optempo is very high. And so there's either going to be replacement, replenishment. We're working the big PAC-3 production contract to replace all the Patriot Seekers that have been shot.

But even our aircraft platforms that have been either damaged or used in excessive amounts, so we'll see some maintenance cycles, which will, over the next -- that won't all happen at once, but over the next year or so, we're expecting to see some upside. I think back to the commercial, it depends on how long this lasts. If this lasts -- the longer it lasts, obviously, the more strain is going to be on the system. And the only thing I could say is we're monitoring it weekly to see what's going on and we're talking to the customers.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Well, and I didn't mention, but I guess, when we were on the -- back on going to BDS, but you've also got sort of JDAM, Small Diameter Bomb that...

Robert K. Ortberg
President, CEO & Director

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Yes. Our Weapons business is -- the demand is through the roof. So that's another area where we're going to quickly be talking about how many can we build, not -- how many can we get under order. So we're working on expanding our production there. I was just at the Pentagon meeting with the Department of War yesterday on things like it ramping up production. And that's important all the way up to POTUS. We've met with them on -- the CEOs have all met with POTUS on the need to ramp up our capability in the weapons market.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

So this year, you're guiding to $1 billion to $3 billion in free cash flow. And what will determine where you end up in that range?

Robert K. Ortberg
President, CEO & Director

How many airplanes we deliver probably will be the -- in the end, that will be the determining factor. So we'll see. There's some risk and opportunity around airplane deliveries. We'll just see how we do here.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Well, and one of the things I know you had said previously that the assumption of predelivery payment from China on an order would be included in that cash flow. Is that material one way or another?

Robert K. Ortberg
President, CEO & Director

First of all, we do have some PDPs from China. I don't think -- if, for example, the China orders wouldn't happen by the end of the year, we probably would fill that with other PDPs. Those slots would go to someone else. So I don't see the China situation really having a major impact on our -- where we end up on cash flow. It's not going to swing us over or under, I don't think.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

You and Jay have talked about heading toward a goal of at least $10 billion in free cash flow. Is there any sense you can give us on timing and the trajectory for that now?

Robert K. Ortberg
President, CEO & Director

Well, I don't have anything new. I think Jay did a good job at -- during our earnings call of kind of laying out the puts and takes associated with that. And in general, we've got to get through these headwinds that we've got, where we've got consideration on -- in the price of the airplanes because we're late. Those will abate as we ramp up in production. So we've got the -10 coming in, which is a higher-priced airplane.

So the mix helps us well, better pricing in general will help us. We've got headwinds associated with supply chain costs that we're managing. So all those in a bucket, we're expecting to see kind of a continued cadence towards that $10 billion and beyond cash flow. But we're not going to put a specific time line yet on that.

We've just got to focus on these activities that will yield improved cash flow.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Well, going into '27, at least, I mean, you should have some work down on that -- the cash flow penalties on the 777X, I would assume, because that's like $2 billion or so this year, I think...

Robert K. Ortberg
President, CEO & Director

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So is your question...

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Yes, does that -- what's the trajectory, I guess, on the 777X cash out?

Robert K. Ortberg
President, CEO & Director

So 777X cash out is big this year, will be big next year, and then you'll start to see that kind of turn in the '28 time frame.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Okay. So you've been on a pretty positive trajectory here for the last 18 months or so. But I have to say that many investors I talk to still have concerns of the problems of the past. And how can you give us more confidence that those risks are much lower today? And you can look forward at these progressions in rate and that looks very...

Robert K. Ortberg
President, CEO & Director

What I've told the team and the only way, Doug, I see to do that is execute, execute, execute, and build confidence back. We've done a lot of work on the culture in the company to restore trust, and we're getting very good feedback from all of our stakeholders about how Boeing showing up, more transparent, working collaboratively with the customers, delivering on commitments.

That's also allowing us to be in an environment where we can find win-wins with the customers and work through some of these challenged programs. But look, the development programs until they're done, they're not done. And so we just -- I just need to keep focusing the team on every day, execute every day is an opportunity to meet our commitments.

And I would just say, so far its working. I feel confident that we've got the right team. We're focused on the right things. Yes, we'll have a risk that we'll have to deal with along the way, but we're getting in front of those now and managing them and burning them down and I think that will lead to great success. The thing that The Boeing Company has is a huge backlog. I mean we don't have to think about what airplanes do we want to build tomorrow. We know what airplanes we want to build. This is an execution story. So just focus on execution.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Any milestones you'd highlight we should be looking for over the next...

Robert K. Ortberg
President, CEO & Director

Well, the cert programs are big -- those are big for me personally. So getting through the certification, the MAX certification, watching the production ramp back from up here to 47 and how does that look? And then probably the other one to watch is the North Line. How are we doing on the North Line? Is that maturing the way we want because that will be an important decision point for when we do the rate 52. So those are the, I'll say, the near-term proof points that you can look to.

The government looks like they're going to make a decision on the F/A-XX program yet this year. And so we're in the fray there. So if we're successful there, that would be another big milestone for us. So we'll see how that all plays out.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

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Okay. Well, great. Well, Kelly, thank you very much.

Robert K. Ortberg
President, CEO & Director
Thank you. Good seeing you Doug.

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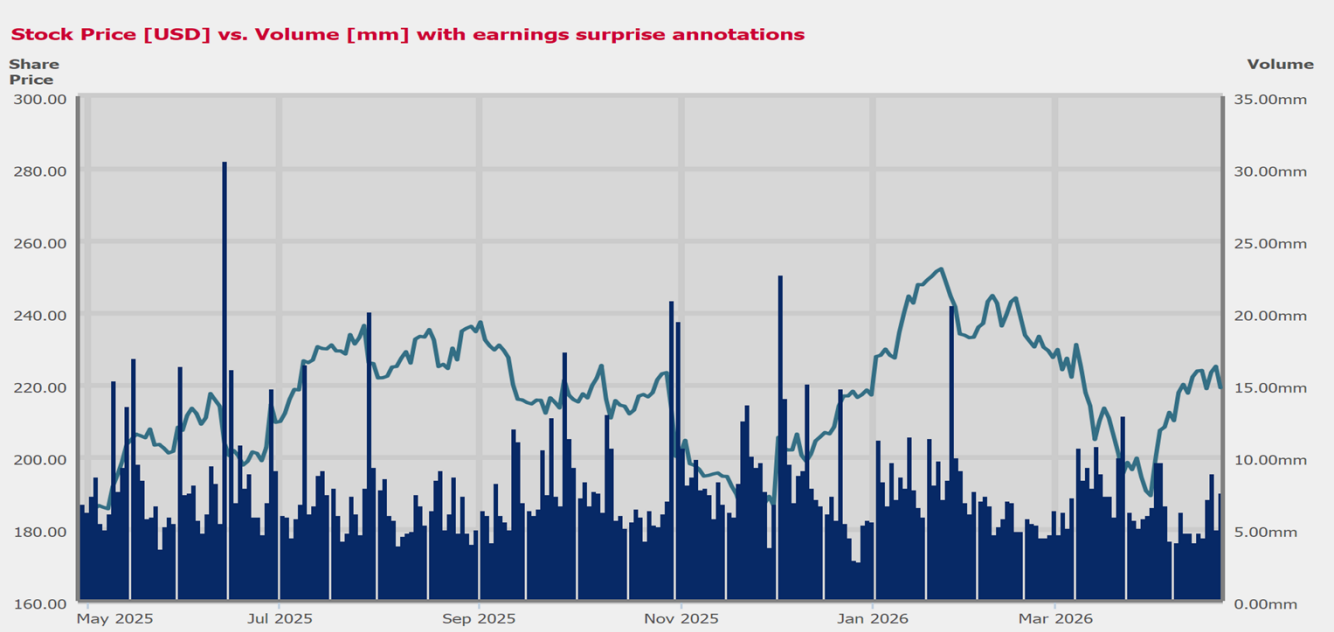
FQ1 2026 Earnings Call Transcripts

Wednesday, April 22, 2026 2:30 PM GMT

S&P Global Market Intelligence Estimates

	-FQ1 2026-			-FQ2 2026-	-FY 2026-	-FY 2027-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	(0.67)	(0.20)	NM	(0.16)	(0.18)	4.37
Revenue (mm)	21911.81	22217.00	1.39	24067.30	97890.99	111983.27

Currency: USD
Consensus as of Apr-22-2026 1:10 PM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ2 2025	(1.27)	(1.24)	NM
FQ3 2025	(2.38)	(7.47)	NM
FQ4 2025	(0.42)	9.92	NM
FQ1 2026	(0.67)	(0.20)	NM

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Presentation

Operator

Thank you for standing by. Good day, everyone, and welcome to the Boeing Company's First Quarter 2026 Earnings Conference Call. [Operator Instructions] Please be advised that today's call is being recorded. The management discussion and slide presentation, plus the analyst question and answer session are being broadcast live over the Internet. [Operator Instructions] At this time, I am turning the call over to Mr. Eric Hill, Vice President of Investor Relations, for opening remarks and introductions. Mr. Hill, please go ahead.

Eric Hill
Vice President of Investor Relations

Thank you, and good morning. Welcome to Boeing's quarterly earnings call. With me today are Kelly Ortberg, Boeing's President and Chief Executive Officer; and Jay Malave, Boeing's Executive Vice President and Chief Financial Officer. This quarter's webcast, earnings release and presentation, which include relevant disclosures and non-GAAP reconciliations are available on our website. Today's discussion includes forward-looking statements that are subject to risks and uncertainties, including the ones described in our SEC filings. As always, we will leave time at the end of the call for analyst questions. With that, I will turn the call over to Kelly Ortberg.

Robert K. Ortberg
President, CEO & Director

Thank you, Eric, and good morning, everyone. Thanks for joining in today's call. As we reflect on our first quarter performance today, we're off to a really good start and headed in the right direction. We remain on plan and are building momentum from solid performance across all 3 of our businesses. Our Commercial Airplanes team continues to integrate our safety and quality plan into its operations, which has enabled us to increase production rates and deliver high-quality airplanes to customers around the world. Our Defense & Space team continues to stabilize operations and after 2 years of hard work and development, we're starting to achieve inspiring milestones like the recent Artemis II launch that carried NASA astronauts to space on the Boeing-built core stage rocket. The launch and landing were a truly profound moment as humans reached farther into space than ever before and serves as a great reminder of what Boeing, our industry partners and our country can do.

In Boeing Global Services, our team is off to a strong start, adding further orders to its record backlog, meeting customer demand and continuing to deliver solid operating results. While we are seeing some regional instability as a function of the Iran war, we remain confident in the long-term future of our industry. Aviation has seen moments like this before, whether it be a recession, pandemic or conflict. The resilience of our industry has always led to a recovery and return to growth trends. Our market remains robust and the Boeing portfolio of versatile, fuel-efficient airplanes, defense platforms and services is built for the dynamic environment of our time. So far, we have not seen any impact on our airplane deliveries. As always, we stay close to our commercial customers if they make adjustments to their plans, in which case, I think the strength and diversity of our backlog gives us a lot of flexibility.

And I should note, we're already seeing higher demand in our defense business given the increased operational tempo, which over time will be a good offset to any potential commercial MRO weakness that results from these higher fuel prices. We are confident in our business, customers and markets, and our team remains squarely focused on safety and quality, disciplined execution and elevating operational performance so we can profitably deliver on our record backlog of nearly $700 billion. As I mentioned last quarter, one of the biggest focus areas for our team in 2026 is completing the certification work on our development programs. This is where I'll spend a few moments before discussing our first quarter accomplishments. In BCA, we continue to move forward on certification work for the 737-7 and the 737-10.

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In the quarter, we began the final phases of the certification and flight test for the 737-10, which includes autothrottle, autopilot, enhanced Angle of Attack as well as engine anti-ice solution. We are pleased with the progress so far and remain on plan for the newest members of the 737 MAX family to be certified later this year with deliveries expected to start in 2027. On the 777-9, we continue to advance our certification testing. Last month, we received approval from the FAA for the next phase of testing called TIA 4a. While it's a smaller package focused on natural ice testing, it's an important step in moving this development program forward. You'll recall last quarter, we discussed a potential durability issue on the 777X engine that was discovered during an inspection. Since then, we worked closely with our supplier. As they've said yesterday, they believe they have identified root cause and they're working on finalizing their modification.

We are working together with the supplier and the FAA to fold this into our certification plan, and we remain on track for schedule of first delivery in 2027. In the quarter, we also achieved an important milestone on the 787 program. We obtained FAA certification for an increased maximum takeoff weight for the 787-9 and the 787-10, enabling those models to fly further or carry more cargo, creating additional value and revenue-generating opportunities for our 787 operators. In BDS, work to reduce risk across our development programs using active management is leading to win-win outcomes for our customers and Boeing. This means we're proactively working challenging programs by looking more closely at risk, requirements, schedules and customer needs. Combined with stronger focus on program management rigor, we're seeing good progress here.

For example, on KC-46 Tanker, we recently approached our best-ever factory performance going back to pre-pandemic levels of productivity, and we remain on track this year to deliver the most tanker aircraft since 2019. We also achieved an important milestone on MQ-25 with completion of high-speed taxi tests and the first flight is imminent. The Stingray is our first unmanned aerial refueler for the U.S. Navy. We are now one step closer to providing this first-of-its-kind capability to further enable the U.S. to project power worldwide. Overall, I'm pleased with the progress our BDS development programs are making, and there are no major EAC adjustments.

Let's turn now to the first quarter accomplishments. As we start the year, we continue to drive stable operations across our factories, enabled by a focus on safety, quality and performance. Our team is more engaged in embracing our values and behaviors, which we first shared with our team around this time last year. That increased commitment is helping drive process improvement ideas. As an example, I just reviewed one from Renton where the team developed a new drill jig, resulting in more than 30% reduction in defects for 737 wing tip. In BCA, Stephanie and her team are methodically increasing production rates across our key commercial programs. The 737 program has stabilized at a rate of 42 airplanes per month. And in the quarter, we also delivered the final 737 MAX from storage.

As previously discussed, some first quarter 737 deliveries slid into the second quarter due to a recent nonconformance finding on aircraft wiring. As part of our root cause corrective action process, we fully understand the issue, and we have reworked all of the 25 airplanes affected and most of these have already been delivered. Importantly, this is evidence of our safety management system working to identify issues early and drive continuous improvement and avoid these issues in the future. To be clear, the wiring issue will not affect our full year delivery goals or plans to increase production to 47 per month this summer. We believe our internal and external supply chains are well positioned for this next rate increase. To support further planned rate ramps above 47 per month, we are readying the new Everett North line. I recently walked the factory where I saw construction complete and tooling in place.

Our team setting up the line are eager to get started, and we started hiring and training. Employees for the North line will complete structured on-the-job training, which will pair new mechanics with experienced teammates from our existing Renton line. On the 787 program, we did see some impact to deliveries in the quarter due to delays of premium seat certifications, but we still expect to meet our full year delivery range of 90 to 100 airplanes.

We're staying close to our customers, suppliers and regulators to work through these seating issues, and Jay will talk a little bit more about actions we're taking to better manage these impacts going forward. On production, the program continues to stabilize at 8 per month as we work through selected supply chain delays, including the interiors and engines. Overall, the factory is performing well, and the program

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continues preparations to increase production to 10 airplanes per month later this year. Like the 737 program, the 787 team will use the same disciplined process guided by our safety and quality plan with data from the 6 key performance indicators to assess readiness ahead of planned rate increases.

Turning now to BDS, where our defense platforms are providing unique value and capability to our customers, particularly in the current threat environment. Over the past 2 months, we've seen much of our defense portfolio support key missions in-theater. For example, the AH-64 Apache has proven its potent anti-drone capabilities and the Patriot Advanced Capability-3 interceptor with its Boeing-built seeker has intercepted ballistic missiles and drones threatening civilians and military forces. Boeing systems remain central to air superiority, precision strikes and electronic warfare, while long-range strike and airborne command and control extend reach and situational awareness. Our aerial refueling, reconnaissance and strategic airlift sustain high tempo operations, and we're proud that our Combat Survivor Evader Locator system and the Little Bird helicopter played a key part in the heroic mission that safely returned down pilots. We continue to make investments in our people and facilities to meet the evolving need of the United States and our allies.

Those investments helped secure wins like the recently announced agreement to expand PAC-3 seeker production in our Huntsville factory. The framework agreement with the [Department of War] enables a massive increase in the supply of seekers needed to expand the protection provided by the world's most advanced air defense system. The current demand environment for defense extends into services as well, and BGS has had several notable wins, including Boeing Defense U.K.'s largest ever maintenance and support contract for the U.K.'s rotary wing enterprise, which was announced last week. Our global services team also signed the largest Landing Gear Exchange contract in Boeing's history with Singapore Airlines. That agreement will provide landing gear exchanges for more than 75 airplanes across Singapore's 737 MAX and 787 fleets.

With these recent program wins and operational improvements in all of our segments, we're well on our way to fully putting the recovery behind us. So before I wrap up my prepared remarks, I want to thank all of our employees for delivering another quarter of improved performance as we continue to turn the corner. Their dedication to safety and quality, embracing our values and behaviors and continuous improvement have enabled a solid start to the year. While there's more to do in 2026, we're making measurable progress. We're restoring trust with our customers, we're increasing production rates, and we're on track to generate a full year of positive cash flow. And our commercial defense and service portfolios are well positioned to meet the market demands and restore Boeing to the iconic company we all know.

So now I'll turn it over to Jay to discuss our operating results before we move on to questions.

Jesus Malave
Executive VP & CFO

Thanks, Kelly, and good morning, everyone. As Kelly mentioned, a good start to the year and a clean quarter. Consolidated revenue was up 14% to $22.2 billion, driven by solid growth across all 3 segments. Of note, the revenue impacts from last year's Spirit acquisition and Digital Aviation Solutions divestiture largely offset each other in the quarter. Operating margin was 2%, down primarily from lower FAS/CAS pension adjustment as compared to last year, partially offset by higher segment earnings. The core loss per share of $0.20 improved from last year on segment growth and other nonoperating earnings improvements. Free cash flow was a usage of $1.5 billion in the quarter, driven by seasonal corporate expenditures in addition to planned CapEx increases as we continue to make progress on our growth investments in Saint Louis and Charleston. Free cash flow was notably better than expectations I shared last month largely driven by the solid recovery from the 737 wiring issue and favorable collection timing late in the quarter.

Turning to BCA on the next page. BCA delivered 143 airplanes in the quarter. Revenue of $9.2 billion was up 13% as Stephanie and her team continuously drive quality improvements while increasing delivery volume. Operating margin of negative 6.1% improved compared to last year, primarily driven by higher delivery volume and a favorable accounting adjustment, partially offset by the dilutive impact of the Spirit AeroSystems acquisition that we highlighted last quarter. Regarding our customers in the Middle East, as

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Kelly noted, at this time, we have not seen any request for delivery deferrals nor have we encountered material supply chain disruptions that would impact our delivery or production rate plans.

In fact, we delivered 4 airplanes as planned to customers in that region since the conflict began. That said, we will continue to monitor the situation. Importantly, backlog continued to grow and remains at an all-time high of $576 billion, including over 6,100 airplanes. Now clicking down to the commercial programs. Starting with the 737 program, where we delivered 114 airplanes in the quarter, which included the final shadow factory airplane built prior to 2023. As Kelly mentioned, we completed the rework on all 25 airplanes impacted by the wiring NOE, and we remain on track to deliver 500 airplanes this year. In the quarter, production stabilized at a rate of 42 per month, and the team drove a nearly 20% reduction in final assembly rework hours as compared to the first quarter of 2025. We continue to expect a production increase to 47 per month in Renton this summer and will benefit from buffer inventory during the transition.

As we discussed previously, production rate increases above 47 per month will be enabled by activating the 737 North Line in Everett. The North Line is expected to begin operations later this year at a low rate of initial production to demonstrate conformity to the FAA that will allow operations under our current production certificate. Following completion of these initial units, we will be led by our safety and quality plan to increase rate to 52 per month when the entire production system is ready. On the 787, we delivered 15 airplanes in the quarter, in line with expectations shared last month and remain on track to deliver 90 to 100 airplanes in the year. Although seat certifications impacted deliveries in the quarter, we are working with the FAA and our customers to address these risks by partnering earlier in the development process and creating contractual off-ramps to avoid delivery delays in the future.

In Charleston, the factory is performing well and continuing to make progress at stabilizing the production rate at 8 per month. In the quarter, our rework hours improved by more than 25% as compared to the first quarter of 2025. These gains in the factory come even as our stability is being paced by the supply chain, where we don't enjoy the same buffer we have on 737. We are closely working with our suppliers, including forward deploying resources to support their recovery plans. We continue to expect an increase to 10 per month later this year. Finally, on 777X, Kelly highlighted TIA 4a approval as well as progress made with GE on a solution for the engine durability issue we highlighted last quarter. During the quarter, we successfully completed flight testing associated with handling qualities, lighting and stability and control.

We remain on track for first delivery in 2027 and continue to focus on managing the production system for increased rates. We also have a dedicated team performing the change incorporation statement of work for built airplanes, which will be completed over a number of years. All right. Let's shift over to BDS on the next page. BDS delivered 29 aircraft and 1 satellite in the quarter. Revenue grew 21% to $7.6 billion, primarily driven by higher volume on KC-46 Tanker, missiles and weapons and classified programs. Spirit contributed approximately $150 million of sales in the quarter. Operating margin increased 60 basis points in the quarter to 3.1% on improving operational performance.

BDS booked $9 billion in orders during the quarter, including notable awards to continue E-7A Wedgetail development and additional international demand for KC-46 aircraft. Backlog grew to a record $86 billion.

As I mentioned last month, I have continued my reviews of BDS and have come away impressed with the teams leading these programs. I've also generally found reasonable assumptions in our EACs. They're not without risk and many assume improvements in front of us, but the estimates have a solid basis. On many of these legacy-challenged programs, the teams have made excellent progress in retiring risk and moving these programs forward. Steve Parker and the team are building on this progress, utilizing active management and increased program management rigor to drive continued gains and improved financial stability. As Kelly has previously said, you're never done until you are done, but the team has made great progress here. As I also mentioned, a key part of our ongoing reviews of the BDS portfolio is focused on strategy and growth. It's clear to me that our defense portfolio is well positioned to capture upside from increased operational tempo and rising defense budgets among the U.S. and our allies.

We see incremental growth opportunities from our missiles and weapon systems, including PAC-3, small diameter bomb and JDAMs as well as exquisite capability offered by platforms such as P-8, F-15EX

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and other proven solutions where we are investing to ramp up production. While we pursue additional growth, new opportunities are now subject to tighter underwriting to account for risk and our ability to deliver on our commitments. This approach, combined with continued operational improvements, support steady progress towards high single-digit operating margins as we execute against a record $86 billion backlog. Moving to Global Services on the next page. BGS continued to perform well and again delivered strong financial results in the quarter. Revenue was up 6% to $5.4 billion, primarily reflecting increased government volume.

Excluding the impact of the Digital Aviation Solutions divestiture, revenue was up 13%. Operating margin of 18.1% was down from prior year, primarily related to the impact of the Digital Aviation Solutions divestiture and less favorable mix. Both commercial and government businesses delivered double-digit margins in the quarter. Also in the quarter, BGS received FAA and EASA qualification for 777-9 training devices, an important step forward in support of the airplane's entry into service next year. Chris Raymond and the BGS team remain focused on continuous improvement. For example, the business has implemented automation and AI to reduce proposal cycle time by approximately 25% year-to-date, enabling faster response times to our customers. BGS received $8 billion of orders for a book-to-bill of 1.6 in the quarter, led by a strong intake from its government business. BGS ended the quarter with record backlog now at $33 billion and remains a high-performing business focused on profitable, capital-efficient service offerings and continues to execute very well.

Okay. Let's shift over to cash and debt. Cash and marketable securities ended at $20.9 billion, primarily reflecting debt repayments and free cash flow usage in the quarter. Debt balance ended at $47.2 billion, down $6.9 billion in the quarter on the paydown of maturing debt, consistent with our debt reduction plans. There are $1.4 billion of maturities left in the year. We also maintained access to credit facilities of $10 billion, all of which remain undrawn, and we remain committed to strengthening the balance sheet and supporting our investment-grade rating. Regarding our cash flow outlook, we continue to expect positive free cash flow of $1 billion to $3 billion this year, aligned with the expectations I shared last quarter. As I said previously, we benefited from order timing in the first quarter. We expect second quarter free cash flow to improve with the second half of the year turning positive.

Of note, we assume the expected DOJ payment to occur in the second half of the year. Beyond 2026 and consistent with what we've discussed previously, cash flow is expected to grow primarily driven by higher commercial deliveries, steady performance improvements at BDS and continued growth at BGS. We continue to view the $10 billion free cash flow figure as very attainable with significant growth beyond that into the next decade as we execute on our record backlog and benefit from continued strong market demand.
Okay. Let's sum it all up. A good start to the year as we continue to build on the momentum from 2025, and we're focused on steadily elevating our performance in 2026 to deliver on the long-term potential of this business. With that, let's open up the call for questions.

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Question and Answer

Operator

[Operator Instructions] Our first question comes from the line of Sheila Kahyaoglu from Jefferies.

Sheila Karin Kahyaoglu
Jefferies LLC, Research Division

Congratulations on getting rates stable and looking up. I wanted to ask your thoughts on the conflict in the Middle East and potential impacts to deliveries, your commercial services and weapons businesses and free cash flow and just how we think about scenario planning if the conflict drags another 3 months, 6 months or 9 months?

Robert K. Ortberg
President, CEO & Director

Yes, Sheila, as we said in the prepared remarks, we have seen no impact so far. No customers are requesting changes in their deliveries. And as Jay said, we made deliveries in the first quarter into important customers there in the Middle East. I think the broader thing for us to watch is the overall impact of fuel prices and jet fuel price impact and whether that hits the aftermarket. As you know, we're less susceptible to aftermarket. It's a less -- a smaller part of our overall portfolio going forward. But let me come back and give you a feel for how we're exposed on OE. So 14% of our unit backlog is in the Middle East for customers. But 2/3 of that backlog delivers out in 2030 and beyond. And we have pretty good ability to resequence airplanes in the 12- to 18-month time frame. So I think we'll be okay. We'll manage through that. If someone has some issues, we'll be able to resequence their airplanes.

I have received calls from airline customers letting me know that they're willing to pull forward if there's any opportunity. So I think the overall market dynamic will be okay for us in terms of OE deliveries. It's going to be very dynamic. I think we just need to watch, particularly the flight hour and the services business that's flight hour dependent. That will be the first indicator of any impact in our aftermarket. I'm encouraged with the near-term performance in our defense aftermarket. So hopefully, as I said in my remarks, we'll see some upside there, probably offset some of the downside if we see it in commercial. And we'll see the relative timing of those ups and downs. I'm not too worried about it right now. Obviously, the big question is how long does the war last. And I can't answer that. We'll just have to watch it and manage as things happen.

Operator

Your next question comes from the line of Ron Epstein from Bank of America.

Ronald Jay Epstein
BofA Securities, Research Division

You both spent a fair amount of time on the call talking about the defense business. I was wondering if we could maybe dig down deeper on the defense portfolio, both in terms of new product sales and in the services business, what you're seeing there? And where are other potential areas of growth that you didn't highlight in your prepared remarks?

Robert K. Ortberg
President, CEO & Director

Yes, Ron. So I'd put it in 2 categories. One is our product lines and portfolio are very much being utilized in the current war environment. So any time you see that kind of op-tempo, we're going to see service uptick associated with servicing those platforms. And by the way, we're very proud of our platforms. We've got teams of people in the Middle East supporting our customers in very dynamic situations. So we're really proud of those folks as well. And then you look at the overall, just I'll say, the defense budget

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increase, and I look at our portfolio, and we're really well positioned for that. Let me give you a couple of examples of areas where I think this new defense budget is going to benefit as well.

F-47, we see $5 billion in the budget for F-47. KC-46, increasing KC-46 production, $4 billion; F-15EX, $3 billion, enhanced -- the enhanced SATCOM, strategic SATCOM of $2 billion. So massive increases in weapon systems as well. And if you look at the backdrop of this, while it is funding new capability, it's really funding additional production of existing systems, which should be low risk for us. So our focus is really making sure we underwrite this growth properly with the right contract structures. We have our supply chain costs under control so that we get an opportunity here as we see increased production to actually make money on these opportunities. So that's our focus. I feel like the portfolio is well positioned. And there's no doubt that as we look at our 5-year outlook for defense, we're going to see upside from what we had planned last year.

Jesus Malave
Executive VP & CFO

Yes, Ron, maybe just a couple of. If you look at the first quarter results, the tanker program, the classified programs as well as missiles and weapons, we expect that to continue to drive growth this year. As a reminder, we're expecting to increase our deliveries on the tanker from around 14 last year to about 19 this year. And then as you know, on the classified programs, we've got some pretty significant content there. And going back to Kelly's comments, the beauty of our portfolio is that we participate and have exposure on shorter cycle defense platforms as well as longer term. And the missiles and weapons would be what I would categorize as more shorter cycle, and we certainly see some upside over the next few years in that area.

Operator

Your next question comes from the line of Myles Walton from Wolfe Research.

Myles Alexander Walton
Wolfe Research, LLC

Jay, could you speak to the free cash flow profile for the rest of the year, particularly if the second quarter can get close to breakeven? And then is there any free cash flow downside risk on requests for progress payment deferrals, either from Middle East or other carriers? And is there upside free cash flow risk from the Chinese orders if those were to come to pass?

Jesus Malave
Executive VP & CFO

Sure. Let me just take you through the profile first part of your question there, Myles. Just to reiterate the guide in terms of $1 billion to $3 billion for the year. As I mentioned during the prepared remarks, we benefited from some timing as well as the good recovery at BCA. So it's just timing in the year. We are a little bit back-end loaded, as you would expect, in the back half of the year, we'll expect to see some advances on the KC-46 program like we have seen in previous years. We'll see a little bit higher weighting towards aircraft BCA deliveries, which will come in with higher delivery payments in the back half of the year. In the second quarter specifically, somewhat similar to last year, an outflow, but in the range of, say, low hundreds of millions of dollars. So as I mentioned in my prepared remarks, an improvement from where we landed here in the first quarter, continued ramp throughout the year, and we still feel very confident in that guide.

As far as variability on the upside, we had a really good start at BDS and BGS. You look at the revenue growth there, to the extent that we can continue to have strong growth, have that convert into net income and we can keep a lid on working capital, there could be some upside in those businesses. As you know, we're highly dependent on the BCA delivery profile. So that's -- those are things that we're keeping an eye on. And those -- as Kelly mentioned in his prepared remarks, that we're pretty much right on track on those. As far as experiencing any specific requests, nothing meaningful. To get back to Kelly's comments as far as Middle East customers, nothing meaningful in terms of request that would cause right now any

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variability to our cash flow outlook. So it's pretty much on track, and we'll monitor, obviously, throughout the rest of the year, but a very good start to the year.

Operator

Your next question comes from the line of Doug Harned from Bernstein.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Kelly, I wanted to go to the 737 and you stabilized production at 42 a month. But I'd like to see what you can say about the process and time line to get to 47 and 52. And I'm highlighting 52 because that had been a challenge in 2018 for Spirit. And now that you're integrating Spirit, what are your thoughts on the timing of these next 2 rate breaks? And where beyond Spirit do you see some potential supply chain challenges?

Robert K. Ortberg
President, CEO & Director

Yes. Thanks, Doug. So first of all, let me reiterate, we've done a really nice job of stabilizing at 42. That was our plan, and we've done a nice job of that. So the rate increase from 42 will be done by this summer. That's our current plan. And I feel pretty good about that. We still benefit, as you know, from high levels of inventory. So I kind of look at the rate 38 to 42 and then 42 to 47 kind of a similar rate increases. We'll go through the same process that we've gone through in the prior rate increases. When we go from 47 to 52, there's a couple of important dynamics that are a little bit different.

That's where we bring in the North Line our fourth line of 737 production. We call it the North Line because it's in Everett as opposed to in Renton. We're in the process now, as we talked about in the prepared remarks, of bringing that online, the capital is all in place, the facility is ready to go, we're hiring people, we're going to bring those people through the Renton production system so that they get experience in a stable environment. And then we're going to be moving some folks from -- experienced folks from Renton up to Everett.

So we've got to get that and all stabilized and also get the FAA authorization on that line. So that will be happening while we're producing here at 47 a month. And as I've also said, once we burn down inventory and we'll be burning that down at 52 and further rate increases beyond 52, that's where the supply chain needs to be more in line with our production rate. We won't have the levels of inventory that we had. And so continuing to watch the supply chain there, and we have areas that we continue to work will be a focus when we move to that next rate. So hey, let's get to from 42 to 47 here in front of us. And as we've done on this previous rate increases, just continue to work the constraints where we see them to allow us to move to the next rate.

Douglas Stuart Harned
Bernstein Institutional Services LLC, Research Division

Can you say anything about Spirit on this as you integrate?

Robert K. Ortberg
President, CEO & Director

So Spirit has done fine. We're very pleased with the performance and the rate increases. We do still need to see some improvements in Spirit, but everything is tracking to our plan. And I would say the integration has gone well so far. So things are looking up with our Spirit integration.

Jesus Malave
Executive VP & CFO

Yes, Doug, just some of the quality improvements that I mentioned on my prepared remarks have been enabled by the better quality performance that we've seen coming out of Spirit. From an integration

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standpoint, we have biweekly meetings with the functional teams and go through the status of those teams and everything is progressing well.

Operator

Your next question comes from the line of Seth Seifman from JPMorgan.

Seth Michael Seifman
JPMorgan Chase & Co, Research Division

I heard the comments earlier on 787. And I'm wondering if we could dig in a little bit deeper there. First on what gives you the confidence in kind of overcoming the supply chain challenges there. It seems like the line in Charleston is doing quite well, but waiting on some suppliers, particularly with seats. And then on the financial profile of the program and bringing in Spirit, and we can see some increase in the deferred during the quarter, but how that moves from here and gets to the kind of healthy financial profile that we're looking for? And then lastly, maybe the long-term opportunity there with the new capacity that you're adding?

Robert K. Ortberg
President, CEO & Director

Okay. Seth, let me talk about production and I'll have Jay talk about the financial performance. So as you commented, we've done a good job of stabilizing as we've moved from 5 to 7 to 8 per month. A good example is, in this case, rework has improved significantly in the final assembly line, 25% improvement year-on-year. We have, as we've talked about throughout the past year, we've been struggling with getting the seat certifications complete for the new cabin configuration. So if it's a new seating configuration, typically with doors, this has been an area that we've struggled. It has less impact on our factory production because we can essentially build the airplanes, it's that we can't deliver them. And so we've got a fair number of 787s that are held up -- that are actually built that are held up now to get seat certification.

So this is something we're just kind of getting the pig through the python. We've got to work to get this done. I don't see any showstoppers in these certifications, but it's just taking longer than we anticipated.

In terms of the supply chain -- other supply chain performance, it's been a tough quarter in terms of engine deliveries for us. They've fallen behind a little bit. We do have a recovery plan on engines. So we've got to stay on that recovery plan to allow us to get to the next increase of 10 -- to 10 later on in the year. So it is a little bit different scenario than on 737 because we don't have the inventory levels. So we have resources forward deployed in our supply chain where we have constraints. And that's not unusual. We'll continue to do that to help the suppliers where they have issues, resolve those issues to support our rate increases. So a lot of work yet ahead. I think getting these -- some of these near-term seat certs behind us will unlock our delivery.

And as Jay said in his prepared remarks, we're still -- there's no change in our forecast in terms of number of aircraft delivery in the full year. It's going to be -- I wish it was a little more linear than what it is, but we're working through those issues.

Jesus Malave
Executive VP & CFO

As far as the financial profile and deferred production, Seth, we had a cost base extension. So we added to the block, which is a good thing at higher margin additions to the block. It will take us maybe a year or so to stabilize that and start working it back down, but all good news in terms of improving financial profile in that program.

Operator

Your next question comes from the line of Peter Arment from Baird.

Peter J. Arment

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Robert W. Baird & Co. Incorporated, Research Division

Nice way to start the year. Kelly, on the 777X, you mentioned the FAA last month cleared Boeing to continue to kind of advance the program in this fourth phase out of the total of five. Can you maybe update us on your thinking on how this current certification phase and what milestones any investors should be kind of tracking? And then just related, long term, just given the complications that you've seen on seating and everything else, any reason to think the production system here couldn't deliver at a much higher rate than what it's averaged in the last 8 years of 2.5 aircraft a month? Just trying to get a better handle on the long term, just given the program delays and kind of the wide-body replenishment cycle you guys kind of see out there.

Robert K. Ortberg
President, CEO & Director

Okay. Well, let's talk about the certification first, important. So we continue to make progress on the certification. I guess a couple of milestones. We got the TIA 4a authorization, which was not a super large package, but it was a really important package because it had deicing and we want to get that deicing done while there's still ice available in Alaska. So that was a really good important one for us to get so that we don't have to search for weather. The next one will be TIA 4b. We're expecting that very soon, and that's a pretty large package. So I think watch for that milestone, achieving 4b will be important for us to continue the flight test.

As I've talked about, we had the engine issue that we identified. GE has got a fix that they're working for that. And so that's not impacting our flight test program now. We're having to do periodic inspection, but we're able to incorporate that and keep the airplanes flying. So we just have a lot of work yet to do here with this program. This is going to be a big focus area for us in the balance of the year. GE is also working the -- with this mid-seal issue that we've identified, it will require an update to the engines before delivery. So to your production point, we're still working through the industrial plan to get those -- to get all the engines upgraded to support delivery. So no real change in our forecast. And then the second part of this question was around capacity.

Peter J. Arment
Robert W. Baird & Co. Incorporated, Research Division

Just long term on the production system, just the ability to deliver at a higher cadence than you currently have been running. That's all.

Robert K. Ortberg
President, CEO & Director

Look, we're targeting 5 a month. And I think that's a reasonable -- with the overall market demand and our capacity, I think that's a reasonable goal and where we expect to be.

Operator

Your next question comes from the line of Noah Poponak from Goldman Sachs.

Noah Poponak
Goldman Sachs Group, Inc., Research Division

Jay, you made an interesting comment on longer-term free cash flow that you think you could have significant growth beyond the 10. I wondered if you would just talk about that a little more. I mean, I think we hear skeptics say, can they get to the 10 and then the 10 is peak because there has to be a downturn at some point or there has to be new aircraft investment at some point. I think people who are more bullish would say the production rates are still below demand, and there's some pieces in there that are moneymaking eventually that are still breakeven in the 10. The 787 math is interesting. I'd just be curious to hear you talk about what gives you the confidence to make that statement and what some of the key pieces are?

Jesus Malave

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Executive VP & CFO

Sure. Again, Noah, first things first, let's get to 10. That's a bogey that's been out there for quite some time. And so we got to first get to that before we can go beyond it. But again, the building blocks, whether it's 10 or even beyond that, are pretty much the same. A lot of it depends on the BCA recovery. And first things first, as Kelly mentioned during his prepared remarks, is achieving certifications on the 737 variants as well as the 777X program. And so we're on track to do that. That helps us enable the higher production rates. And Kelly just talked about what our path is for rate, just as an example, on the MAX from 47 into 52. And so we have -- that is a significant enabler to these types of cash flows we're talking about. When you think about that for a second, these delivery profiles, in the first -- or in January, on the fourth quarter call, I talked about these drags that we're bringing our cash flow down and weighing it down.

What the increased production rates enable us to do is burn that off. At the same time, you get the compounding benefit of stepping into the higher-priced backlog. And a third compounding element to that is with the higher volumes, you're also going to see cost reduction through absorption and productivity. So all those elements together are really driven by our ability and the timing of which we drive to these higher production rates. Beyond BCA, you've got BDS recovery, and they've done a good job. You see here in the quarter, they delivered 3.1% on the margin. So we're on the right track in our march towards high single digit. The way I look at that business, I spent a fair amount of time talking about what I've seen thus far. And to me, I kind of simplify it into 3 elements, which I refer to as the 3 Ps: performance, process and price discipline. And I think Steve Parker and his team are employing that exactly right now as they march up to this high single digit.

And then the last piece of it is BGS and their continued march up. They're performing exceptionally well through any environment and continue to drive growth there. So those are the 3. It's a question of timing, whether it's 10 and beyond that. But this is all underpinned by a nearly $700 billion backlog that Kelly mentioned. We talked about kind of perturbations that can occur, but it's such a strong backlog that we have the flexibility to manage these rates and still deliver on them. So it's up to us as a management team, obviously, to execute, but it's all sitting there in front of us, and we're confident that we can deliver that.

Noah Poponak
Goldman Sachs Group, Inc., Research Division

Do you see 1Q as the low watermark for the BDS margin for the year?

Jesus Malave
Executive VP & CFO

It's in that ballpark. I think for the year, it could -- yes, I mean, it could be a little bit better, kind of think about 3.5% for the year. So I would slight better from here on out.

Operator

Your next question comes from the line of John Godyn from Citi.

John David Godyn
Citigroup Inc., Research Division

I wanted to maybe just ask about BCA margins, the trajectory from here. We've gotten a lot of interesting commentary on the call on 787, 737, delivery production outlook, certification trends. But intra-quarter, it felt like there was a couple of chances where you guys wanted to just level set people on BCA margins. So I wanted to just ask a question where perhaps we could kind of get it in one place, BCA margins this year, next year, kind of how do you see the play-by-play evolution with so much going on with the 737 and the 787.

Jesus Malave
Executive VP & CFO

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Yes. Thanks, John. Let me just baseline you, again, in the quarter, BCA had 6.1% margins, a little bit better than what I talked about in March, and that was largely due to this onetime benefit that we received. Having said that, we still expect progressive improvement sequentially throughout the rest of the year. And that will, again, go carry over into next year where we expect the margins to turn positive mid next year. So I think they're on the right track. That is basically dependent on the delivery volumes and us continue to increase deliveries. It's also dependent on cost base extensions. And again, we have such a strong backlog that's well priced, high confidence there. And so we've got, I think, over this time period, over this next 18 months or less, a solid path to get back to positive booking margins on that program.

Operator

Your next question comes from the line of David Strauss from Wells Fargo.

David Egon Strauss
Wells Fargo Securities, LLC, Research Division

Kelly, 2 quick questions. First, I guess, on Spirit, I think, Jay, you've talked about $1 billion kind of cash drag from Spirit this year. How do you see that progressing into '27? That's the first one. And then 777X change incorporation, I hear change incorporation. It sounds a bit scary based on past history when we hear change incorporation. What exactly is involved in terms of change incorporation? And how many aircraft kind of built aircraft are we potentially looking at where there -- where change incorporation is going to be necessary?

Robert K. Ortberg
President, CEO & Director

Let me start with the change incorp. So we've -- what change incorp is, is basically for the airplanes that we have built to incorporate all the changes that have happened since they've been built. So things that result from the certification program, things that happen as a result of productivity improvements or process improvements. So we go back in and we incorporate all those changes before we make the delivery. So it is a pretty massive activity that we have underway. We've got a dedicated team within BCA focused specifically on the change incorporation of the airplane. So we've got roughly 30 777s that will go through this change incorp process over several years.

Jesus Malave
Executive VP & CFO

On your question on Spirit, this year, we talked about $1 billion of negative cash from Spirit, partly due to just operating performance and the other part being related to CapEx. As we head into next year, probably similar types. And then beyond next year, we'll start to see that improve with the benefit of performance and productivity as well as synergy capture. So that's the way to think about it, David.

David Egon Strauss
Wells Fargo Securities, LLC, Research Division

Okay. And Kelly, are there any major -- in terms of that change incorp, is it structural software? Kind of any color on kind of the big things that need to be done?

Robert K. Ortberg
President, CEO & Director

Yes. The answer to that is yes. And actually, it depends on when the airplane was built. The older the airplane, the more change incorporation and the more structural related changes that are needed, and they'll take longer. The newer the airplane, the more it's likely more minor upgrades. And each -- actually, each airplane has a different change of corp work scope. So that's what the team is doing right now is going through defining the statement of work. We're actually going to bring all those airplanes down to a common configuration level and then incorporate the changes. We think that's going to be the most efficient way. Now this isn't new, David. This is something we've always planned. It's a part of the production process. Unfortunately, when you build the airplanes early to get all the learning, but then in

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order to make the final delivery, we do have to bring them all up to the latest configuration. So it's in our EAC, it's in our operating plan, and we're in the early stages of that change of corp effort.

Eric Hill
Vice President of Investor Relations

Rob, we have time for one more analyst question.

Operator

Your final question comes from the line of Gautam Khanna from TD Cowen.

Gautam J. Khanna
TD Cowen, Research Division

I wanted to just -- you touched a little bit about demand and no erosion in demand yet. I'm curious if you could just talk about the big order campaigns you're pursuing on the BCA side. I know we talked a little bit about the China order, but how big could that be? When could it happen? And what are your expectations for kind of airplane orders this year?

Robert K. Ortberg
President, CEO & Director

Well, let me specifically address the China order. I think that's 100% dependent on the U.S.-China negotiations and relations. As you know, there's a big summit coming up between Trump and Xi. I'm highly confident that, that will result if there's an agreement at the country level, as I said in my comments, I'm highly confident that, that will include some aircraft orders. President Trump has been very focused on supporting us in international campaigns, and he's been very successful in doing that. So I think that's a meaningful opportunity for us. I'm not going to give you the number of airplanes, but it's a big number.

Operator
And that completes the Boeing Company's First Quarter 2026 Earnings Conference Call. Thank you for joining.

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Market Intelligence

The Boeing Company NYSE:BA

Company Conference Presentation

Tuesday, March 17, 2026 1:50 PM GMT

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Jesus Malave
Executive VP of Finance & CFO

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Ronald Jay Epstein
BofA Securities, Research Division

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Presentation

Ronald Jay Epstein
BofA Securities, Research Division

Malave with us today, CFO, Executive Vice President of The Boeing Company. So Jay, thank you for coming.

Jesus Malave
Executive VP of Finance & CFO
Thank you Ron. Thanks for having me here. Happy to be here.

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Question and Answer

Ronald Jay Epstein
BofA Securities, Research Division

Yes. That's great having you here. So maybe to quickly start off this sort of a big broad question I ask everybody, how's business?

Jesus Malave
Executive VP of Finance & CFO

The business, I think, is doing quite well. 2025, and it's just a big picture was a good year for The Boeing Company. It was one, I'd say, foundational, while at the same time, a year of pretty significant progress in the company's recovery.

And you take a step back and maybe you just go around the portfolio for a second. BCA coming off of 2024, we had a work stoppage and it was really unclear in terms of what we'd be able to achieve from a delivery standpoint, a production standpoint. And the company delivered -- BCA delivered 600 aircraft last year, which was the highest since 2018. So they also had, besides kind of just putting together a solid framework and production cadence, they actually were increasing rates at the same time last year, too.

And the company put together a pretty strong and followed it a quality and safety plan and was methodical about creating stability and maintaining stability in the production system, which enabled it to then increase the rates, which is what we saw. And it really put -- created a springboard for where we are in 2026 and where we're going and beyond. And so they had a very good year.

They also closed the Spirit acquisition, which was no small feat. As you know, integrations are difficult, and we closed that at the end of last year, and then they started in on the integration and have done quite well. We've seen defects come down by 40% here early 2026 relative to what we were performing at even in 2025. So really good performance there at Spirit as well.

We did have to fold in their accounting, which does cause a little bit of pressure on the BCA margins. So for those that have followed us closely, we were expecting to be at least flat or positive margins at BCA this year. That gets pushed out a year to about until 2027. This year will be negative. And in fact, in this quarter, will be negative around 7.5%, 8%.

But even so, the combined business of Spirit and BCA is positioned well to really deliver for the future demand that we have. I mean we think about our backlog, we've got $682 billion of backlog across the entire company, over $560 billion of backlog at BCA. So it's critical that, that part of the value chain works in a synchronized fashion and they're doing so. So really good progress at BCA.

BDS is the same thing. On the whole, BDS really made some good progress. Again, same thing, stability in their developed programs and some of the challenge of programs that have been challenged. Yes, in the fourth quarter, we did get nicked up a little bit on the Tanker program. But on the whole, they made a lot of progress. And again, position themselves to start putting us here a positive margin for 2026. And getting ourselves up that ramp to high single-digit margins that they should be at.

So they're in the right path, Steve Parker has done a nice job there, really stabilizing that business, focusing on the fundamentals, really just program management, integrated product teams and incorporating really across the company, not just BDS, but across the company, things like lean and continuous improvement. And so really seeing good progress there.

And finally, at BGS, they did a -- just clicking along quite nicely, high-teens margins ended the year last year at 18% delivering solid cash flow for us, which is critical given where we are in our recovery. And at the same time, they were part of the disclosed, the divestiture of Jeppeson, which is not easy to do keeping everything going on a day-to-day basis while at the same time executing a divestiture. So they did a nice job there and I give a boost to our cash balance, which is -- puts us in a good place in terms of a margin of safety.

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And so all those things taken together, a pretty good -- pretty strong year and sets us up well. The one blemish, if you will, we had last year was on development programs at BCA. We had to reset the schedules on the 737-7 and -10. We had to reset the schedule in the third quarter on the 777-X. or -9 program. But the good thing there is that we put those now on the right schedule. The reset was while painful, now puts us in a position that we can execute, too, and perform, too, on that schedule, and we are performing exactly to those schedules today as we speak.

So '25 is a good set up into '26, and we're moving forward.

Ronald Jay Epstein
BofA Securities, Research Division

So maybe for lack of better expression, double click on Spirit for a moment. When you guys closed and brought it in, what did you find that was surprising? What had changed in the years when it was not part of Boeing anymore?

Jesus Malave
Executive VP of Finance & CFO

Yes. Well, the company had embarked on diversification. So it became a little less -- or tried to become a little bit less Boeing focused. In that there was an impact in performance there among a number of other issues. The good thing there is that our team, our production team and our supply chain team was able to get in there earlier than the close just as in a supplier and purchaser relationship. And so we were able to get, I think, an early start on quality performance. I think the team did a really, really good job there setting it up. And that's now resulted in the performance we're seeing today much, much better.

From a surprise standpoint, you don't get access to all the information until you actually close. And so there was cost that was -- they were -- their cost was higher than the price that they were getting from us. And so we had to reset the margins at BCA as a result. But again, that's a short-term headwind. I think that we'll be able to work through that.

When you think about longer-term cash flows, that really won't get in the way of us being able to generate the types of cash flows we've talked about in the past with both -- with you as well as with investors. And so I think those are the 2 primary things. Really focused on execution there for all of our customers, not just the Boeing commercial programs, but our defense customers as well as our aftermarket customers is important. And we're seeing some good trends there.

Ronald Jay Epstein
BofA Securities, Research Division

That's great. And then in 4Q, there was a lot of progress made throughout the year. As outsiders looking in, what should we be looking for to kind of give us confidence? What gives you confidence that, that performance is going to continue into this upcoming year?

Jesus Malave
Executive VP of Finance & CFO

Yes. For us, it's -- I'll take it maybe into different pieces on -- just in general, you're saying, right?

Ronald Jay Epstein
BofA Securities, Research Division

Yes.

Jesus Malave
Executive VP of Finance & CFO

On the production side, it's really following our production rollouts as well as our deliveries from time to time and how things shake out. And when you look at our production cadence, the deliveries may vary from month to month, but our production rollouts are -- have been pretty steady. And that's the important aspect of the production, particularly in the factory. And so we're seeing good performance there.

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As we said, we're not going to increase rates before we're ready. And so we're going to stick to the safety and quality plan that we put in place. We need to see stability. We need to see the metrics perform, and we have -- those 6 KPIs. They haven't changed. We'll follow those KPIs and let the data follow our decision-making there. So I think that's one area that's how we're performing against the KPIs and how we're performing and the production system as in general.

As we -- on the development programs, it's really completing where we are on the 3 programs is just various levels of flight testing. And where do we stand on those? Are completing the flight testing on the time line that we had laid out? Are we in a position to be able to submit the information that the FFA requires so they can perform their analysis and provide the necessary approvals for that. So those are ongoing as well. Those are I think are going pretty well. We can talk about that in more detail.

But it's really monitoring those progress. I think quarter-to-quarter as we report results, we have been and we will continue to do, just to give you the color on where production is and where we are in our development programs, where we are on the programs in BDS from a recovery standpoint. And you'll get to see the BGS financials every quarter to see how they're tracking from a growth standpoint.

Ronald Jay Epstein
BofA Securities, Research Division

Got you. How is the about Everett 737 line...

Jesus Malave
Executive VP of Finance & CFO

It's going well, actually. Kelly and I were there last week. We did a tour of the line, the tooling and equipment is in place. We're going through training. Our employees are being trained in the Renton factory, and that's ongoing. That's been going -- happening for a few months now. So we expect that we'll start our first aircraft building here in the summer. And we're -- so everything is right on track there. The stands are in place. The line is ready to go. It's going to be an exact replica of Renton lines. So there'll be no change for those employees, and we have some employees that are going to be coming in from Renton. We have some employees that will be coming in from our Moses Lake factory and some new employees that we're training up today. So it will be a mix of experienced employees that will work in tandem with all the employees.

And so we're excited about that. It provides not only just the ability to increase our rate, but also provides resiliency in the production system because now we'll have 2 sites producing and delivering a 737. So very excited about that.

Ronald Jay Epstein
BofA Securities, Research Division

And as outsiders, when would we expect that line to be sort of at a normalized cadence, right?

Jesus Malave
Executive VP of Finance & CFO

Well, it will take us a few years. We'll start this year on our first build. It will take us a number of months because of it is kind of the first aircraft and we'll induct the second aircraft. So sometime next year, we'll bump up to a rate too, and it will go from there. But again, it's going to be no different than any other our factories, follow the metrics, make sure the performance is following the safety and quality plan. And whenever we're ready to increase rates in Everett we will.

The way it's set up is, Renton will be rate 47 capable and anything above 47 will be in Everett. So it will be a great enabler to these increasing rates.

Ronald Jay Epstein
BofA Securities, Research Division

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Got you. Got you. And then just you think about the MAX 7 and MAX 10 certification targets and things seem to be in line. What remaining test items have to happen? And again, what should we be monitoring to kind of feel good that things are going the right way.

Jesus Malave
Executive VP of Finance & CFO

Yes. I mean, well, the good news on that program is that we have all of the flight testing envelope has been approved by the FAA. So it's a matter of completing the flight testing. There are remaining things, things like autopilot with the engine anti-ice solution that we implemented last year has to go through the flight testing program as well.

Advanced angle-of-attack. There's a number of aircraft systems and capabilities and functions that will have to be tested, but we expect to be complete with that sometime this summer. We'll be in a position, we'll be able to provide the appropriate documents and paperwork for the FAA for them to do their analysis upon. So that's tracking really well.

There'll also be some reviews related to what I call is the engineering process reviews to validate that your validation program ties all the way back to your original requirements. And that will take place later this year as well. So we're still on track to have these aircraft certified towards the second half of this year, and we'll start delivering next year.

Ronald Jay Epstein
BofA Securities, Research Division

That's great. And then, how is the 777X going? And what milestones should we be looking for? And how should we think about longer-term demand and build rates for that airplane?

Jesus Malave
Executive VP of Finance & CFO

Yes. It's a similar case. It's not as far along as 737, but it's still on the right pace. We discussed and disclosed in the fourth quarter call in January, that we had approval for the TIA 3 which was the next big phase of flight testing. There are 2 more that need we need to get approval for. And we're waiting for the next one very shortly here.

We -- flight testing is ongoing. So it's not like we're paused in any way. We have a number of flight test assets that can handle or configured for the different flight test program approvals that the FAA gives us so that we can run all of these programs concurrently.

So like I said, this is a little bit behind from a certification standpoint than 737, -7 and -10, but we're on the right path. And as we mentioned, when we reset the program in the third quarter of '25, we expect it to get certified and start delivering aircraft in 2027, we're still on that framework. So again, it's similar milestones to the 737. Where are you in your approvals for flight test program? And where are you actually on the flight test program? And again, we're pretty much on track there.

Ronald Jay Epstein
BofA Securities, Research Division

And then when we think about it, if you can, longer-term potential build rates for the program...

Jesus Malave
Executive VP of Finance & CFO

Yes. Longer term, we'll be running up to about 5 per month. There's discussion about potentially taking that higher, but for the time being, we're right around 5, and that's something that we've been able to demonstrate for the legacy 777 program. So there's a fair amount of demand. We've got over 500 aircraft in the backlog. There continues to be demand. We took a lot of significant orders last year. And it's excellent aircraft. So there still continues to be a lot of interest there. We expect there to be more orders.

Ronald Jay Epstein

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BofA Securities, Research Division

Got you. Got you. And then in 2026, how should we think about aircraft coming out of inventory versus aircraft coming off the line? I guess from an outsider looking in, when will we -- there'll be a tighter correlation between actual rollouts of the line to deliveries versus things coming out of the second factory.

Jesus Malave
Executive VP of Finance & CFO

Yes, this year it gets a lot closer. And you think about last year, maybe take a step back last year, and I'll compare it to this year. Last year, on the 737, we delivered 447 aircraft. About 50 of those came from aircraft that have been built prior to 2023. So it's a fair amount that had to do some completion work. But that really bolstered the delivery framework because we weren't producing at that level.

On the 787, we delivered 88 aircraft and similar type of story at about 15 in that ballpark of aircraft that delivered out of inventory. So what was coming out of production wasn't at the rate of delivery. This year, for the most part, does catch up. When you look at 737, we expect around 500 aircraft this year, and that's supported by the 42 rate as well as we're expecting to go to 47 sometime midyear on that program.

In addition, we are building another 30, 737-10s for delivery in 2027 once that gets certified. So actually, build will exceed deliveries this year on the 737 program. Let me just stop here on that program for the moment. Because last week, I think it was reported that we had paused delivery on 737 due to a internal notice of escape related to wiring in our -- one of our facilities.

Since that time, our team went through the investigation to that analysis. They also presented that and worked with the FAA. And they -- what's come out of that is we've got about a population about 25 aircraft that are impacted by that. So they will have to go -- undergo some level of rework.

But you're talking around 3 days of rework, so not a significant amount of rework on those aircraft. We have resumed deliveries as of last week. So towards end of the last week, we're able to resume deliveries of aircraft. And so the impact here is really one of timing. We'll see about 10 aircraft. We are expecting about to deliver around 120, 737s in the first quarter. So we'll slip about 10 of those deliveries into the second quarter.

So fairly limited in the grand scheme of things, that will put a little bit of pressure on cash flow in the quarter. I talked about cash flow being similar to what it was last year, maybe a couple of hundred million dollars worse than last year as a result. But at the end of the day, we'll get those aircraft back delivered here in the second quarter. Really no change to our factory production really didn't change. It continued. It was not a safety of flight issue at all. And again, we worked out with the FAA. And we fully expect that will change rate to 47.

Like I said around this -- around midyear, the team is actually working through an earlier date than that. But we're kind of for purposes of conservatism, I'm around midyear. And we're still expecting to deliver over 500 aircraft. So really not much change at all. It's something that the team worked through.

And frankly, I'm proud in terms of how they approached it really using the lean and continuous improvement tools, go down root cause, corrective action, understand the population affected besides getting to the corrective action, determining what you can do to using continuous improvement parlance mistakeproof. So how can you prevent something like this happening? Do a read across on other types of systems and machines so that you don't see a reoccurrence of this.

So I think that the BCA did all the right things around this and the impact is fairly limited.

Ronald Jay Epstein
BofA Securities, Research Division

Can you speak to how it was just noticed in the first place? Like what in the quality system said, hey, you know what, we have an issue here...

Jesus Malave

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Executive VP of Finance & CFO

Well, they observed some mix in some of the wiring. And that traced back to a machine that was -- that had -- just didn't have the right calibration settings. And so they have to go back and trace back the root cause of the setting changes. So -- but in the meantime, what they've done is really taking those machines offline and you're able to manually do this. And so they've been doing it manually.

Ronald Jay Epstein
BofA Securities, Research Division

Got it. And then maybe just while we're talking about production. In South Carolina, how are things going with 787?

Jesus Malave
Executive VP of Finance & CFO

Yes. Thank you for asking the question. 787, again it's -- the rollouts have been pretty good actually for January and February the deliveries have been a little bit lighter. We've delivered about aircraft quarter-to-date, which is lighter. We were expecting to deliver anywhere about 20 aircraft in the quarter. So we expect that to be closer to maybe 15, maybe one or two better or worse in that ballpark.

And that's mostly related to Seating certifications. Kelly talked about that in the fourth quarter call in January. And we're still paced by some of these certifications that we're working through. Again, the build is happening. So we're really not changing the production cadence. The factory has been really, for the most part, unaffected there. And so we continue to expect that we'll deliver 90 to 100 aircraft this year as well there. So for that program, it's a timing issue as well.

And a little bit lighter in the first quarter, but we'll catch that up.

Ronald Jay Epstein
BofA Securities, Research Division

Got it. And what we've heard is the front-end interior seats cert issue?

Jesus Malave
Executive VP of Finance & CFO

Yes, the premium seating has been challenging. Those are very strict, rigorous types of certifications and you wouldn't ordinarily think so, but they are. They're difficult to get through and airlines I'd like to have the specific unique configuration, which they view as a differentiating selling point to their customers. And so we have to work through those.

Ronald Jay Epstein
BofA Securities, Research Division

Maybe changing gears a little bit to the defense business. We're going to see potentially another large uplift in the U.S. defense spending in fiscal '27. How that look for you guys? I mean, what kind of opportunities are you looking for there?

Jesus Malave
Executive VP of Finance & CFO

Well, the business coming into this year was very strong. As I mentioned, we had record backlogs. They had a record backlog of $85 billion coming across a business that's generating about $27 billion of revenue. So you've got multiple years already in the backlog and you're looking at potentially more upside. The team recently announced that they had reached an agreement with the Department of War related to PAC-3 intercept, our seeker there. And I think the team is committed. And they got ahead of it. They have made some investments on the production system on that program earlier.

So that enables them to ramp up a little quicker than they otherwise would have on that program. So they're doing quite well. And the demand is pretty much robust. We're having a lot of dialogue with

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customers on our -- mainly the U.S. DOW customer on the platforms as well. Things like the tanker program. And yes, we have to kind of work through these lots in prior contracts. But we're in a position where we'll have much better contracts and much better demand on that tanker program as well.

So there's just quite a bit happening. There's demand on the helicopters. And as you know, Ron, a significant amount of activity in space. And our team has a very good business there. And so we're positioned quite well to participate in these higher budgets. For us, it's execution. We got a backlog now. Execute on that backlog. And make sure we earn the right to bring in additional business.

Ronald Jay Epstein
BofA Securities, Research Division

Any thoughts on F/A-XX, what could happen there?

Jesus Malave
Executive VP of Finance & CFO

I would be speculating, Ron. We're awaiting that. That's been on and off, on and off. You hear different things on that program. We got to follow the customer's lead on that. And look, we feel that we submitted a fabulous compelling proposal to the customer, both technically, commercially, while at the same time, protecting the Boeing shareholder. But that's ultimately a decision they got to make on a time line -- their time line. And that's not something that we necessarily have much of a say on.

Ronald Jay Epstein
BofA Securities, Research Division

Got you. Got you. And then one question that kind of comes up all the time. How should investors be thinking about potential incremental charges in the defense business?

Jesus Malave
Executive VP of Finance & CFO

Yes. That's been, I think, the running -- I don't know if it's a joke or running fear, Jay Malave is going to come in and do a bunch of EAC reviews and we're going to have whole bunch of charges pop out left and right. What I could say is that, starting in January, I was able to get access to the defense businesses and many of the programs. And I've had a number of reviews, and it's not just financials, it's strategy, it's capability. How is that capability relevant today? How will that capability relevant tomorrow? How can you enhance it? What type of modifications and what's the investments necessary for that?

So its much strategic as it is financial. But just on the financial, because I think that's really where your question is, is I've had a chance to review a number of the EACs. And while we do have improvement in those EACs, they're very achievable. I'm very comfortable the team has the right assumptions in there. They've got the right performance baselines. There's sound reasoning for the assumptions that they have in those EACs.

And so like Kelly said, you can never say never -- charges, but I don't see anything imminent. I think the team has done a good job of estimating and are doing a good job of staying on track to the estimates, the improvement plans that they have in those EACs. So I don't see anything imminent. We'll continue. Look, I do ongoing reviews on the commercial side, I'll be doing ongoing reviews on the defense side just to see how we're doing, but there's nothing that, that comes to mind that worries me.

Ronald Jay Epstein
BofA Securities, Research Division

That's great. How's supply chain? I mean are there pinch points? How are you managing that? And can the supply chain currently support the ramp that you have in front of you?

Jesus Malave
Executive VP of Finance & CFO

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Yes. I think in the short term, the answer to that is yes. We're going from -- let's just start with BCA and the 737. We're going from 42 in our next rate change would be going to 47. I think that supply chain is very well positioned to support that change pretty much across the board. We have ample number of fuselages. We have an ample number of engines to support that.

As you start going beyond 47 to 52, it starts getting a little bit tighter. And there's areas that we have we're watching. I mean, engines is an obvious area where there's that tension between aftermarket and original equipment demand that with a limited supply. And ultimately, that's something that we watch, and we have a very good relationship with our engine provider, and they do a good job of keeping us informed.

And so I think that's -- they continue to make progress, and we'll just continue to monitor that. And so I think that's the primary one probably on narrowbody. On the wide-bodies, as you know we've talked about some of these seating certifications that we're dealing with on the 787. There's also been some issues here and there on just on some interiors and from a quality standpoint. So quality needs to get better so that we can improve the delivery and we're going to go from 8 to 10 on the 787 this year. That will be probably in the back half of the year is our expectation there.

And again, I think when we go from, say, 10 to 12 in future years, that will be something that we'll have to keep an eye on same thing. I think that we'll have to keep an eye on the interiors and probably engines as well.

Ronald Jay Epstein
BofA Securities, Research Division

And then maybe back on 78, should we be thinking about 78 freighter as a potential replacement for the 67?

Jesus Malave
Executive VP of Finance & CFO

It's possible. It's under consideration. The team considers it. I mean right now, look, we've got enough on our plate to deal with. And then the investment there is not insignificant. It's not -- it's not easy. So it's not something you can just do on a side. But yes, it's under consideration.

Ronald Jay Epstein
BofA Securities, Research Division

Yes. Interesting. What's the aircraft pricing environment look like?

Jesus Malave
Executive VP of Finance & CFO

The pricing environment, I'm going to take that question back to the question that you asked Kelly in the fourth quarter call. And you asked the question more in the context of just profitability pools and things like that in the industry. And would you change that on a future program. And I agree the way Kelly answered. And I think it's equally applicable to the pricing environment now. And what he said was that, a lot of it comes down to contracting. The risk that you take in your contracting, the terms that you agreed to, and you think about -- you take a step back and you think about The Boeing Company, what we are is we're an aircraft system integrator. And we take a lot of risk associated with being an aircraft system integrator.

And so the contract and the pricing as well as the terms that we agreed to should be commensurate with the risk of that. And so we need to protect ourselves probably better than we have from a risk perspective on the term side and the pricing should be reflective of the risk that we're taking as the integrator.

And so I think we are seeing a better pricing environment and it's reflective, I think, of a move towards that. It's not just being kind of opportunistic because there's minimal slots available. Yes, that's a factor. But I think that we need to be just more prudent in the way we price. And again, like I said, it's got to be more connected to -- correlated to the risk that we take as an integrator.

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Ronald Jay Epstein
BofA Securities, Research Division

I mean just maybe double quick on that, because that was a question that I asked. Do you see the industry move in that direction? Because I would argue that I think most investors think that Boeing and your primary competitor don't price enough on the aircraft that you provide?

Jesus Malave
Executive VP of Finance & CFO

Well, I can't speak for others. I can only speak about what we're doing. And I really -- I believe -- I'm really again impressed with BCA, what Stephanie and her team and her sales team are doing in terms of just being more prudent with sales campaigns, being more disciplined, being just using sound reasoning for -- to the extent that we're incorporating changes that customers may or may not have seen in the past. And so just -- it's just logic-based. And so I think that there's just room for that. And so whether or not others are doing, I can't really say. All I can tell you is what we're doing. And I think discipline is an important part of our recovery plan.

Ronald Jay Epstein
BofA Securities, Research Division

Yes. That makes a ton of sense. What are the key building blocks to bridge '25 cash flow to the '26 targets when you think about deliveries, inventory drawdown, working capital?

Jesus Malave
Executive VP of Finance & CFO

Yes. I mean you look at a big picture, you go from '25 to '26 and BCA deliveries is just a big component. We are increasing deliveries pretty much across the board on the 2 major programs, the 737, 787. So that provides a cash flow boost. We're also getting a benefit from some excess inventory burn down in '26 relative to where we were in '25.

And then timing. I mean this year, we see some timing benefits in terms of new orders that varies from year-to-year, but we're expecting some benefits there, which will give us a little bit of a boost as well. And so some pretty solid contribution out of BCA. And then you've got BDS with the profitability improvement, we'll continue to see a contribution from them as well. So they're shifting from a business that over the past 3 years have been pretty much negative cash flow to a business that will be breakeven to positive cash flow fairly quickly here. So they're on the right path. Just the cash flow will follow the profitability path for them as well.

And then on BGS, just kind of clicking along. Just continue to grow and drive some cash flow. So those are all the positives that we'll see in cash flow. Some of the kind of headwinds or offsets that we'll see negatives, we do have negative cash flow, higher negative cash flow on the 777X program this year. We still are going through a certification program and we're building aircraft to start delivering next year. So that does have a pretty decent sized cash burn to it. We've got higher CapEx this year, about $4 billion of CapEx versus around 3 -- little bit $2.9-ish billion last year. And so we'll see that for this year and next year around those levels around $4 billion.

And so -- and then we have this kind of onetime payment that this DOJ payment that from our settlement and some additional corporate costs that we're dealing with, too. So those are all kind of things that are dragging it back down into this range of 1% to 3%, but I still feel comfortable in that range, given all those moving pieces. So yes, I mean there's a number of items there that are moving around.

When you look at it, and we talked about this on the fourth quarter call in January, when you put aside, and I know, look, actuals are actuals, so you can't necessarily ignore it. But when you put aside some of these temporary issues that we have that are impacting our cash flow, whether it be some of the pricing penalties that we've had, some of these excess advantages that we've got to work through and where we're going in terms of the aircraft build on 777.

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Once we get ourselves, fully delivering get ourselves on the increasing rates, it's all temporary. That will all burn off and the types of cash flow that investors have come to expect from The Boeing Company, it's in front of us. It's right there. It's not tomorrow, it's not today, but it's there. And so I'm very confident that's going to happen as long as we execute.

Ronald Jay Epstein
BofA Securities, Research Division

Okay. How is it going with hiring and retaining employees? Is that stabilized, is it...

Jesus Malave
Executive VP of Finance & CFO

Absolutely. You think about that, Ron, maybe 2 to 3 years ago, there was just so much pressure on retaining talent. And it really was all types of skills. It wasn't just technical skills. It was technical, it was factory workers, it was other professionals. It was just difficult to retain talent. Our retention rates are very high this year last year and this year. Part of it is, I think -- I came into the company in August, and I just saw a change really, a level of enthusiasm because employees started to believe that we could recover. And I think that has just grown the momentum there. And I think that as a result, the retention has just been fantastic.

We've got like a 4% acceptance rate for applicants in the company, which you may ask, well then, how did I get in. Yes, it's a good question. We're working on that, but I did get in. But I think big picture, we're doing a good job of retaining our employees, particularly our technical employees on the engineering side as well as on the factory side, we've been able to increase the headcount. We pretty much have the employment levels that we need to deliver at these rate increases.

Now it's a matter of training for those that are new employees. And I think we're doing a very good job there as well. And so turnover -- high turnover has really hasn't been an issue for us for a little while now.

Ronald Jay Epstein
BofA Securities, Research Division

Got you. And how is the relationship with the union kind of now that we're past the...

Jesus Malave
Executive VP of Finance & CFO

Yes, everyone moves past that, we move on, and we're all one team. And a lot of our incentive structures and bonus structures across the company are tied to one company scores. And we've just -- everyone's moved past that. And it's all about making The Boeing Company a better company each and every day. And delivering to our customers' requirements.

I was in Renton maybe about 3 weeks ago, just talking to the team who's going through the training and the Executive was going to manage the Everett line, the North Line. The way she explained is like, look, I'm not your boss, this aircraft is your boss. And we need to do what it takes to make sure that we take care of that aircraft. It's a great way of articulating what we're trying to accomplish.

And the Boeing employee -- Boeing employees have bought into that. So we're seeing some really progress and -- like I said, better performance.

Ronald Jay Epstein
BofA Securities, Research Division

Maybe switching gears a little bit. You guys [envisaged] the portfolio some, would we expect any more portfolio management in terms of the assets you guys have?

Jesus Malave
Executive VP of Finance & CFO

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Well, I think it's good corporate hygiene to always look at the portfolio and we will do that. We will continue to look at the portfolio and determine whether or not there's things that should be pruned or things that should be added. And so I think that will be an ongoing review. There's nothing imminent that we're looking at. But I think the Board expects the management to give them portfolio reviews, and we do that. So -- but I can't say there's anything to specifically to speak of at the moment.

Ronald Jay Epstein
BofA Securities, Research Division

And then kind of I always wonder about this, as you know, and I think this is a question in the back of people's minds. How are you thinking about new airplane development? And previous regimes around the company said, well, we're not doing that. How would you frame it now?

Jesus Malave
Executive VP of Finance & CFO

I would say that there will be a day where we have to enter into a new program. That day is not today, and it's not any time near. But we do think about the technology that's going to be required on a new program. We have dialogues with our suppliers in terms of technology, propulsion technologies is a great example on how something like that will look like, looking at things like new and different types of material properties that you can apply to aircraft. And what type of structures are you going to be looking at.

So there's -- what type of systems, there's so much to look at -- you just can't wake up one day and say, hey, we're going to develop a new aircraft. And all of a sudden, so we're just going to turn the engineering lights on for that. You have to think about the technology beforehand. You have to start technology development. But that in no way means that anything is imminent. So it's unrealistic to say that we'll never develop a new program, we will, at the right time.

But as Kelly has repeatedly say, I wholeheartedly agree with him, there's 3 conditions that need to take place. Number one, the market has to be ready. Number two, the technology has to be ready. And number three, The Boeing Company has to be ready. And none of those 3 are in a place that we believe that would come anywhere close to supporting a launch of a new aircraft.

If you look at the market, we've got overdue aircraft. The customers are just give us what you -- what we've already -- what you've sold to us. We've got a $560-plus billion backlog. We just have to deliver on that. As I mentioned, that technology, there's still just a lot of things, trade studies that have to take place. And there's just a lot -- a fair amount of time that's got pass before our engineers feel anywhere comfortable with settling on any type of configuration around that. So it's very, very kind of just really early.

And then The Boeing Company, I think we spent the last half hour plus talking about what we're doing today in here and now. We have to complete our certification programs to 737-7, 737-10. The 777-X program or 777X program we have to complete as well. And we have to get ourselves to these rates that we've talked about. And none of those conditions are anywhere near ready. We're still going up the recovery path here. So like I said, that day will come, but it's not any time soon.

Ronald Jay Epstein
BofA Securities, Research Division

And then the one business, in the couple of minutes we have left that we just didn't really talk about is the services business. How should we be thinking about that and the growth profile there and how you broadly think about that business?

Jesus Malave
Executive VP of Finance & CFO

Yes, it's a good business. It has various aspects to it. It has commercial aftermarket to it and the parts business. It has a defense sustainment to it, both kind of modification work, parts work, some level of even some level of MRO to it there. And there's also distribution businesses where we're providing parts

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to our suppliers who are then turning those and putting those into a subsystem or a system that supply to us. So it's a pretty diverse business. It's -- in the commercial world its not MRO heavy.

I'm not sure. I think we've dipped our toe in that. And didn't really like it. So I'm not sure that that's something that we would pursue significantly. But it's got a very good place in the marketplace. It even sells third-party proprietary parts and make some margin on that as well. Because it's kind of a one-stop shop, it's easy to come to The Boeing Company and get a bunch of things for -- to fulfill your needs and if you're a commercial airline or an MRO shop.

So we look at it. They're on a great growth project. If you think of where their trajectory, they've got enjoying the commercial supporting OE, commercial aftermarket, a lot happening in military sustainment on a lot of our platforms. And as you know, Ron, these military platforms they get modernized a lot often, and they have to continue to work on those. So it's a good business. And you see it reflected in the growth rates and in the margins.

Ronald Jay Epstein
BofA Securities, Research Division

I think with that, that's pretty much everything I had, Jay.

Jesus Malave
Executive VP of Finance & CFO

Well, thank you for your time, Ron. I really appreciate you being up here.

Ronald Jay Epstein
BofA Securities, Research Division
Great. All right. Pleasure.

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